

TBO Tek (TBOTEK)

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Call: Jun 2024

TBO Tek Limited

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Scrip Code: 544174 Scrip Symbol: TBOTEK

Sub: Transcript of Earnings Conference Call

Dear Sir/ Madam,

Please find attached the transcript of Earnings Conference Call conducted on June 6, 2024, in relation to the financial results of the Company for the financial year ended March 31, 2024.

Kindly take the same on record.

Thanking you,

Yours faithfully

For and on behalf of TBO Tek Limited

Neera Chandak

Company Secretary

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"TBO Tek Limited

Q4 & FY24 Earnings Conference Call"

June 06th, 2024

MANAGEMENT : MR. ANKUSH NIJHAWAN - CO-FOUNDER AND JOINT MD

MR. GAURAV BHATNAGAR - CO-FOUNDER AND JOINT MD

MR. VIKAS JAIN - CHIEF FINANCIAL OFFICER

MR. ANIL BERERA - PRESIDENT - STRATEGY

MODERATOR : MR. SNIGHTER A. – ADFACTORS PR – INVESTOR
RELATIONS

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TBO Tek Limited
Q4 & FY24 Earnings Conference Call
June 06, 2024

Moderator: Ladies and gentlemen, good day and welcome to the investor call of TBO Tek Limited to discuss the Q4 & FY24 Results.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing *, then 0 on your touchtone phone. Please note that this conference is being recorded. I now hand over the conference to Mr. Snighter Albuquerque from AD factors PR, Investor Relations. Thank you and over to you.

Snighter Albuquerque: Thank you, Yashasree. Good evening, everyone. On behalf of the Company, I would like to welcome you all to the maiden earnings conference call for Q4 & FY24.

I would like to mention that the Earnings presentation has been uploaded on the exchanges and the Company website, so you can access it as we take you through the opening remarks and the call.

Today on this call, we have with us from the management of TBO Tek Limited, Mr. Ankush Nijhawan – Co-Founder and Joint Managing Director, Mr. Gaurav Bhatnagar - Co-Founder and Joint Managing Director, Mr. Vikas Jain – Chief Financial Officer, and Mr. Anil Berera – President, Strategy. We will begin the call with brief “Opening Remarks” from the management followed by a Q&A session.

Please note that certain statements made during this call may be forward-looking in nature. Such forward-looking statements are subject to certain risks and uncertainties that could cause the actual results or our projections to differ materially from those statements. TBO Tek will not be in any way responsible for any actions taken based on such statements and undertakes no obligation to publicly update these forward-looking statements.

I would like to hand the call over to Mr. Gaurav Bhatnagar for his Opening Remarks. Thank you and over to you, Gaurav.

Gaurav Bhatnagar: Thank you, Snighter. Good evening everyone. On behalf of the Company, I welcome

you all to our first Earnings conference call after our listing. We are overwhelmed by the response we received at our listing and would like to thank each and every one of you for making it a grand success. tbo.com

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The Company was listed on May 15th on both the NSE and the BSE. The total size of the IPO was INR 1,550 Crore, with INR 400 Crore being the primary infusion of capital. This capital injection will enable us to fulfill our funding requirements to achieve our future goals.

For those of you who are looking at the Company for the first time, let me provide some insights into TBO.

TBO operates in the global outbound travel space. Outbound travel refers to when people travel from their country to another country. Outbound travel is a very large and growing segment. In 2019, nearly 1.5 billion outbound trips took place. Post COVID, revival in outbound travel has been strong and full recovery is expected by the end of this year. Historically, outbound travel has grown at a pace of 5-6% every year. So, global travel spend is expected to reach nearly US \$2.7 trillion by the year 2027.

Now, the growth in outbound travel has been spurred by two significant demographic changes happening in the world. On one hand, the emerging economies such as India, Indonesia, Brazil and China have sizable young population travelling overseas for the first time. These first-time travelers need assistance with booking their travel and hence, often take the help of offline travel agencies. On the other hand, in the developed economies such as US, UK and Western Europe, there is a much older demographic with significant time and resources to spend on travel. Their itineraries are long and complex and involve several destinations and various services in those destinations. Hence, this segment also prefers booking their travel via offline travel agencies.

Now, TBO provides an online platform to travel agents globally, which allows them to search and book travel supply worldwide. The platform acts as a bridge between travel suppliers such as airlines, hotels, car rental providers, sightseeing providers on one side and travel buyers such as travel agencies, OTAs and tour operators on the other side.

The platform solves for points of friction that are prevalent in the outbound travel planning and booking process. Since travelers are increasingly travelling to newer destinations, travel agents face significant challenges in discovering supply at a global scale. Our platform allows travel agents to access real-time inventory for a wide range of travel products across the world at the click of a button. Beyond discovery, establishing trust between the buyers and sellers is also important. Typically, travel buyers and travel suppliers are small businesses in different parts of the world who may have never done business with each other before. Our platform acts as a source of trust between them by ensuring that the supplier will provide the service promised by them, while the buyer will pay for those services. TBO also solves for the payments. The suppliers like to be paid in their own local currency while the travel buyers like to collect payments in their own currency. Our platform acts as a bridge, facilitating all stakeholders to transact in the local currencies. Today, we support more than 55 tbo.com

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currencies worldwide. Finally, our platform solves for service. Outbound travel involves high touch high service. Plans cha

nge, travel needs to be cancelled or rescheduled, or there are challenges in the destination which need to be resolved. Since the travel agent and the travel supplier are sitting in different parts of the world, they speak different languages and operate in different time zones, TBO platforms serve as a common interface through which buyers and suppliers can communicate and seek service from each other.

So, in a nutshell, TBO operates a global travel distribution platform connecting travel buyers and suppliers worldwide, solving for discovery, trust, payments and service. I will now speak a little bit about our go-to-market strategy:

To aggregate demand, we operate a global feet-on-street sales team. This team's primary objective is to sign up travel agencies in their regions on the TBO platform. Once the travel agency is onboarded on the platform, they use an online access to search and make travel bookings themselves.

Our supply aggregation is also led by feet-on-street supply onboarding team. This team works with hotels and key destinations and presents a TBO value proposition to them. The actual contracting and onboarding is tech enabled through an advanced proprietary stack developed in-house.

TBO makes money on every transaction on the platform. Some suppliers, primarily airlines, operate on a commission model where we receive commission on every booking made on the system. Other suppliers, primarily hotels, operate on a net rate model where we receive a wholesale rate which we mark up and sell further. At an enterprise level, hotels and ancillary business contribute 75% of the gross profit, while airline sales contribute roughly 19% of our gross profit.

Our business is very global and we operate in more than 100 countries. We count our GTV or gross transaction value based on the origin of travel. Roughly, 76% of our gross profit is derived outside of India, which means that the travel agent is located outside of India and is selling destinations across the world.

Being a platform, our business demonstrates strong operating leverage. Our travel agents tend to continue to transact on the platform for many years after joining the platform. Furthermore, there are significant buyer-supplier networks in the platform. As we add more supply on the platform, our existing travel agents become productive. Likewise, as we add more travel agents on the platform, our existing suppliers receive more bookings. Platform stickiness along with network effects ensures that our GTV grows much faster than our buyer base. Further, since the incremental cost of serving additional transactions is very low, there is strong operating leverage in our business. Let me spend some time talking about our growth strategy. tbo.com

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Ankush Nijhawan: So, in terms of strategy as a platform business, our growth plan is based on three pillars: Expanding our buyer network. Our GTV grows much faster than the number of active buyers on the platform and therefore, we invest significant money into growing our buyer network.

Second, we focus on strengthening our supply base by increasing penetration and developing a strong local supply ecosystem. That comes in two forms- One is just adding more hotels on the platform and getting better rates and second, adding new lines of supplies such as cruise lines, Europe rail transfer, sightseeing etc.

Third, we invest significantly in continuously improving our platform where we have a strong team of more than 300 engineers constantly working on data and tech to make sure that the experience on the platform remains excellent.

Finally, acquisitions play a crucial role given the fragmented nature of this industry. Over the last 5 years, we have completed 4 acquisitions, enhancing our global reach and market position. Most recently, we had acquired Jumbonline, which is an aggregator of Southern European Be

ach Hotel supply. We will continue to look for more opportunities for inorganic growth.

Now I will hand over to my Co-Founder and Joint Managing Director, Ankush to share key insights on the India business.

Thank you, Gaurav, and good evening, everyone for dialing this evening.

I would like to now talk about the India travel market:

India is witnessing significant tailwinds in both our outbound hotels and air sectors. Overseas travel spending has surged to US \$17 billion in this last financial year, marking a notable 24% increase over the previous year. Projections indicate an anticipated growth in international air passenger traffic by 8% to 11%. Notably, both Indigo and Air India have placed fresh orders for ATRs and wide-bodied aircraft, signaling optimism in the aviation sector. Additionally, the announcement of new international routes, such as those to Mauritius and Central Asia, underscores the expanding global connectivity in today and in the medium term as well. There was record-breaking demand in the Schengen visa applications, which further reflects the growing outbound travel interest in India.

India's ascent in the global tourism landscape is evident, with its ranking climbing from 54th to 39th position on the World Economic Forum's Travel and Tourism Development Index in 2024. Moreover, the domestic travel market is poised for exponential growth, set to double by 2030.

The remarkable trajectory of our Company aligns with the robust growth observed in the broader travel industry. The Government initiatives like UDAN Scheme, coupled tbo.com

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with significant investments in the airport infrastructure amounting to US \$1.83 billion by 2026, are poised to fuel both our Company's and the industry's growth.

Our plan to grow in India is the following:

We would like to now expand taking advantage, which I just mentioned to you, the tailwinds of the India travel market. We would like to expand our reach beyond the Tier-1 and Tier-2 cities. We would now like to grow into Tier-3 and Tier-4 with our commitment to enroll agent optimization beyond the major cities in India because we believe this is where the next growth is going to happen and come from.

Cross-selling opportunities, leveraging our existing buyer base, which we are now

going to be focusing both and in our outbound hotel business, which we will leverage on what our dominance is in the airline business across India.

Enhancing customer engagement by prioritizing efforts to increase the wallet share of our active buyers. We aim to deepen customer relationships, foster loyalty and drive sustainable growth.

Exploring strategic acquisitions, we will remain vigilant in evaluating potential acquisitions within India, aligning with our overall growth objectives and bolstering our market position in India.

I would now like to hand over the call to Mr. Vikas Jain, our Chief Financial Officer.

Vikas Jain: Thank you, Ankush and a very warm welcome to everyone on this call. I am delighted to present the robust financial performance of TBO for the quarter and year ended 31st March 2024.

In the quarter ended 31st March 2024, our revenue from operations surged to INR 369 Crore, marking a growth of 31% YoY. Our adjusted EBITDA stood at INR 69 Crore, an impressive growth of 76% YoY, while our PAT is at INR 46 Crore, demonstrating a growth of 64% over previous year.

Now coming to the full year financials. We had a great fiscal year 2024. We delivered growth on all the key parameters. Our monthly transacting buyers outside of India grew by around 20%, which led to a growth of 31% in GTV in our international business. At an enterprise level, our monthly transacting buyer base grew

by 8%,

which led to an overall increase in GTV by 19%.

Our enterprise take rate improved from 4.77% to 5.25%. This was largely driven by the increasing share of GTV of hotel and ancillary businesses from 45% in FY23 to 50% in FY24.

Our revenue from operations reached INR 1,393 Crore, delivering a YoY growth of 31%, led by strong growth in GTV on our platform. tbo.com

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Our adjusted EBITDA of INR 270 Crore delivered growth of 35% YoY. Our PAT stands at INR 201 Crore, marking a solid 35% YoY growth. Adjusted EBITDA margins and PAT margins for FY24 stood at 19.35% and 14.40%, respectively.

Gross profit as a percentage of GTV for the full year improved to 3.47% from 3.28% last year. EBITDA grows faster than gross profit because of operating leverage, which is quite well demonstrated this year.

We continue to have a strong balance sheet with a net worth of INR 545 Crore compared to INR 337 Crore last year. Our cash and bank balance as of 31st March 2024 stood at INR 854 Crore. Post the year end, we have also raised INR 400 Crore as primary capital in IPO.

Notably, our working capital continues to remain negative.

As of March end 2024, there has been a substantial increase in trade receivables and trade payables amount as compared to the past year. This has been primarily due to consolidation of financial numbers of our new acquisition Jumbonline as well as due to the increase in the overall mix of hotel business. I would like to highlight that the booking window for Jumbonline business is longer than our existing business, as summer bookings in Europe source market start getting booked as early as from January, and thus both receivables and payables gets accounted for in the books. As of FY24, our Debt/ Equity ratio stands at a healthy 0.4 times with our ROE at 45% and ROCE at 39%.

Thank you, everyone, and I would now like to open the floor for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. We'll take our first question from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: Hi, thanks for the opportunity. So, Gaurav, I have a couple of questions. The first question was with regard to some of the data metrics that you provided. Just wanted to understand what has driven the sequential drop in terms of take rates on the airline side as well as the lower gross profit margins on the airline side. The second question was a broader level question. Do you think at some point of time, given the fragmented nature of the industry, scale starts to essentially limit our growth?

Vikas Jain: So, Manik, Vikas, this side. I will take the question on the take rate and the GP for sequential drop in air for Q3 versus Q4. In Q3, the take rate for air was higher primarily because of actualizations of the incentives that get booked, which are the airline incentive which gets from January to December calendar year, PLB incentives, those get actualized. So, due to this reason, the Q3 take rate was a bit higher. However,

overall, the take rate is around 2.6% and Q4 was more or less in line with that. In tbo.com
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terms of the lower Q4 GP margin than the rest of the year, this is primarily because we ran technical experiments to increase incentive parting to travel buyers to measure the impact of the same in GTV growth. We had a growth of around 27% quarter-on-quarter, which is good as Q3 is high season as compared to Q4. Now even after reducing the inc

entive parting, we are able to maintain the similar numbers of GTV in the current year as achieved in last quarter at a higher GP of around 1.2%.
Manik Taneja: So, how should we be thinking about this metric on a go forward basis? Will 2.5% as take rate on the airlines see the steady state? And then similarly, how should we be thinking about the incentives for the air business on a go forward basis?
Vikas Jain: So, considering the current situation, we believe that 2.5% should be a steady state growth or the take rate number for air business and similarly, for the gross profit numbers, we expect to maintain it between 1.5% to 1.2%.

Manik Taneja: Thank you, Vikas.

Moderator: Thank you. We'll take our next question from the line of Swapnil Potdukhe from JM Financial. Please go ahead.

Swapnil Potdukhe: Hi, thanks for the opportunity. So, I have 2 or 3 questions. First, on your organic growth, would be helpful if you could breakdown our GTV basis organic business as well as the Jumbo which got consolidated in this quarter for the first-time full quarter. That would be the first question.

Gaurav Bhatnagar: So, Swapnil, there was only INR 36 Crore of revenue that was contributed by Jumbo in the last FY numbers. So, we will see some material impact in the Jumbonline in the coming year, but it was not very material for last year. In terms of PAT, the contribution was about INR 3.5 Crore from the Jumbonline business.

Swapnil Potdukhe: If you could break it down by the Q4 quarter as well, it would be great.

Vikas Jain: This is for the fourth quarter only, Swapnil, because Jumbo acquisition happened on 18th of December last year. It was not much of a contribution during the last quarter.

Swapnil Potdukhe: And secondly, can you help us understand the seasonality in the business. How should we be looking from a modeling perspective, the different quarters, because your business is well diversified and then holiday seasons play out differently in different geographies?

Gaurav Bhatnagar: So, there is definitely seasonality in travel, but there are two factors which make it a little bit harder to split into quarters. One is a lot of travel seasonality is dependent on when the festival happens. So, for example, Middle East is a large market for us and the dates for Ramadan and Eid will move every year and hence, some high seasonality will move along with that. Similarly in India, Diwali will come at a different time, so it will often split between Q2 and Q3 and hence, it will cause some tbo.com

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impact on seasonality. Broadly speaking, you would see that the Indian summer is Q1. So, Indian summer starts early, and you would see that starting March, we will start to see Indian leisure traffic movement all the way till June and in fact, now going to July as well. European or the northern hemisphere summer largely impacts our Q2 numbers and typically, you would see Q2 would be heaviest in terms of topline, which would be July-August is the peak season for international leisure travel. Q3 is typically slowest because September-October is post summer and usually quietens down, though we will see some upticks happen in December for Christmas. And then Q4, we see two factors coming into Q4; one is that the full year growth from all the travel agents that we had through the year, they will start impacting Q4 from that perspective; and second again depending on when Easter is, Q4 will also see some business coming because of Easter.

Swapnil Potdukhe: And one more question I wanted to ask was with respect to your international business, since you have done well ex of MENA. If you could just take us through, how should we look at MENA region performing going a

head. I know this Ramadan effect over there, but if you could just explain it in detail and how should we look at it going forward?

Gaurav Bhatnagar: So, it is a large region for us, but it is also a region which is just growing organically.

If you see both the leisure segment and the large domestic segment, intra-regional segment, both are growing at a healthy pace as an industry. So, at a minimum, we should grow with the industry, but we also see that there is a lot of untapped opportunity that we are tracking into. For example, in Saudi tourism, both domestic inbound and outbound has really kicked off in the last couple of years, which was very quiet because of COVID. So, we are making good headways over there. And second is if you look for us, MEA includes the whole of Africa as well, and historically, our penetration in Africa like Sub-Saharan Africa has been quite low. So, we are making some good inroads over there, especially in Southern Africa.

Swapnil Potdukhe: And the last one, if I can squeeze in, how should we look at your India business because air ticketing growth has been pretty muted at around high single digits this year, how should we see it next year onwards? I think there was a base effect over there in the pricing that has affected, but next year onwards?

Ankush Nijhawan: Swapnil, our GTV growth YoY was about 8% and as a Company, our theme is always the outbound market and travel where we grew at about healthy double digit around 14%-15% in the international air business. Our domestic business low-cost carrier is important for us as a hook, but our prime focus will remain in the outbound business, which is obviously going to help us building our air as well as the outbound hotel business, which is obviously high margin business.

Swapnil Potdukhe: So, will it be low double digits growth that one should look at or mid-teens kind of a growth, if you could just quantify a bit? tbo.com

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Ankush Nijhawan: Market projections for outbound is about 8% to 11%. So, we should be either at the similar trend or a little better, as we move forward this financial year.

Swapnil Potdukhe: Thank you, Ankush. Thanks a lot for giving this opportunity.

Moderator: Thank you. We will take our next question from the line of Anirudh Agarwal from Valuequest Investment Advisors. Please go ahead.

Anirudh Agarwal: Thanks for the opportunity and congratulations on the successful IPO. Few questions from my side. The first one was on the hotel segment; so, if you could specifically speak a little bit about the opportunities that you are seeing in both Europe and North America going ahead. So, Europe seems to have scaled up a bit this year, I am assuming aided by the acquisition, but what kind of opportunity size do you see in that business in 2-3 years, as well as some of the initiatives that you would be taking in the North America market to make inroads there?

Gaurav Bhatnagar: Yes, you are right, Europe has scaled up nicely for us for a couple of reasons. Both on supply as well as on buyer and demand side, we made significant investments in building out a strong management leadership team in Europe. We have also done some tech work to make sure that the platform is localized to work in Europe, especially around payments; in Europe, payments work in a very different way. We have also invested in building out some key supply integration, which allow us to aggregate and quickly on board a lot of key European supply. That along with the fact that we have done two acquisitions in Europe has given us a significant presence over there. But it is very important to keep in mind that it is also very large travel market, runs in the hundreds of billion

s of dollars. So, from that perspective, the headroom for growth is massive in Europe. We structure Europe into three different distinct regions because it is so large and important for us and we have three different regional leaders running Europe, in different parts of Europe is a testament to the fact that we have very high hopes from this market. North America is also scaling up nicely. The nature of the market is slightly different from Europe and the rest of the world. So, we are making a couple of investments this year. One is that we are again localizing the platform to work better with the way the North America travel industry is organized. That industry is organized in a very different form of consortium and host agency. So, we are making some investments in making sure that our platform works in that model. Second is there is investment planned especially in the latter half of this year in building out a bigger feet-on-street sales team in the region. So that is a broad outlook, but we believe both North America and Europe will become very key revenue drivers for us in the coming years.

Anirudh Agarwal: And what is it in terms of profitability, in terms of take rates and margins etc., would those markets be better than what we do in Middle East, LATAM and so on?

Gaurav Bhatnagar: See traditionally and in the industry, it has been seen that take rates are typically higher in Europe and North America because of the nature of those markets. Just in general, how we look at the business on take rates is that as an intermediary business, tbo.com

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it is never a good idea to be an intermediary, which is very expensive. So, while there is going to be margin for improving your take rates, as a Company we might still take a call to keep ourselves as a low-cost distribution platform to make sure that we don't turn away any supply or any buyers from using the platform just because of higher margins. So, yes, we can expect to see high margins over there, but it is also quite likely that we will pass on a lot of that benefit of those margins to our buyers and suppliers.

Anirudh Agarwal: The third one was on acquisitions. So, you mentioned that you are looking for potential acquisition candidates, but if you could expand a little bit more in terms of which geographies, which segments, and kind of companies that you would be evaluating.

Gaurav Bhatnagar: See, we are quite agnostic to geographies, and we are open to acquisitions pretty much anywhere in the world. The thesis is very simple, either that acquisition adds to our buyer base, which means we get either more travel agents or more operators buying from us. Or it adds to our supply base, which for example, Jumbonline fits in that category where we get access to this new supply, which we did not have access to before. So, that is broadly the theme at which we value acquisitions, they have to be complementary, add either to the buyer side of the network or to the supply side of the network and they can be anywhere in the world.

Anirudh Agarwal: Final question from my side. Any guidance that you would be giving in terms of expected growth margins etc., going ahead?

Gaurav Bhatnagar: No, we will not be doing any forward guidance.

Anirudh Agarwal: Perfect, thanks, and that's it from my side.

Moderator: Thank you. Next question is from the line of Madhuchanda Dey from MC Pro Research. Please go ahead.

Madhuchanda Dey: Hello, I am a little new to the Company. So, my question is a little basic. You mentioned that you deal with 55 currencies, and you pay everyone in their local currency. So, just wanted to understand in terms of business model, how do you manage your currency risk?

Vikas Ja

in: So, in India business, primarily for the airlines, we collect in INR and we make payment in INR even for the international airlines, so there is no forex risk. For the international outbound hotel wherein, we would be collecting in INR, but we would be making payment primarily in USD, we do take plain vanilla forwards to hedge our currency risk basically. In our international business, a majority of our business is naturally hedged because we are selling in so many countries and buying from so many countries from different suppliers. So let us say, for example, selling in USD and also collecting in USD and making payment to suppliers in USD. So, around 85%-90% of my business in currencies like USD, GBP and Europe is naturally hedged. Only a tbo.com

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small portion of business, like in BRL etc., is there wherein we try to make payments on a bi-weekly basis to hedge our risk. So, that is the kind of approach we take to monitor our forex risk.

Madhuchanda Dey: So, just let me clarify this, this means when you are booking tickets for international airlines also, the payment is settled in Indian rupee?

Gaurav Bhatnagar: If the travel is from India, yes. The airlines will collect in Indian rupees from us.

Madhuchanda Dey: Ok, thanks a lot and all the best.

Moderator: Thank you. Next question is from the line of Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri: Hello, thank you for taking the question. Congratulations on the great results. Sir, you have spoken a bit about seasonality right now and the market conditions. So, I just wanted to know that we have been growing quite fast right now. So, will we be able to maintain the growth rate that what we have done in past, like maybe this year also we have grown 30%. So, our GTV we want to go double digit, but then what would be the correlation of that with our sales and profit, that is something just wanted to know how does it work in our industry?

Gaurav Bhatnagar: Broadly, the business grows basis the number of active travel agents on the platform, right, so that is kind of how we measure the business. And even for this year, you would have seen that with Europe, the GTV or the topline grows faster than the

number of travel agents on the platform. So, that is the growth lever that we focus on, which is basically driven by market development. If I look at it from a perspective of headroom for growth, it is a \$2 trillion industry, we are roughly about somewhere like between \$3 and \$4 billion right now. So, the headroom for growth is very large. Since we are not doing any specific guidance, I don't want to comment on what growth rates to expect, but all I can say is that the topline growth requires slightly lesser growth in number of active travel agents and the overall headroom for growth is very massive because as a percentage of the total market, we are still very small.

Darshil Jhaveri: And sir, with regards to margins, the current margins that we are doing are sustainable, right, like our EBITDA is around 19%. So, as we are growing more it will get leveraged also, so we can aim for 20% plus margins, right?

Gaurav Bhatnagar: Yes, there is operating leverage in the business, but we also have to keep in mind that it is a fast-growing business, where we may choose to reinvest some of the EBITDA into growth plan for the next year. So, I don't want to comment on where exactly the EBITDA will go in the short run. But yes, on a fairly long period of time, we would expect EBITDA margins to expand.

Darshil Jhaveri: But in the near term, it won't go below what we are doing, right? tbo.com

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Gaurav Bhatnagar: Again, we are not doing forward guidance, so I don't want to comment on that.

Darshil Jhaveri: And sir, I just wanted to know like maybe from a risk perspective like what could you see as a speed breaker to our part of growth or something that you see because industry is doing good, but any specific thing that you could call out that can hamper us?

Gaurav Bhatnagar: Travel is highly volatile. It doesn't take long for travel to be doing well and then some global macro event to happen and disrupt travel. So, that is definitely a risk. We are also exposed to a very global travel industry. So the chances of something going wrong in some part of the world is always there, though it also adds a hedge for us because we are not overly concentrated in a certain market, but I think all travel businesses suffer this fundamental risk that travel is volatile, very sensitive to macroeconomic and political situations.

Darshil Jhaveri: Fair enough. That's it from my side Sir. Thank you.

Moderator: Thank you. Next question is from the line of Chintan Shah from JM Financial Family Office. Please go ahead.

Chintan Shah: Hi. Thank you so much for the opportunity. So, I have 2-3 questions. First one is in terms of growth. So, if you look at monthly transacting buyers, basically this year that growth rate has declined to around 8%. And what I understand is this is a key parameter for us to drive growth. If we look at the metric that you report, the customer retention is approximately around say, 37% odd in 5th or 6th year. So, keeping all these 2-3 things in perspective, is there a case or should we believe that the growth from here on should be lower versus what we have done over the last 2-3 years?

Gaurav Bhatnagar: See, we have to look at the growth from two perspectives, especially on monthly transacting buyers. If you kind of double click on the numbers, you will see that in markets outside of India, there is a 20% growth, which is primarily dependent on the fact that we have been opening in new markets and we are still very early in many of the markets that we operate in. It is a very strong base effect because India is already sitting on a very large base of monthly transacting buyers. In fact, in 2024, out of roughly 26,500 buyers, 18,500 are sitting in India. So, while that number has grown, that number is growing at a slow percentage because of the base effect. So, hence the enterprise growth number looks lesser. From a revenue growth perspective, I think 2-3 things come into play. One like we talked about outbound travel grows 6%-7% every year that is organic growth, which means that the travel agents were on the platform, organically, will probably see a similar growth in their business without anything changing. Second is increasing share of wallet of the travel agents. Now, if you have observed the cohort, you would see that a travel agent who stays with the platform for 5 years there is 5x more business on the platform, which means they put more and more of their business on the platform. So, stickiness on the platform plays an important role in growing share of wallet from the existing customers. And the tbo.com

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third bit is that we continue to add new lines of business or new lines of revenue. For

example, recently launched Europe Rail in certain markets, we are doubling down on car rental as a product line, we are doubling on transfers as a product line, which means that they will create new lines of revenue with the existing customer base. So, with all of this and

the fact that as a percentage of the total outbound market, we are very small, we do not see significant headwinds in the business or any slowdown in growth.

Chintan Shah: Got it. One more question on OTAs versus travel agents. So, in the opening remarks you explained pretty well, but apart from that in terms of pricing or costing, is there any benefit that accrues for choosing the travel agents that would actually help us grow this segment?

Gaurav Bhatnagar: Yes, I think travel agents add multiple points of value to the booking process, especially on outbound travel, and especially in emerging markets like India. Starting from Visa, right; and this summer you would see news about how hard it is to get a visa and how much paperwork is required to get visa. So, for a lot of first-time travelers starting with sometimes even getting a passport, then getting a Visa, arranging for FOREX, figuring out where to stay, getting them good rates, sometimes better rates, what they would get themselves directly, travel agents add significant value. Then we talked about payments, right. Like for a lot of travelers trying to book directly with the hotel is very problematic because hotels expect to be paid in their own currency, which is very hard to do, especially in country like India, and people do not even have international credit cards or credit card with significant credit on them. So, we see travel agents having significant value addition to the travelers' booking and travel journey and hence, they remain relevant. So, price is one factor but that is not the only factor.

Chintan Shah: Understood, but just to understand this better, so when we deal with the supplier like say hotels, etc., is it fair to say that we get a better rate versus OTAs or that is not the case? How should we understand this?

Gaurav Bhatnagar: Hotels usually provide differentiated pricing for the online channels like OTA and B2B channel like ours because our channels serve different kind of traveler. Typically, a travel agent will package the hotel rate along with the flight and ancillaries and give a package to their end customer, which allows hotels a bit of a flexibility on providing lower rates because those rates don't have to necessarily compete with the rates on their own website. Yes, in certain situations that is possible.

Chintan Shah: Ok, understood. That's it from my side. Thank you.

Moderator: Thank you. Next question is from the line of Pratyush Agarwal from White Oak. Please go ahead.

Pratyush Agarwal: Hello. Congratulations on the great set of numbers. I have two questions. The first question is on outbound, especially on hotels. So, on sort of the pent up which was tbo.com

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due to let us say visas or supply of airlines, especially in outbound not coming through, how much of that would you reckon is still left, both for this year and maybe next year, or do you think most of these are already in the numbers?

Gaurav Bhatnagar: See, I think at this point, we are significantly kind of over the COVID hump, right. It has been now almost three years since COVID reopening. So, our view is that we are probably in a new normal now, in terms of just the demand as well as the pricing for various travel products, including airlines and hotels. Some impacts will always happen. For example, if elections happen in a certain country or if some weather or climate issue happens in a destination, it will cause some ups and downs, but broadly our view is that demand remains very robust. There is no major pressure on hotel pricing as such and if you see the number of visa applications; for example, for Schengen country this year from India, it has been like a record number. So

, obviously

overall demand even for premium destinations like Europe remains high.

Pratyush Agarwal: Got it, thank you. And second, so if I look at both your employee cost and other expenses, right; on employee cost, last 1-2 years before this period, at least on the technology space, there was wage inflation and so on. So, have we calibrated and reached sort of new normal in those costings or some of that is yet to still play out in terms of cost optimization?

Gaurav Bhatnagar: No. I think there is no cost optimization possible, Pratyush, and tech resources remain expensive. So, our significant investment will continue to go into building out the technology and data teams. From the perspective of how we should look at this going

forward, we do intend to increase the number of people in the tech team. So, you will see some increase in costs on those heads going forward.

Pratyush Agarwal: Got it and in terms of new geographies, are there clear white spaces that we see? If you could talk about that in terms of both increasing supplies, especially in Europe or otherwise?

Gaurav Bhatnagar: As the industry is so large and so fragmented, there is just a plethora of opportunity everywhere. In terms of supply, while we have brought coverage of supply, we can definitely build more depth in almost every market, right. I would say in every destination like Europe itself, there is no destination as such as Europe. Europe is divided into so many sub-destination and each of those destinations are so large that in many places where we primarily depend on third party supply, we always have an opportunity to improve our margin and competitiveness by directly contracting, right. So, that just exists pretty much everywhere. Same on the demand side, right. Global outbound travel is a very secular phenomenon. It is growing at a high pace, whether it is a developing world or the developed world. So, just from an opportunity perspective, there is absolutely no dearth and plenty of white spaces everywhere.

Pratyush Agarwal: Got it, thank you. That is all from my side. tbo.com

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Moderator: Thank you. We will take the question from the line of Miyush Gandhi from Cognizant Capital. Please go ahead.

Miyush Gandhi: Hi, thank you for taking my question. Sir, if you could spend some time on your acquisition strategy, both in terms of business and also in terms of new travel agents on our site?

Gaurav Bhatnagar: So, Miyush, the organic growth on the travel agent side is largely driven through a feet-on-street sales team. We run a sales team across the globe where the primary objective of the team is to introduce the value proposition of a platform to travel agencies, do a demo of the platform, and sign them up on the system. Once they are on the platform, then obviously they make their bookings themselves. So, it is largely feet-on-street sales team driven. On inorganic, like I mentioned earlier, the thesis is quite simple. We need more travel agents on the platform, or we need more supplies on the platform. So, either if a target allows us to add differentiated supply, which was already not present on the platform, then that is very useful for us and conversely, if a target allows us to get access to new kind of travel buyers, travel agents in a different geography or in a geography where our presence is pretty limited, that works very well for us.

Miyush Gandhi: Is there any benchmark valuation or numbers that you are okay to spend in acquiring companies like price to sales or what would ideally go into deciding the value at which you will acquire something?

Gaurav Bhatnagar: I think that varies a lot case by case. It's very hard to put a specific number on it.

It

depends on the size of the asset, geography, growth potentials, synergy with our business, how competitive is the situation; so very hard to put a specific number.

Miyush Gandhi: Ok and would it be fair to say that a large portion of the travel agents that we report are from India or are they from abroad? You said that a large part of the business is getting booked abroad, but where is the source? Is it in India or outside?

Gaurav Bhatnagar: I think this is an important point. When you look at our numbers, when we report GTV, what we call international business is where the travel agent is based outside of India and the destination may be anywhere in the world. So, the traveler may be traveling to US or Brazil or India or wherever. So, that is the larger part of the business, especially the hotels where the revenue largely comes from that part of the business. However, the number of monthly transacting buyers or the number of active travel agents is much larger in India, which is a function of the fact that one as an Indian Company, we have been in India market much longer. We are far deeply penetrated in this market. Also, the average ticket size in India is small because of the nature of the economy. So, while there are more active travel agents in India, revenue is largely driven from outside of India.

Miyush Gandhi: And you mentioned over time, margins can expand. Like most platform companies are topline driven, right; the higher the topline, the margins and the OPEX. So, that tbo.com

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kind of optionality will be there with our business as well or do you think we need

substantial investments to maintain the top line?

Gaurav Bhatnagar: I think operating leverage has played out in the past and should play out in the future as well. It is very hard to quantify how much and when, because like I mentioned earlier, we are a growth phase business. There is always an opportunity to invest some of the accrued benefits of operating leverage into market development and investments into the same year. A lot of these investments have a lag. So, you can invest in market development today and it will lead to GTV growth maybe 12, 18, 24 months hence, so these are measured calls keeping the long term in mind. But yes, at least our belief is that the business model does demonstrate operating leverage.

Miyush Gandhi: And any thoughts on how to use the cash? We have raised substantial cash in the IPO and your business is also growing quite a lot, so most of it would be used for inorganic growth?

Gaurav Bhatnagar: So, yes, I think 2-3 opportunities. One, we can accelerate market development, like I said, sometimes if you are using accrued cash versus primary capital raise through equity, we can definitely accelerate market development, both on the buyer acquisition as well as demand acquisition. There are significant investments happening in technology. We ultimately are an Internet technology business, significant investment in technology as well as in data. So, that is the second and third absolutely looking at inorganic opportunities globally and seeing if we can look at businesses which can meaningfully accelerate our growth. That is the third pillar.

Miyush Gandhi: Fair enough. I will get back in the queue. Thanks for taking my question.

Moderator: Thank you. We will take our next question from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: Thank you. So, I have a couple of broad level questions. The first question was with regards to the expansion in some of the international geographies. Would we essentially need acquisitions to accelerate our expansion in some of the international geographies, especially when

you think about the North American market. That is question number one. The second question was with regards to operating leverage in the business. If I am thinking about our cost below gross margin, if you could take a stab in terms of helping us understand what proportion of those costs essentially could increase with the volume of business and what proportion of cost may be fixed cost because when I look at your P&L, you end up making closer to 3.4% to 3.5% of GTV as gross margins and close to about 1% of GTV as EBITDA. So if you could just give us some sense on that metric?

Gaurav Bhatnagar: So, I will take the first one Manik and Vikas can come on the second one. Look, broadly our thesis is that we can demonstrate organic growth in pretty much all the geographies because we already have. If you look at split of the business all the way from whether it is Australia, Indonesia, Malaysia, India, Middle East, all parts of tbo.com

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Europe, Latin America, North America, we have been growing organically with the same platform, with the same playbook in pretty much every region, both on supply side as well as on demand side. Having said that, acquisitions do help accelerate that, but these are opportunistic, right. So, we are not dependent, or we don't think we will stall our growth if we don't acquire. So, we will be patient and we will look for the right assets which can accelerate growth in certain parts of the world. But we don't think our ability or inability to acquire would have a significant impact on the ability to grow.

Vikas Jain: So, Manik, as you pointed out that our gross profit is around 3.5% and our EBITDA as a percentage of GTV is around 1%. So, the SG&A cost is at around 2.5%. Two components in the SG&A cost, which is hosting and bandwidth as well as the payment gateway cost, which is prima facie semi-variable or variable in nature basically, which will grow in line most probably with the growth of GTV or the revenue. This amount currently contributes around 0.5%. So, out of the 2.5% of the SG&A, 2% is primarily fixed, and that is where as the business grows over a long period of time there in the operating leverage would get generated.

Manik Taneja: And Vikas, if I can chip in one more, just wanted to understand how should we be thinking about our ESOP cost as well as tax rate going forward?

Vikas Jain: So, ESOP cost, basis the current plan we have, the yearly cost is around INR 9 Crore and obviously there will be some vesting etc. So, the cost would be in the similar range YoY, but would depend on the future vesting as well as the other conditions. With respect to the tax rates basically, so currently we were not having any taxes for our international business in Dubai or UAE, but from the current financial year, those

profits would get taxed at a rate of 9%. So, our overall effective tax rate would increase from what currently we are having.

Manik Taneja: And the quarterly run rate of depreciation, amortization that would include the amortization on account of Jumbo asset and thereby, this should probably be the truncate on a go forward basis?

Vikas Jain: Yes. So, basically the Q4 numbers include the amortization cost for the Jumbo acquisition, but having said that, this would be the new normal. Based on the capitalization, etc., which we will be doing in future, these numbers may increase or decrease in future.

Manik Taneja: Thank you and wish you all the best.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I now hand the conference over to Mr. Ankush Nijhawan for closing comments. Over to you, sir.

Ankush Nijhawan: Thank you everyone for joining us

and listening to our results. I really appreciate your time and look forward to seeing you in the near future very soon. Thank you so much. tbo.com
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Moderator: Thank you. On behalf of TBO Tek Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

This Transcript has been slightly edited at few places for clarity and accuracy and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy . tbo.com

Call: Sep 2024

(no extractable text — likely a scanned image PDF)

Call: Nov 2024

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November 18, 2024

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Mumbai - 400 001, Maharashtra, India Mumbai - 400 051, Maharashtra, India

Scrip Code: 544174 Scrip Symbol: TBOTEK

Sub: Transcript of Earnings Conference Call

Dear Sir/ Madam,

Pursuant to the provisions of Regulation 30 read with Schedule III of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of Earnings Conference Call held on November 12, 2024, in relation to the un-audited financial results of the Company for the quarter and half year ended September 30, 2024.

Kindly take the same on record.

Thanking you,

Yours faithfully

For and on behalf of TBO Tek Limited

Neera Chandak

Company Secretary

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Q2 & H1 FY25 Earnings Conference Call

November 12th, 2024

MANAGEMENT: MR. ANKUSH NIJHAWAN , CO-FOUNDER AND JOINT MD

MR. GAURAV BHATNAGAR , CO-FOUNDER AND JOINT MD

MR. VIKAS JAIN, CHIEF FINANCIAL OFFICER

MR. ANIL BERERA , PRESIDENT -STRATEGY

MR. AKSHAT VERMA , CHIEF TECHNOLOGY OFFICER

MR. RAJIV KUMAR , HEAD INVESTOR RELATIONS

MODERATOR: MS. AASHVI SHAH, ADFACTORS PR – INVESTOR RELATIONS

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Aashvi Shah : Good evening , everyone. I am Aashvi Shah from Ad factors IR. On behalf of TBO Tek Limited. I would like to welcome you all to the Earnings Conference Call for Q2 and H1 FY 25. Today on this call, we have with us from the management Mr. Ankush Nijhaw an, Co-founder and Joint Managing Director ; Mr. Gaurav Bhatnagar, Co-founder and Joint Managing Director, Mr. Vikas Jain, Chief Financial Officer ; Mr. Anil Berera, President , Strategy ; Mr. Akshat Verma , Chief Technology Officer, and Mr. Rajiv Kumar, Head -Investor Relations.

We will begin the call with brief opening remarks from the management followed by a Q&A session. Please note all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes.

Please note that certain statements made during this call may be forward -looking in nature. Such forward -looking statements are subject to certain risks and uncertainties that could cause the actual results of projections to differ materially from those statements. TBO Tek will not be in any way responsible for any actions taken based on such statements and undertakes no obligation to publicly update these forward- looking statements. I would now like to hand over the call to Mr. Gaurav Bhatnagar for his opening remarks.
Thank you and over to you, sir.

Gaurav Bhatnagar: Thank you, Aashvi and good evening, everyone. Welcome to our investor concall for Q2 & H1 FY25.

I'll start with the executive summary for the current quarter. Now, we had a very strong quarter. And in fact, if you compare our H1 numbers and Q2 numbers, you will observe that Q2 was stronger than Q1. Overall, we saw a YoY growth of 6% on our monthly transacting buyers and we had more than 28,400 buyers, travel agents buying from us on the platform in this quarter. GTV grew very strongly by 24% YoY to hit almost Rs. 8,000 Cr. Revenue grew by 28% and GP grew by 35%. Revenue and GP are growing faster than GTV because a lot of our growth is coming from the hotels business which as you all know is a higher margin business and we will talk a little bit more about it in subsequent slides. On the whole , compared to Q2 of last year, our EBITDA has grown by 24% and there is similar growth for H1 as well.

The big highlight for this quarter has been the increasing saliency of the hotels business. 59% of GTV was driven by hotels. This corresponded to 79% of revenue being driven by the hotels and non- air business and 84% of our gross profit is now driven by the hotels and non- air business . The hotels business grew in both India and international segments. In India, the hotels GP was up 26% YoY compared to Q2 of last year. Outside of India's source markets, the GP grew even
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faster at 49% YoY. A lot of this growth is driven by some key initiatives that we've been running in H1 of this year, and I'll talk about those in the coming slides. Our international footprint expansion is also on track. We've recently incorporated a new subsidiary in Australia to expand our operations over there.

Finally, before I delve further into the numbers, I just want to welcome two new members to our board. Mr. Shantanu Rastogi has joined the Board of the company. Mr. Rastogi is the MD & Head for India at General Atlantic. As you would know, General Atlantic is a large shareholder in TBO. Apart from that, Akshat Verma, who is the CTO for the company, has also joined the Board. We welcome them to the Board and their diverse experience will en-

rich the Board and
strengthen our corporate governance as well.

Looking at the KPIs, we track growth in active agents as a North Star metric. Our active agent base grew by 6% compared to the same quarter last year. Our active bookers grew by 9%, which is a promising metric, and we talked about it in the past as well. The difference between agents and bookers is that an agency will have multiple bookers using our platform. So, if number of bookers grows faster than number of active agents, it usually means that existing agents are increasing their engagement with the platform, which is a fair proxy for increasing the share of wallet as well. So, while the active agents grew by 6%, active bookers actually outpaced that growth and grew by 9%.

As I mentioned, this is one of the, probably the first quarter where hotels at the GTV level have been majority of our business and there's a sharp increase in saliency of the hotels business. Q2 of last year, we were at 47% of the GTV being driven by hotels. It's crossed to 59% this quarter. Just to kind of double click a little bit more on that. Talking about the hotel segment now, you will see that there's a very sharp growth in monthly transacting buyers buying hotels from us. So, this number is up by 13% on a YoY basis. If you look at the growth in the international market, which is source markets other than India, this growth is actually quite steep at 26%. So, we added nearly 2,000 more active monthly transacting buyers compared to the same period last year. Similarly, the GTV growth in hotels is at an enterprise level is 56%, 9% growth in India as a source market and 64% growth in the international source markets which includes Jum online as well. The revenue grew by 36% and again you would see a very sharp growth of almost 40% in revenue in the international source markets and a 48% increase in hotels' gross profit. So, just to reiterate, the numbers on this screen are for the hotels business only which is driving most of the enterprise growth.

Also, there's been a couple of key initiatives that we've been working on and investing in the last six months, and they're starting to show results now. We had briefly talked about the H-Next platform, which is our new state-of-the-art booking engine built on the latest technology. This program was in a small pilot last time we presented. So, roughly 3% of our users in the international source markets were using the platform. We expanded coverage to now 13% of our users and overall, we are seeing better engagement metrics and better conversion metrics on this platform. A few key things that I want to highlight. It's a very fast one-click discovery platform. Some of the key search criteria on the hotel's

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platform that we are enabling are complex searches. For example, if a customer asks a travel agent to book a hotel in Dubai in the Palm area, with a sea view with a 2-bedroom suite, but a refundable rate and breakfast and dinner included these kinds of complex queries are very hard to solve even on B2C OTA platforms today. So, the way we have built this platform, such queries are enabled at an extremely fast pace. The whole thesis is that when customers go to travel agents, they are looking to book complex itineraries, and these are the questions they often have for travel agents. So, our belief is discovery and bookability of hotels will become much more efficient compared to our previous booking engine with this new platform.

We've been also working on incorporating artificial intelligence and big data technology into various functions. Two specific experiments that I want to talk about today, because both of them are starting to show meaningful results now. The first one is AI-driven pricing. So, on our enterprise

business, which is a business where we sell to large customers via API, we've rolled out an AI-driven dynamic pricing platform. This is a real-time signaling platform which decides how much markup to put on every search in real time based on a variety of data signals. Right now, it is rolled out for 25% of our wholesale customers or enterprise customers in the international source markets and we've seen promising results. Also, we've seen some improvement in our take rate for this cohort. This remains a key focus area for us because the international wholesale business is a significant portion of the business. And this business is extremely price sensitive because it is largely driven through API connectivity. So, our belief is that in the long run, as we continue to invest in this program, we will see some improvement in our take rate for the overall enterprise hotels business.

The second initiative I want to talk about is using some new AI tools, specifically LLM-driven voice bots, to automate some of our call center and back-office processes. The early results on this are very promising. So, we've done about 7,000 calls in the last couple of weeks since this rollout, and what we've seen is a 60% success rate, which essentially means that in 60% of these 7,000 calls, the outcome was similar or better to what would be the outcome if a human being was making that call. So, very early days on this program, but our hope is that this will allow us to improve our customer experience, make it more consistent, and help us reduce cost of customer surveys as a function of our GTV in the long term. But I must caution these are both early-stage projects and it will take several quarters before we see material difference in our P&L because of these initiatives. Finally, I want to give you a quick update on our Jumbo online integration. As you would remember, we had completed this acquisition in December of last year. Jumbo Online is an aggregator of hotel supply in Spain, Italy and other Mediterranean coastal destinations, primarily serving tour operators in the US, UK and Europe. So, the business has shown meaningful growth in the last 12 months and now contributes almost 8.5% of our enterprise GTV and 7.6% of our revenue. The supply integration between Jumbonline and TBO is progressing well. This is where TBO supply is being pushed into Jumbonline customer base and vice versa Jumbonline supply is being pushed into TBO's customer base. We have done approximately \$ 10 million of GTV so still numbers are small, but the growth trajectory looks promising. You may recall that the Jumbonline project

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integration has a two-year window where we have staggered payments this year and end of next year, which was linked to a shared service agreement which we had with the seller. Now, given the promise that the project is showing, we have fast-tracked this integration by a full year. So, the integration that was supposed to be completed by 1st November 2025 has been fast-tracked and completed by 1st November of this year. Essentially, what this means is that we have taken over the back office and mid office for Jumbonline within the TBO ecosystem. So, the whole back-office process, the operations, customer service, finance ERP, all those processes are now streamlined and combined with the TBO operations. This will allow us to one, standardize our back-office processes for Jumbonline, have some cost optimization, and set up the business for future growth. So, our belief remains, the investment thesis remains consistent, what we have committed to in the past.

Now I will hand it over to Vikas, to talk about the detailed financial performance for the quarter. Vikas, over to you.

Vikas Jai

n: Thanks Gaurav. Good evening and a very warm welcome to everyone on this call. I am pleased to share our financial results for Q2 and first half of FY2025. For the quarter ended 30th September 24, at an enterprise level, we saw good growth in key performance matrices. Our monthly transacting buyer base expanded by 6%, driving a 24% YoY increase in GTV. Our revenue from operations reached Rs. 450.7 Cr, up 27.9% YoY. Our enterprise take rate improved from 5.51% to 5.68% YoY. Breaking this down further, the airline business take rate rose from 2.46% to 2.6% while the take rate for the hotels and ancillary services saw a decline from 8.67% to 7.59% YoY, primarily due to the consolidation of Jumbo numbers. Jumbo operates on the markup model with minimal incentive passed to the buyers and thus the take rate and gross profit are similar. Gross profit as a percentage of GTV for the quarter improved from 3.54% to 3.86% on a YoY basis. This enhancement was largely driven by the increased share of hotels and ancillary services within our GTV which rose from 47% to 59% year-over-year.

On the profitability front, adjusted EBITDA reached Rs. 89.6 Cr representing a 24.5% YoY growth while Profit after Tax came in at Rs. 60.1 Cr showing a 7.1% increase over the previous year. For the quarter, our adjusted EBITDA margin stood at 19.89% and PAT margins at 13.33%.

Turning to our performance for the first half FY2025, cumulative GTV for H1 grew by 19% YoY, driven by a consistent growth in our buyer base by 6.6%. Our revenue from operations totaled Rs. 869.2 Cr, marking a growth of 24.7%

compared to the first half of last year . For the first half of the year, adjusted EBITDA reached 174.7 Cr up 23.9% YoY and PAT totaled at Rs. 121 Cr reflecting a 17% increase. Our adjusted EBITDA margin for H1 stood at 20.1% and PAT margin at 13.92%. Additionally, it is important to note that income tax is now applicable to our wholly owned subsidiary in UAE from the beginning of the financial year and thus , H1 tax expense includes provisions for that liability. Our balance sheet remains robust with a net worth of Rs. 1,075.9 Cr as of 30th September 2024. Notably, our working capital continues to remain negative. Our cash and bank balances are also strong, standing at Rs. 1,372.8 Cr as of September 30th , 2024 .

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Thank you everyone and we will now hand over the call back to A ashvi.

Aashvi Shah : Thank you, sir. We will now begin the Q&A session. Participants are requested to raise their virtual hand to ask the question, post which we will unmute you. Request you to introduce yourself and this firm you represent before going ahead with your question . We will wait for a minute till the question queue assembles.

We have the first question from Mr. Karan Upal. Mr. Karan Upal, please unmute yourself and go ahead with your question .

Karan Upal: So, Gaurav, first question is on the international markets. So, the GTV growth in international is quite strong at 60% plus on YoY basis. Even on an organic basis it is very healthy at 26%. So, just wanted to check with you from which markets or countries are you seeing very strong traction. And also , we have heard from US listed players that they are seeing some moderation in leisure travel. Are you sensing the same? That's my first question.

Gaurav Bhatnagar: Karan , the growth has been quite secular actually . Most markets, for example, Middle East has shown strong double -digit growth even on a larger base, while APAC has shown very high growth on the base . In terms of overall share, Europe as a source market has now become our largest source market, both with Jumbonline definitely, but even if you were to exclude Jumbonline business, the core business in Europe has become very large and we

continue to see traction over there. We've seen the commentary from other players on some headwinds in the market. I think while the macroeconomic picture is clear, there is geopolitical stress in certain markets, some of our source markets as well. Here we just want to reiterate what we said last time as well, ultimately, our business is aggregating existing demand. So, we are hoping that we will be able to continue to grow until unless we see very significant headwinds come in. So, far what we see is that we should be able to continue the growth momentum into Q3 as well. That's the picture that is visible to us .

Karan Upal: Secondly, regarding the take rates, if I look at the hotel take rates, so on a quarter - on-quarter basis since last two quarters, we are seeing steady increase in the take rates. Now it is at 7.6 %. So, do you think 7.6 is a ceiling or it can increase further from there on?

Gaurav Bhatnagar: So, Karan, the whole focus right now, especially in international markets is on topline growth. We are a platform business so any significant increase in take rate is often at the expense of our travel agent partners. So, generally , the view remains that we try and maintain our take rates where they are. The whole thesis is that EBITDA should grow via operating leverage not from take rate expansion.

Karan Upal: And lastly, monthly transacting buyers have seen a small drop in India. So, what led to that, you can explain ?

Vikas Jain: Basically, India, if you see as a high, very high base of transacting buyers. So, in this quarter, the growth was muted. However, we are focusing in current year to penetrate more into the tier 4 and tier 5 cities to increase our buyer base in India.

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Ankush Nijhawan : But Karan, on the hotel side, our buyer base increased by almost 4% because what you're seeing is obviously one number . Yes, we kind of lost about 300, 400 long tail agents because of reasons mostly in the domestic airlines. But overall, our top 1,000 agents, there's no churn there at all, which are obviously the significant contributor in our business.

Aashvi Shah : Thank you. The next question we can take from Mr. Manik T aneja. So, please unmute yourself and go ahead with your question .

Manik Taneja: This question was with regards to the progress that you are making with Jumbonline. .You spoke about fast tracking integration and certain focus on cost efficiencies going forward. Would be great to essentially understand today when I look at your operating expenses below gross margins, they add up to close to about 2.8% of GTV and this number has actually increased compared to the first half of the year as well as FY24. When do you think we start to see some operating leverage flow at this level, and which should basically translate into higher EBITDA profitability as a percentage of GTV?

Gaurav Bhatnagar: I think it's a fair question and look, I think it's a very measured call on part of the management to continue to invest into growth. As you know, a lot of our growth is dependent on market expansion and increasing coverage of travel agents globally. That's a North S tar metric that we are tracking for. So, what we typically do is that to make sure that we can sustain the growth that we're showing right now , we continue to front load a lot of our sales hiring because there's a lag between when you open a market, when you hire people say in a region, and when they start to meaningfully contribute to growth, right? Especially in the retail business, y ou have to sign up hundreds of small customers before they kind of make a dent on the big number. So, what's likely going to happen is that our focus will remain on GTV growth, active agent growth, and hence we will continue to invest a lot of the

cash tha t we are generating from operating leverage back into the business. So, while you would see that the EBITDA margin is still pretty strong about 20% EBITDA margin , we would be quite happy if we can maintain the 20% EBITDA margin while continuing to invest into the growth initiatives we are taking. So, no immediate plan to focus on expanding EBITDA margin now, given the runway for growth is so long.

Manik Taneja: Second question was a clarification question for Vikas. If I'm doing the math correctly, it appe ars that on an organic basis, our GTV growth was about 13.5%. Could you just confirm that?

Vikas Jain: For the quarter?

Manik Taneja: For the quarter.

Vikas Jain: Yes, around 14%.

Aashvi Shah : Thank you, sir. The next question is from Mr. Swapnil . Sir, please unmute yourself and go ahead with your question.

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Swapnil Potdukhe : My first question is on the air ticketing side. So, we have been seeing this slowdown for quite a while now and we have called out saying that there were some pressure s on the domestic air ticketing side. How long will it take to see a turnaround in this business and what will be the share of domestic ticketing right now to your GTV within airlines ? Thanks.

Vikas Jain: So, in terms of the share of the domestic ticketin g in the Air GTV, it contributes around one-third in terms of GTV per se. So, yes, we have seen marginal decline in GTV in terms of the air numbers YoY and primarily , we are working on the same. So, this quarter we are looking at least we should be end up flat or some single digit growth in GTV numbers in here for the coming quarter.

Swapnil Potdukhe: The second question is on J umbonline. So, the number that you mentioned 8.5 % of the total enterprise GTV that adds up to around Rs. 670 Cr of GTV from Jumbo.

If I am not wrong, last quarter that number, I mean the previous quarter it was around Rs. 800 -Rs. 900 Cr. So, is there any particular reason why the decline in that number?

Gaurav Bhatnagar: I think it's a very important question because to explain how the Jumbonline business operates. The Jumbo online business is very heavily dependent on the summer inbound traffic into Spain, Palma, Balearic Islands and rest of the Mediterranean destinations. Because the way our accounting works is that we book revenue when we complete the online transaction but not on check-in. So, the Jumbonline business has revenue gets booked much earlier than the check-ins because in Europe largely people are booking their summer holidays in our FYQ3 and FYQ4. Q2 is actually when bulk of the check-ins happen but the revenue was already booked because the bookings happened much earlier. So, in the Jumbo business the seasonality is going to be slightly different from our core business and you will see more revenue outside of the heaviest check-in season because most of the bookings will happen in Q3 and Q4.

Swapnil Potdukhe: How should we see the trend playing out next quarter? Because it's holiday season.

Gaurav Bhatnagar: For Jumbonline?

Swapnil Potdukhe: Jumbo, yes.

Gaurav Bhatnagar: I think broadly look, we don't know specific guidance and the business is also very new for us. It's the first full year for us in the business. But our sense is that it should continue to remain steady. We are not expecting too much of variation either way.

Swapnil Potdukhe: And just last question on the hotels organic growth. So, that would be around 33% if I'm not wrong for this particular quarter. It was slightly lower last quarter. But again, then there are some talks about leisure travel headwinds. How should we think it from the near term? I mean, next 1 or 2 quarters? How should we be projecting those numbers? Thanks.

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Gaurav Bhatnagar: See Swapnil, during the last call we discussed that Q2 is typically heavier than Q1 and that kind of played out for us because of seasonality. Similar to that Q3 in our business is usually the weakest quarter because it's end of summer, so if you look at October -November -December except for the Christmas and New Year, largely no major triggers for leisure bookings. So, you would expect historically, and you would see historical numbers as well. Q3 is usually weaker than Q2. We expect a similar trend, but on a year-on-year basis, we expect to continue the momentum on the international source markets.

Aashvi Shah: Thank you. The next question is from Mr. Prateek Kumar. Sir, please unmute yourself and go ahead with your question.

Prateek Kumar: My first question is on take rate in hotel business. So, we have seen some improvement on a quarter-to-quarter basis in hotel business. So, last two quarters had impact of integration of Jumbonline but we are sort of looking at like 7.2% kind of take rate there so, it has improved 30 bps there. So, any specific reason?

Vikas Jain: So, Prateek, again, as you see this quarter the Jumbo contribution in overall GTV is lower than what it was in the last quarter. That's the key impact coming in the take rates. It is primarily due to the mixed impact of the Jumbo consolidation. On the core business, we are kind of keeping or managing the similar kind of take rates quarter-on-quarter.

Prateek Kumar: So, likely it should like sort of revert back to that 7.2% kind of number like going forward?

Vikas Jain: Yes, it should remain in the range, you may see cyclic movements, but it should remain in the range of between 7.2 and 7.6.

Prateek Kumar: Also, can you suggest like after H1, what is your employee base move to and how is your international employees in your overall mix?

Gaurav Bhatnagar : The employee base is roughly about 2,100 odd including contractors. I don't have a split handy with me . So, about 200 employees have been added or employees /contractors have been added in the current year. A lot of manpower growth in the business is happening either front facing sales teams in international markets. Some of ops to support that and a lot of investment is also happening in our tech and product teams as well So, this is where most of our investment is going, but I don't have specific numbers handy with me .

Prateek Kumar : We have already talked about like around 400 to 500 people on non -India payrolls. That number still stays ?

Gaurav Bhatnagar : My guess is it probably has grown from there, because bulk of the new investment is happening in international source markets. So, headcount is increasing much faster outside of India compared to what is going in India.

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Prateek Kumar: Next question is on like you have Rs. 1,400 Cr of like cash and cash equivalents. So, any thoughts on acquisition or utilization of cash on the next six months basis?

Gaurav Bhatnagar: I think we are constantly evaluating opportunities , acquisition s inorganic growth with a stated objective but like we have said in the past we are very value conscious of new opportunities and how we evaluate them. So, there is nothing to share at this point in time in the short term immediately. But rest assured, there is a pipeline that we are evaluating as we speak.

Prateek Kumar: Conceptually asking , like in some kind of global travel slowdown, there will be more opportunities or that would be the case right there like more such small agents or a company might be wanting to sell their business this point?

Gaurav Bhatnagar: No, Prateek,

I think entirely possible, and which is why we are patient, right? So, we are not rushing into anything. We want to be sure that we do a good deal, and we do the right deal. There is a lot of learnings as well from Jumbonline, which is just preparing us better for a subsequent acquisition, when and if it comes. In terms of, I think, the only thing we have to keep in mind is that doing something very small may not be very incrementally valuable for the company, given that the management bandwidth that goes into evaluating , due diligence and consuming and integrating a business is quite large. So, we will probably shy away from doing something very small. But having said that, we are actively evaluating opportunities of various sizes.

Prateek Kumar: And last question, after like Middle East, Africa and Europe as source markets, which should be like, you see as the third largest fastest growing market for you ?

Gaurav Bhatnagar: So, third largest, I would say Latin America as it stands today . The fastest growing would be Asia Pacific, but on a smaller base.

Aashvi Shah : Thank you so much. The next question is from Mr. Manik. Mr. Manik, could you please unmute yourself and go ahead with your question .

Manik Taneja : Basically, one was a request for data point. If you could, while you provide the GTV split between India and international markets, it will be great if you can start breaking that up between Europe, Middle East, the way you did it as part of your IPO process, because like last quarter when you spoke, you said there were some timing challenges in the Middle East market and thereby some of those were expected to resolve in the current quarter. So, it will be great to simply get that data straight. The second point was with regards to some of our global aggregators have spoken about challenges in the European market and while your commentary essentially seems to be slightly more optimistic, it will be great to get your perspective as to what do you think may be impacting some of the competition and what may be working to our advantage in that geo.

Gaurav Bhatnagar: Manik, firstly on your request for data, we'll definitely consider it and figure out in what form and manner we can share a bit more color on where the growth is coming from. Second on Europe source market, Manik, I think very hard to comment on competition. But you have to keep in mind, some of our competitors are significantly larger than us in Europe as a source market. Some orders are in TBO Tek Limited
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larger magnitude than us. So, they would get far more constrained for growth when their macroeconomic headwinds hit a region. Our business is coming from a small base and hence growing faster. Our belief remains that one, we have invested a lot in building out solid local leadership in Europe. As you would see, within Europe also divided buyers into three different regions. We look at UK - Ireland separately, we look at Eastern Europe and CIS countries separately, and we look at Southern and Western Europe separately, and then Jumbo runs separately as well. So, there is significant investment in leadership and people on the ground buyers in Europe as a source market. Having said that, look, I think it will be foolish to say that we will be completely immune to any major geopolitical or macroeconomic headwinds that may happen. Our only comment remains that we are coming from a small base in a very large TAM. So, hopefully, in the short to medium term, we should be able to find ways to grow in spite of some of these headwinds.

Manik Taneja: And do you think there might be some sort of risk to the take rates given the growth challenges that competition essentially is facing?

Gaurav Bhatnagar: Manik, hard to comment at this point in time. As it stands today, our sense is that

the take rates should more or less remain where they are, at least for this quarter. We're not trying to actively expand them. We do work very hard to protect them. So, we want to make sure that we don't have to discount too much. So, very hard to comment on it. But as it stands right now, we are maintaining take rates at least in the current quarter.

Aashvi Shah: Thank you. We have the next question from Ms. Sagarika Chetty. Ma'am, please unmute yourself and go ahead with your question.

Sagarika Chetty: Hi, I'm Sagarika from Anand Rathi. First question is on Jumbo. First of all, just require a clarification that in your presentation, 7.6% of revenue is solely the hotel revenue, right?

Gaurav Bhatnagar: Jumbo online is all hotel revenue, yes. But 7.6% of the enterprise revenue is coming from Jumbo Online. Not 7.6% of the hotel revenue but 7.6% of the enterprise revenue.

Vikas Jain: That too for Q2 FY25.

Sagarika Chetty: And secondly, can you again just briefly touch on, I know that someone asked about the Jumbo seasonality, if you can just repeat it because there was slight confusion. So, what are the two quarters where you know it's stronger compared to the others? If you can just put some color on that.

Gaurav Bhatnagar: Jumbo online largely depends on European leisure traffic coming to the Mediterranean beach destinations. Europe books much in advance. So, you will start to see summer bookings happen, already starting to happen in November, December and you will see heavy booking windows in January to March quarter as well. Because the way our revenue recognition works is on booking and not on actual date of check-in. So, the Jumbo business seasonality from a revenue perspective will be a heavy Q4, our Q4, but a lighter Q2 because that is when the actual check-ins are happening. So, from here on we would see hopefully TBO Tek Limited
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improving the numbers in terms of revenue for Q3 and Q4, but then we'll see some slowdowns happen in Q1 and Q2.

Sagarika Chetty: And next in terms of acquisition, which geographies will you be specifically targeting for? I mean, can you give some color on that as well?

Gaurav Bhatnagar: See, we are agnostic to geography because the business is global. We are present

in pretty much every continent and pretty much every country. The bigger question for us always is what is the figment, and you know, we have this small playbook on acquisitions on in terms of if we supply complimentary or is the demand complimentary? Do we have a belief that the business will integrate wealth into the TBO business and drive some new synergies? Do we believe that business is easy to diligence and build confidence on the numbers that we are seeing? And then fifth is we getting good value for the business and we will be able to meaningfully expand EBITDA post-acquisition. So, those are the criteria that we look at, but we remain fairly agnostic to which part of the world the business operates in.

Sagarika Shetty: And finally in terms of the monthly transacting buyers, so in India is it safe to assume that the transacting buyers' growth would come from international and on India we have already seen some level of saturation or is there some room to grow in India per se?

Ankush Nijhawan: I think the headroom for growth in active buyers in India is still there, but one thing you must notice that the active base is very high. It is in 5% or a single digit. It is a significant addition to our active buyers, but yes, obviously India still remains a very buoyant market and the whole outbound story has just started to roll out now. So, we are very confident we will add buyers and continue to add buyers as we move forward.

Gaurav Bhatnagar: Karan, are you next?

Karan Uppal: So, just want to check on corporate travel. So, we are we are basically hearing news flows of corporate or business travel picking up in India as well as internationally. So, just wanted to check what's the rough split between corporate and leisure travel for us? And are we seeing any uptick because of corporate travel?

Gaurav Bhatnagar: So, Karan, largely our business relies on leisure travel because the whole thesis is on outbound leisure. Having said that, there is a fair portion of business that comes through corporate, and which is because travel agents would typically, any mid-size or large travel agents, is typically running a corporate travel desk separate from leisure. Corporate business is slightly more year on and slightly more consistent but possibly lower margin and lower GTV for travel agents. Leisure is much more profitable but happened in spurts, there is a strong seasonality to it. So, we do benefit from that if you look at our data. So, the proxy is looking at how many bookings are happening, where there's a single passenger for it as an example, and we would think of it as a proxy for there's probably a corporate traveler, especially if it's a small, short haul or a short stay booking. So, with that, I would say there is a fair portion of business that comes from TBO Tek Limited
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corporate, but bulk of our business is largely driven by leisure. We do believe that at least in the short term, this will continue to remain so. The value proposition of travel agents and value proposition of what we bring on the table, which is the differentiated hotel supply at a global scale, is far more relevant for a leisure traveler, especially because a lot of premium luxury sells on leisure, which is where we specialize in.

Karan Uppal: But if I have to just assume a number, so would 80-20 be a fair split, 80% leisure and 20% travel? Not an exact number but just a ballpark?

Gaurav Bhatnagar: I would not comment on that, Karan, because it would be misleading and also, I think from a perspective of our financials, I think there is no difference in margin profile or growth profile irrespective. I can say that the majority of the businesses is leisure but whether it is 80-20 or 60-40 is very hard to articulate that.

Karan Uppal: And the second question is you mentioned that the momentum in the international markets will continue, so if I just look at the GTV growth rate or organically I think it has grown by north of 30%. So, if the take rates remain where they are, which you mentioned that it will not increase meaningfully. So, 30% is a fair assumption in terms of the growth from here on?

Gaurav Bhatnagar: We don't comment on it, we don't provide any outlook. But our only hope is that

we will just be able to maintain momentum from where we are.

Karan Uppal : The next thing is on the Jumbo. So, you mentioned that Q3 and Q4 are seasonally strong for Jumbo, but for TBO's organic business Q3 is weakest. How should we think about Q3 because there are multiple factors which are playing out? And this is the first time which you are going to report it publicly. So, any comment there?

Gaurav Bhatnagar: Karan, I think Q3 is definitely historically the weakest in our business. We would definitely expect similar outcomes this quarter as well. Yes, Jumbo will probably have slightly stronger Q3 compared to Q2, but in the big scheme of things, Jumbo is still small, right? So, it is meaningful, but it is not material enough to move the numbers. So, our view will still remain that, historically Q3 is somewhat lower than Q2. I would not expect it to change this quarter this year as well.

Aashvi Shah : Thank you, Karan. Yes, Mr. Prateek, please unmute yourself and go ahead with your question.

Prateek Kumar : Just one follow up question on acquisitions again. What kind of metrics would you use like in current environment for evaluating acquisition? It should be like GTV to EBITDA or EV to EBITDA. I am not sure how profitability would be impacted for smaller companies in the current market situation, but what is the general matrix which you would like to be pursuing for any M&A?

Gaurav Bhatnagar: Prateek, this answer changes case by case because our industry is quite niche. It's a small industry. There are no established benchmarks in B2B, especially at subscale businesses, which are not very large. Our thesis will always remain on what is our return on investment and what is our payback period. That is why we are quite conservative when it comes to assigning value to potential acquisitions.
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What we largely look for is that, is it just additive or is it going to be significant synergy to increase meaningful value on both sides, the core business and the business that we're acquiring. On the whole, we want to be sure that we have a fairly reasonable payback just from the cash flows of the business rather than looking at EBITDA or revenue multiples.

Aashvi Shah : We have a question from Ms. Vidhi Shah. Ma'am, please unmute yourself and go ahead with your question.

Vidhi Shah: Yes. Hi, so I am from Yes Securities. Just two questions. First is in the last quarter, you had mentioned you have closer to 35% of income from hotels coming in from direct sourcing. So, wanted to understand how we are in terms of the mix for direct sourcing and the third-party distribution that we have typically, where we are on that side?

Gaurav Bhatnagar: Vidhi, the number is pretty much at the same level right now, about a third, about 33%-35% of our businesses coming from direct sourcing. And we do not expect to change it very materially either way in the short to medium term. As we discussed in the past, look, as a platform business, third party supply is equally important for us. In fact, one of our strengths vis-à-vis many of our industry peers is that we have a very strong playbook both on tech and on operation, on being effectively able to use third party supply and service our travel agent partners. It gives us the maximum depth and breadth compared to many of our industry peers. So, how we look at it is that we want to maintain a healthy mix of direct business where it makes sense because there is an additional cost of acquiring direct business with third-party business. Though sometimes, not always, sometimes it is slightly more margin accretive, also creates a competitive edge vis-a-vis our competition. So, we believe we are at a good steady state right now. This number may inch up or down depending on seasonality, depending on the sheer mix of destinations. But we are not expecting any significant material movement on this number in the short term.

Vidhi Shah: And what would be the typical sustainable levels for hotel take rate like you mentioned including Jumbo the take rate for hotels is looking at 7.6. So, is it fair to assume that closer to 7.5 -8 would be the sustainable levels on the hotel side?

Vikas Jain: So, as I mentioned as an answer to the other question as well, that we expected depending on seasonality mix etc. it should remain in the range of 7.2% to 7.6%.

Vidhi Shah: This is just Jumbo, this is including everything?

Vikas Jain: This is over all.

Vidhi Shah: One more question if I can squeeze in. Last quarter, the active agent growth, if I'm not wrong, was over 20% on a YoY basis. So, that for this quarter is 6%. So, if you can just give some color on this?

Gaurav Bhatnagar: Vidhi, I think at an enterprise level, year-on-year growth was similar last year, last quarter as well, about 6% or 7%. The growth you're looking at is the growth in TBO Tek Limited
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the international source markets, where yes it was close to 20% and in fact it's higher than 20% in this quarter.

Vidhi Shah: So, if I am looking at the consolidated level is that 6%, even in the last quarter?

Gaurav Bhatnagar: Yes, it is pretty consistent and slightly higher in the international.

Vidhi Shah: And that momentum would continue in this quarter as well, as you mentioned 20% was there in last quarter?

Vikas Jain: Vidhi, again no firm guidance on this and to keep in mind if there are a lot of holidays in a quarter then this number is sometimes lower because they are just fewer working days. But rest assured this is the North Star metric we are chasing; this is where all the investment is going. So, we have a very strong eye on this number.

Aashvi Shah: Thank you, Vidhi. Since there are no further questions, we would like to end the call. I would like to give it to Mr. Gaurav for his closing remarks.

Gaurav Bhatnagar: Thank you, Aashvi and thank you, everyone for joining this call and for all the insightful questions. We've taken your feedback on some additional data points. We'll discuss internally and decide how we can give you more color on the business. Thank you.

Aashvi Shah: Thank you so much, everyone. In case of any queries, please reach out to us. Thank you so much. We can now end the call.

Call: Feb 2025

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Sub: Transcript of Earnings Conference Call

Dear Sir/ Madam,

Pursuant to the provisions of Regulation 30 read with Schedule III of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended we are enclosing herewith the transcript of Earnings Conference Call held on February 12, 2025, in relation to the unaudited financial results of the Company for the quarter and nine months ended December 31, 2024.

Kindly take the above disclosure on record.

Thanking you,

Yours faithfully

For and on behalf of TBO Tek Limited

Neera Chandak
Company Secretary

Encl.: As above

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TBO Tek Limited
Q3 & 9M FY25 Earnings Conference Call

February 12th, 2025

MANAGEMENT: MR. ANKUSH NIJHAWAN, CO-FOUNDER AND JOINT MD
MR. GAURAV BHATNAGAR, CO-FOUNDER AND JOINT MD
MR. AKSHAT VERMA, WHOLE-TIME DIRECTOR
MR. VIKAS JAIN, CHIEF FINANCIAL OFFICER
MR. ANIL BERERA, PRESIDENT- STRATEGY
MR. RAJIV KUMAR, HEAD INVESTOR RELATIONS

MODERATOR: MR. SNIGHTER A., ADFACTORS PR – INVESTOR RELATIONS

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TBO Tek Limited
Q3 & 9M Earnings Conference Call
February 12, 2025

Moderator: Good evening, everyone. I am Snighter Albuquerque from Adfactors IR, Investor Relations. On behalf of TBO Tek Limited, I would like to welcome you all to the Earnings Conference Call for Q3 & 9M FY25.

Today on this call, we have with us from the senior management, Mr. Ankush Nijhawan, Co-Founder and Joint Managing Director; Mr. Gaurav Bhatnagar, Co-Founder and Joint Managing Director; Mr. Akshat Verma, Whole-time Director; Mr. Vikas Jain, Chief Financial Officer; Mr. Anil Berera, President-Strategy; and Mr. Rajiv Kumar - Head Investor Relations.

We will begin the call with the brief opening remarks from the senior management followed by a Q&A session. Please note all participant lines are in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that certain statements made during this call may be forward-looking in nature. Such forward-looking statements are subject to certain risks and uncertainties that could cause the actual results or projections to differ materially from those statements. TBO Tek will not be in any way responsible for any actions taken based on such statements and undertakes no obligation to publicly update these forward-looking statements.

I would now like to hand over the call to Mr. Gaurav Bhatnagar for his opening remarks. Thank you and over to you, Gaurav.

Gaurav Bhatnagar: Thank you Snighter, and welcome everyone to our Q3 & 9M FY25 earnings concall. Before I kick off on the numbers, a quick reminder on our business. TBO Tek is among the top four global travel distribution platforms. Our vision is to be the largest travel distribution platform in the world. We aggregate offline travel demand on one side, offline demand driven through travel agencies, tour operators, independent travel advisors, travel management companies, so on and so forth on one side. We aggregate travel supply on the other side, supply being hotels, airlines, car rental, transfers, cruises, etc. and we make money on every transaction on the platform. The business is very global, with over 185,000 registered buyers across more than 150 countries. We operate on a global scale, with more than 55 currencies supported on the TBO Tek Limited
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platform, more than 20 plus payment options across the board, across the world, including alternate payment modes enabled on the platform. The platform operates in 16 languages.

Coming to our numbers for this quarter, we continue to look at our business metrics, starting with a North Star metric of monthly transacting buyers. The thesis of the business is that our GTV will typically grow faster than the number of transacting buyers on the platform and we expect revenue, gross profit and EBITDA to grow faster than GTV on the same lines.

If you look at the numbers for Q3 & 9M, there is a 9% increase in the monthly transacting buyers compared to same period last year. This has led to a 26% increase in GTV, leading to a GTV of Rs. 7,166 Cr. This led to a 29% increase in revenue and a 34% increase in gross profit, leading to an overall increase of 26% in adjusted EBITDA and ending at Rs. 75 Cr for this quarter. The numbers look largely similar for the 9M as well. In fact, we have accelerated growth on certain parameters in this quarter as you will see that the active agents and GTV growth is faster in Q3 compared to full year. But full year numbers are trending at the same pace and are trending towards a 25% increase in adjusted EBITDA.

So, what is really driving the growth in the bus

iness is the growth in hotels

and ancillaries segment overall. You would see that for this quarter, the YoY growth is very impressive 48%; both India and international operations are growing at a fast clip. The leading contribution this quarter has been from Europe, which has grown 90% YoY. This has a contribution from Jumbonline, which is an acquisition we completed last December. But even if I was to take the Jumbonline contribution out, it would still be a 60% plus growth on the organic business in Europe. Just as a reminder, when we talk of business from a source market, it is where the business is originating from. So, it is not a destination, but this is demand originating from Europe. Similarly, LATAM has seen a very impressive 34% YoY growth. Middle East on a very large basis has grown 31% YoY. APAC and North America are new markets for us, and we are growing at a fast clip.

We have been making significant investments in the adoption of AI into our business processes, and I will talk a little bit about it through the course of this presentation. But I am very happy to report that overall, we are seeing very impressive gains in productivity and user engagement, wherever the early trials on some of these AI bots have concluded. Finally, we are fast tracking given the growth that we have seen in the first nine months of the year, and as we plan for next year, we are fast tracking our planned

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investment and geographic expansion. I will talk a little bit about it in subsequent slides.

Looking at the KPIs, our active agent base has grown by 10% compared to same period last year. This is largely driven by a 24% increase in the active agent base outside of India and international business. Our active booker base continues to grow at a faster clip than active agent base, which is always a positive sign, because it shows user engagement. The difference between bookers and agents is that the agency is one travel agency working with us, if there are multiple bookers within that travel agency working with us then that counts as multiple active bookers from the same travel agency. So, if active bookers grow at a faster clip than active agents it generally means that there is more engagement in the travel agency, and we are probably gaining wallet share. Overall GTV grew by 26% and 52% growth in GTV came outside of India, largely driven by the hotel segment. And finally, revenue has grown by 29% at an enterprise level.

There was request in the last earnings call that we should provide more color on the source of growth of the international business, so we have split it out by source markets. Once again, the reminder when we look at these numbers, this is origination of demand, not destination. Europe contributes 33% of our hotels and ancillary GTV and it is by far our largest source market now. This has grown 90% on a YoY basis in this quarter. Middle East and Africa is the second largest market at 27% GTV contribution grown by a very impressive 31% on a large base. India is 13% of our hotels and ancillaries contribution growing at 18% and then Latin America is 10% of overall GTV contribution growing at 34%. To highlight on Latin America, this growth is especially impressive given the currency headwinds that Latin American markets have faced in Q3 since the US elections.

Going deeper into the hotels and ancillary segment, overall our monthly transacting buyers is growing at a faster clip in the hotel segment as compared to the overall enterprise by 13% which is again 28% growth in the international markets. We have added over 2,000 new active travel agents on the platform compared to same period last year outside of India. Overall, hotels' GTV has grown by a very impressive 48%. Revenue is growing at a more or less similar clip and gr

oss profit has grown a little bit faster to grow by 52% compared to same period last year.

I want to take a couple of minutes just to explain what is driving this growth and how we think of the business and where we invest to drive growth. There are three pillars to the business. The first one is the platform itself. We run a TBO Tek Limited

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state-of-the-art B2B distribution platform, well geared to service both small, mid-size retail travel agencies and as large enterprise customers. We continue to make significant investments in improving the quality of the platform, the ease of use on the platform and the conversion on the platform. A lot of interaction and engagement on the platform is very data driven. We have what we internally call a customer 360 view, which is our internal warehouse which houses a lot of decision making on what offers, coupons and marketing is personalized to what travel agents, basis this 360 view. Finally, AI and automation has become a new theme for us, and I will talk about some of the initiatives, but it is very clear that this will have quite a material impact on our business going forward.

The second pillar of business is diversifying the lines of revenue. Hotels and air are our core businesses, but we have started to make investments in other lines of businesses as well, which are admittedly quite small today, but which should likely grow at a faster pace in the overall business to become meaningfully important for us. Also, these are required for the completeness of the platform, because if we want travel agents to largely depend on us for fulfilling outbound complex itineraries, then access to high quality attractions, car rentals, rail crews, etc. is extremely important.

The third bit is our playbook for geographic expansion. We have been doing significant work on setting the base for growth for next year, which includes setting up legal entities in different parts of the world, investing in hiring local talent and local leadership, setting up local payment options and making sure that we support all the languages that are relevant in the market that we are expanding into.

On the hotels platform, there are two new initiatives I want to talk about. The first one is a new hotels platform called H-Next which we talked about earlier as well, so that rollout continues, and the outcomes are quite positive right now. One of the new features that we are launching on H-Next, in the next couple of weeks is an AI enabled smart search. The idea here is that, as a travel agent, often I get queries which are slightly high level in nature. A customer would approach a travel agent and say - I want to go to Dubai, but I want to stay near the beach with a kid friendly hotel and I also want a pool villa inside the hotel. Now, these kinds of queries are very hard to solve for today even on B2C platforms because the data is not structured that way. It requires a lot of filtering and a lot of research before you can narrow down. So, we are enabling this AI powered smart search on the system, where a travel agent can just copy paste a query that they receive from a customer or they can type in the query in conversational English and the system uses AI to shortlist the hotels

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and pricing for those hotels basis the query that was made. On each of the recommendations that we make, we also mention why we are recommending the property and we believe this is quite useful for a travel agent because these are the kind of complex queries a travel agent often needs to deal with and their ability to turn around faster on these queries with more high quality results will help them improve their own conversion, a

nd in return, it will help

us improve our conversion as well. So that's one big initiative on hotels.

The other initiative is we are launching a new program called TBO Platinum. The idea here is that we are doing some exclusive/semi-exclusive tie ups with a curated set of luxury hotels. As we have talked in the past, our sweet spot is premium outbound traveler i.e. - If somebody is traveling overseas and going to spend a significant amount of money on that travel, typically booking at least a four or a five star hotel. We are working with a handpicked set of luxury

hotels and bringing them into our TBO Platinum umbrella and the hotels have to commit is some exclusives that they will provide to our travel agent. So, these exclusives could be in the form of a guaranteed room upgrade, a guaranteed early check-in or a meal upgrade. So, you book a room only and you get breakfast included, or you book a breakfast and you get a second meal included, or an airport transfer may be included. The hotels are going to offer something exclusive for TBO travel agents to offer to their customers and there is some incremental commission that they will pay us for it. In return, we will give them very high-quality enhanced visibility on the platform, increase marketing on the platform to drive traffic and bookings for these platinum hotels. It's a brand-new initiative just a few days into its launch but we do believe it will allow us to create very meaningful engagement with key hotels and it will also allow our travel agents to get access to something exclusive that they can offer to their customers, especially on the luxury segment.

We have been working last two quarters on various experiments to see how we can adopt all the advancements in AI into our business. There are two projects that have gone live now. The first one is that we have implemented a voice bot which mirrors some of our outbound calling processes; specifically, where we have to call the hotels. Right now, it is live for about 16% of our workflow and the initial results are very promising. The voice bot has similar or slightly better quality of outcome in comparison to a human caller, but it is 5x faster. On an average if you are taking five hours to close a ticket with a human caller, it takes only one hour to close the ticket; so it's 5x faster, and it operates at a 50% of the cost. This rollout will cover roughly 50% of the workflow very soon. For us, it improves the quality of customer service because our turnaround time reduces, and it also starts to free up our

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resources for more high-quality customer service. So, these initiatives are largely going to lead to higher NPS and quality of customer experience and hopefully it will also mean that going forward as the business grows next year, our cost structures grow at a slower pace, especially on the operations.

The other bot that we have gone live with, is a bot which reads supplier emails and classifies them into actionable and non-actionable emails. So currently, we get several thousand emails every day from various suppliers on the booking that have already happened in the platform, and there is a manual process where we have to go through these emails and decide what action needs to be taken. Now this bot, with a very amazing accuracy of 99.5% is able to close 45% of those notifications automatically, which is a huge reduction in workload for our operations teams and the bot is already achieving that. The roadmap for this bot is to eventually be able to action some of the emails as well and to become a little bit more agentic as well. So far, we have achieved very promising results on both the bots that we have launched.

Finally, we also launched NPS on international business via an external tool. The overall NPS stood at 70

in December of 2024 which we believe is a very industry leading score, which is also a reflection of the low churn on the platform. Even though the NPS score is already very high, it is creating very meaningful insights for us on how we can improve our customer experience going forward.

Talking a little bit more on the sightseeing experiences business; this is a relatively new business for us and is only starting to get attention and investment recently. We believe this is very important because again the outbound premium traveler who is booking through a travel agent is often very driven by experiences so providing a large variety of high-quality experiences on the platform is very important for us to make sure a travel agent is able to fulfill the needs of their traveler. So, in the past quarter Q3, we have completely revamped our sightseeing and experiences portal. We have made it more visually appealing, updated the quality of content on the platform, the quality of imagery and the quality of offerings that we have on

the platform. Several new tie ups have happened with other suppliers who will be providing us these experiences and we expect four new suppliers to go live in the next few weeks on the platform which will significantly increase the depth and quality of offerings that will be available for sightseeing and experiences.

The Umrah portal has also seen significant, meaningful traction in the last few weeks. So, just a quick reminder, Umrah is the Muslim pilgrimage to Mecca

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and Medina during about 11 months of the year minus the Hajj period. It's a very large opportunity with the stated goal of the Saudi government to get 30 million inbound tourists into Saudi by 2030 and Umrah is going to be a significant portion. Why we have created a separate experience for Umrah is because of 2-3 reasons. Umrah is a complicated itinerary because there is always going to be an element of not just a hotel but a local transfer. People usually land in Jeddah, then go to Makkah and then go to Madina. Often people need some kind of assistance in terms of local guides. We have created a Umrah first experience with very high-quality imagery, with the hotel booking engine geared towards solving for the fact that - if I am going for a pilgrimage, the filters change, it goes to distance from Haram and things like that. The quality of content on the hotels is very handpicked curated by us. The ranking of the hotels is decided by us, and this is backed by 24/7, 365 support in various languages which are relevant for this segment. So, what we have seen is that the attachments of multiple products for the same passenger booking a hotel and the transfer, for example, the attached rate on this portal is significantly higher, though on a very small base to be fair right now. But overall, we see this as a very high potential project for us because I don't think any other B2B or a B2C player is actually offering a unique, dedicated offering like this for this segment.

Finally, a note on our geographic expansion. The playbook for the company is quite clear on how to expand into new countries and new geographies. During this year, we have expanded our sales presence in 15 new countries and 40 new cities within those countries. Australia, New Zealand, France, Germany, Japan, Romania are some of the highlights. Three new legal entities have been incorporated in the last quarter in Indonesia, Greece and Israel setting the base for significant ramp up in these source markets. Feet on street expansion is happening in these new territories as we speak and will continue to accelerate through Q4 and into the next year.

One significant integration we did on payments is a new integration called Taza pay. They provide us a bouquet of alternate payment modes across

the

world, especially in developing markets like Philippines, Indonesia, Singapore, Mexico, Colombia; etc. The objective of the playbook is to be truly local to the market that we are operating in. We see especially in the developing markets, alternate payment methods are quite relevant and prevalent, so we continue to invest in these integrations to make sure that we are able to provide travel agents every possible way to collect from their customers.

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Before I hand over to Ankush to talk about in detail on the India Business, I just want to take a minute to highlight a few things on seasonality in Q4. Just a reminder, Ramadan is going to be in March this year and March is essentially Ramadan. Ramadan is traditionally a low season for the business because businesses essentially are closed in Middle East, Indonesia and in many of our key markets. As we talked about it in Q2 as well, the moment Ramadan has an impact on the overall numbers for a quarter it will get more than made up for in Q1 because Q1 will have Eid and all other holidays. So, just wanted to make sure that we are aware of the fact that Ramadan is going to fall in Q4 and we will have some impact on the growth rate that we have seen in Q3 vis-à-vis

Q4 and with that I will hand over to Ankush.

Ankush Nijhawan: Thank you, Gaurav. I will just talk a little more about the India business. A total GTV for India market came in at Rs. 3,200 Cr, growing nearly at 5% YoY. This was led by strong performance in hotels and ancillary segment which grew at 18% YoY to reach Rs. 559 Cr. Similarly, segments' gross profit demonstrated an equally healthy growth of 16% YoY and came in at Rs. 13 Cr. We are committed to building on this growth and further solidify our market share. Towards this, we launched a Platinum desk program for our top hotels and ancillaries account which is basically our travel agents. This exclusive program focusing on top cohorts of the buyers is expected to drive our share of wallet with them through personalized service and focused cross selling of hotels and sightseeing and other ancillaries. Early responses to our Platinum decks are very encouraging. With focused efforts in platform driven interventions that will drive cross selling and agent stickiness and focus expansion sales, we are confident in delivering continued growth in the Indian market. We are also infused by multiple initiatives announced by the Union Budget 2025 like the increase in TCS threshold to Rs. 10 lakhs from Rs. 7 lakhs. With Noida and Navi Mumbai airports kicking off very soon. 120 new airports connectivity in the pipeline under the UDAN Scheme, as per Budget 2025. India outbound story should continue to grow at an accelerated pace. With this, I would like to hand over to Vikas to speak about the financial performance of the company. Over to you, Vikas.

Vikas Jain: Thanks, Ankush. Good evening and very warm welcome to everyone on this call. Thank you for joining us today. I am pleased to share our financial results for Q3 & 9M FY25. For the quarter ended 31st December 24 at an enterprise level we saw a good growth in key performance metrics. Our monthly transacting buyer base expanded by 9.2%, driving it 26.2% YoY increase in GTV. Our revenue from operations reached Rs. 422.2 Cr, up 29.2% YoY. Our enterprise take rate improved from 5.76% to 5.89% YoY. Breaking this down further, the air business take rate dropped from 3.03 to 2.57 primarily due to TBO Tek Limited

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performance link incentive actualizations in last year, same quarter. At YTD level, take rate is in line with last year at 2.6%. Hotels and ancillary services take rate saw a decline from 7.99% to 7.84% pr

marily due to change in

supplier and customer mix during the quarter. Gross profit as a percentage of GTV for Q3 improved from 3.89% to 4.14% on YoY basis. This enhancement was largely driven by an increased share of hotels and ancillary services within our GTV which rose from 51% to 60% YoY.

On the profitability front, adjusted EBITDA reached Rs. 75 Cr, representing a 26.1% YoY increase, while Profit after tax came in at Rs. 50 Cr, showing a marginal drop of 1.6% over the previous year, largely due to Rs. 12.48 Cr forex loss triggered by sharp movement in USD against other major currencies. For Q3, our adjusted EBITDA margin stood at 17.77% and PAT margin at 11.84%.

Turning to our performance for nine months for FY25, cumulative GTV grew at 21.1% YoY, driven by consistent growth in our buyer base by 7.5%. Our revenue from operations totaled Rs. 1,291.3 Cr, making a growth of 26% compared to the nine months of the last year. For the first nine months of the year adjusted EBITDA reached Rs. 249.7 Cr, up 24.5% YoY, and PAT totaled at Rs. 171 Cr, reflecting a 10.9% increase. Our adjusted margin for nine months stood at 19.34% and PAT margin at 13.24%.

Additionally, it is important to note that the income tax is now applicable to our wholly owned subsidiary in UAE from the beginning of the financial year, and thus the nine-month effective tax rate is approx. 16.07%. Our balance sheet remains robust, with the net worth of Rs. 1,115.5 Cr as at 31st of December 2024, notably our working capital continues to remain negative. Our cash and bank balances are also strong, standing at Rs. 1,335.5 Cr as at 31st December, 2024.

Thank you, everyone. With this, I will hand over the call back to Snighter.

Snighter Albuquerque: Thanks, Vikas. We will now begin the Q&A session. Participants are requested to raise their virtual hand to ask the question, post which we will unmute you. Request you to introduce yourself and the firm you represent before going ahead with your question. We will wait for a moment till the Q&A queue assembles.

We have our first question from Manish Adukia. Manish, please introduce yourself and the firm that you represent and go ahead with your question.

Manish Adukia: Thank you. Hi, this is Manish Adukia from Goldman Sachs. Thank you so much for taking my question and thank you for the presentation. I really appreciate
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you disclosing that hotel breakup by region, quite helpful. I have a couple of questions. The first one on the incredible growth you have seen across most of your major international markets. Most of the markets are growing at 30% plus, with Europe, you said 60%. You did explain what are the drivers for this growth where maybe penetration is still low and you are still adding customer base but just trying to understand the runway for this growth. In your view, is this 30% plus growth sustainable for the foreseeable future or will the base; as it becomes larger impact this growth, and in that same context, optically the India growth of 18% for outbound hotels looks a bit lower counter intuitive that India is actually growing slower than your global markets. Is that because the penetration of MTB is already quite high in India, and that's why the growth there is lower. If you can help us explain those, that will be great, that's my first question.

Gaurav Bhatnagar: Thanks Manish. Let me talk about Europe first. One thing to note in Europe compared to Q3 last year is that because of the start of the Israel war, there was a slight depression in Europe last year which is why the growth looks abnormally high. But irrespective, I will admit the growth is very strong, especially in a market like Europe which fundamentally is a slow growing market. So, as we

have always talked Manish, our belief is that the TAM is very large and the runway and headroom for growth is also very large. We are growing in three different ways - one is just pure new market expansion i.e. when you go to 40 new cities now, within those cities you have absolutely no base today. Our playbook is very strong, and our conviction is that amongst all the platforms that are available to a travel agent we remain the best possible platform. So, once we localize ourselves, we have local account management, local payments and local language support in place, we see very good traction happen. When opened to those 15 new countries or 14 new cities, that is just like landing in new markets.

The second bit is expanding our base in existing countries, as we saw very good growth in Latin America. Now, we have been around in Latin America for a long time. But again, Brazil for example is a very large country, so just to have complete market coverage would require you to have more sales presence within the market.

The third bit is, which somewhat shows up in the fact that bookers per travel agent are increasing. The engagement with the platform is increasing and we are actively working on building out capabilities for cross sell and upsell as well. So the third bit, which is something that we believe will start to get relevant in maturing markets like the Middle East. That's the broad view and my view remains that on the international business, we do feel confident that

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even though the basis is increasing at a rapid pace, we should be able to demonstrate similar growth. There is seasonality in our business. It is very cyclical, and it doesn't happen at the same time every year. So, you will see a little bit of thrust and highs come in. On the whole, we do believe we should be able to sustain this level of growth for the foreseeable future. I will pass on

to Ankush for the India business.

Ankush Nijhawan: Manish, just to add to the India growth we grew actually from 9% in Q2 we actually grew at 18% in Q3. This shows that, what we had planned it's going in the right direction to see a double growth in Q3 versus Q2. If you see the headroom of growth in active buyers in India, we are still 3%. We have a very large active base, which is very high, but keeping that in mind, the market still remains beyond the whole outward story which all of us read in the press. But the fact is, this output story and the addition of new routes and airlifts being added will only help our story. So, 9% to 18% in India is a very significant growth from Q2 to Q3.

Manish Adukia: Thank you Ankush and Gaurav. My follow up question on that is specific to the India non-hotel business which we have turned it around from a GTV perspective but again from a steady state standpoint is that like a single digit growth business just the airline business or outbound airline business from India or do you think that business also has room to accelerate into double digits? The second follow-on question is on this addition of international markets which Gaurav talked about and you have added 15 countries just this year alone. Now, from a margin standpoint how should we think about the impact of that considering the adjusted margin obviously this time around is down QoQ and YoY, is this likely to be like the bottom of margins or as you expand into new countries and invest in salesforce, maybe in the short term you could see a little bit of further margin headwind before they start bottoming out? Thank you.

Gaurav Bhatnagar: On the margins front, growth comes at a cost which is investment in sales, product, tech that we continue to do. We do believe that because the business shou

ld be orders of magnitude larger than what it is in the future, I am not saying in what foreseeable future, in the fu we continue to invest quite heavily. While the business is generating a lot more cash, it is getting reinvested back. From a ROI perspective, a lot of those investments have quick turnaround on just the payback, but they do bring the EBITDA margin down. One way we are looking at it internally is that, are we delivering healthy EBITDA growth right, dollar-to-dollar, or YoY basis. For example, this year we are trending to about 25% increase in EBITDA compared to last year. The aspiration is that, if we are able to continue to invest in the business, continue into our geographic TBO Tek Limited
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expansion, continue to invest in technology and still maintain this 25% EBITDA growth every year, we are happy with that. Now this may not translate into operating leverage per se because the operating leverage is getting invested back, but at least the management view is that it's a very happy compromise to be able to grow high digit, continue to invest in the business while continuing to increasingly generate more cash. That's the way we are looking at it.

Vikas Jain: Manish, your question was regarding the India air business, that it has started going in a single digit and will it continue, was that the question per se?

Manish Adukia: Yes, the question was specifically on the India air business and directionally steady state medium term, how should we think about the growth outlook for that business?

Ankush Nijhawan: Okay. If you see basically this quarter, we have grown in a single digit but if you see the last two quarters, we were kind of a negative growth. We are trying to move towards making a balance between the growth and the gross profit margin. We are even managing our gross profit margin and in the range of 1.2% to 1.3% and are able to now grow at least in the single digit growth. We are working towards that direction where we are able to manage such kind of growth with such kind of GP numbers. But yes, we will keep on reviewing our strategy on an ongoing basis for the air business.

Manish Adukia: Got it. Thank you, just the last quick question again Gaurav will be directed towards you. The expansion into the international market continues at a fairly

rapid clip, can you contextualize for us the expansion in the last 12 months that you have done? Has that been faster compared to let's say your pre-IPO history? The reason I am asking is in terms of your ability to manage multiple markets and submarkets and at what point do you think you get to a place where maybe you are growing too fast or expanding too fast? How do you strike that balance that you are not doing too much and making sure that wherever you are, you are adequately focusing on those before you expand into new markets. That's my last question. Thank you.

Gaurav Bhatnagar: Manish, the good news in our business is that the playbook is very homogeneous. So, whether we open a new market in Latin America or we open a new market in Asia Pacific, the playbook changes very marginally and that is something that we've spent years perfecting. If we need to open in any part of the world today, we know what are the three or four things that need to happen. We know where the hiring is going to come from, what we need to do for payments and APMs and what languages to support. There is a bit of a flywheel effect over here, because we cover 16 languages, most of the

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languages are covered. So, any new Spanish speaking country we going, we already support Spanish as a language. Any new Arabic speaking country we go into, we already support Arabic as

a language. We support Portuguese as a language, French as a language. In my sense it gets easier but also we must keep in mind that, while there is this large sales team on the ground and the go to market is very sales led, ultimately it is a platform business. The transaction happens on the platform, the travel agent once on boarded largely interacts with the platform and which is why the efficiency of a salesperson grows very rapidly. From a management perspective, creating a clean sales structure is not very hard and it is largely in place. As you know, our regional leadership is pretty much in place, their country managers are pretty much in place. So when we expand, if a country manager needs to hire a few more sales people on the ground, from a management bandwidth perspective, it is very isolated to the country where that hiring is happening but not much changes in terms of taking up the management bandwidth of senior leadership or any significant investment that needs to happen on the tech platform to customize it.

Snighter Albuquerque: Thanks Gaurav, Ankush and Vikas. We will move to the next participant. Mr. Karan Uppal, please introduce yourself, the company you represent and go ahead with your question.

Karan Uppal: Thanks for the opportunity. This is Karan Uppal from Phillip Capital. The first question is on the organic growth. So, I can see that GTV has grown by 28% on a YoY basis and revenue growth is around 29%. Can you help me with the organic growth in these two categories?

Vikas Jain: The organic growth in terms of the GTV without including the Jumbonline numbers basically, we have grown overall at around 20% YoY in this quarter.

Karan Uppal: 36% organic in the hotel business, that's correct?

Vikas Jain: Hotel business, yes.

Karan Uppal: Okay. The second question is on margins. The margins have dropped on a sequential basis as well as on a YoY basis. Now, if I look at some of the cost items, other expenses have been quite sticky and not moving in tandem with the GTV. What is leading to this elevated other expenses and what's the output there on the overall margin?

Vikas Jain: When you see margin as a percentage of revenue, there might be a slight decline coming in because of the lower revenue growth as compared to the

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GTV. But if we see adjusted EBITDA as a percentage of GTV, we have maintained a similar margin at 1.05% this quarter versus last quarter, same year. While our GPA has increased, as Gaurav had mentioned, we will keep on investing in for future growth so that's the investment that we have made. But as a percentage of GTV, we are trying and keeping the similar margins that we earn as a percentage of GTV for the adjusted EBITDA margin.

Karan Uppal: Going ahead directionally, if you can provide some sense into EBITDA margins at this point? The reported margins are at 16% versus 18% last year. So directionally, how should we think about the margins?

Vikas Jain: At YTD level if you look, we are trending towards 19% plus of EBITDA margin. So that's what we are targeting towards maintaining in the future as well.

Karan Uppal: Okay, thanks for the clarification. The third question is on the take rates. So, Gaurav, the take rates in the hotel business has been improving. This is the third consecutive quarter of take rate improvement especially in the hotel business. Is it because the Jumbonline take rate have improved post our acquisition that is leading to improvement in the overall take rate and how should we think about it from a go forward basis?

Gaurav Bhatnagar: Karan, Jumbonline being a more of an enterprise business is slightly dilutive to the overall take rate. Largely, the take rates have been inching up last three quarters. Largely it's a function of mix. So, for example,

our retail business

happens at a slightly higher take rate compared to our enterprise business. If in a quarter the retail business grows faster than the enterprise business, then the take rates improve. If the international hotels business grows faster than the India hotels business because that operates at a higher take rate, then the take rates improve a little bit. Our view remains that they'll remain fairly range bound, we have been guiding around between 7.2% to 7.6% because right now the company is not really focused on improving the take rate. We do want to maintain them because that is an important metric, so we don't want to buy business by reducing take rates, but we are also not focused on increasing take rates at this point in time because again the focus is on top line growth. So as long as we can deliver profitable top-line growth without meaningfully having to increase take rate, that's better for us. Like we have said this in the past we are a platform business, so everything that we keep as a take rate is taking away from the travel agents from their own commissions. So we try and maintain a certain range within which we operate with our take rates without any specific effort to significantly improve them in the short to medium term.

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Karan Uppal: Okay. Last bit is on, the impact from Ramadan, if you can quantify the impact for Q4? Thanks.

Gaurav Bhatnagar: It is hard to quantify it because one, there are many factors that come into play. But, just from a YoY perspective Q4 you will see two changes happen. One Q4 will have a full impact of Jumbonline in the business. Jumbonline is a mature business, so it will definitely not grow at the same pace as our organic business. That is one and second is Ramadan which means that the Middle East business will see a little bit of slowdown towards the end of Feb, and then for most of March toward for 20 days of March. It is very hard for me to say what it translates into actual growth rates. But it will have some impact which the converse to it is that because last year Ramadan was in Q1, so when you see Q1 on Q1 numbers, then we will have a tailwind over there because last year Q1 numbers were depressed because of Ramadan.

Snighter Albuquerque: Thanks Gaurav. Thanks Karan. We go on to the next participant. The next participant is Swapnil Potdukhe. Please introduce yourself and the company you represent and go ahead with your question.

Swapnil Potdukhe: Hi, thanks for the opportunity and congratulations on a good set of numbers.

This is Swapnil from JM Financial. So, a couple of questions, first starting with the previous participants' questions and dwelling a bit more on the mix between the retail business and enterprise business today and if you could just give a sense of where we are in terms of that mix and any trajectory that we have seen? Have you been significantly increasing our retail business of late because of the expansion that we have done in newer countries, any sense on that?

Gaurav Bhatnagar: So, Swapnil if I include the Jumbonline business as well, then the enterprise business is slightly larger in terms of GTV compared to the retail business. The thing with enterprise business is that it's slightly lumpy in nature because when you sign up for customers, often these are large customers, so, they may take a long time to get started with you. But once they start then they suddenly bring very meaningful business growth. But in the long run, the company is quite clear that the value proposition and the differentiation from all the other B2B players is on the retail side and all the investment is going into building in the retail business. Going forward, if I had to look at the mix over the next 12 to 18 months, it should swing back to more of a half-and-half

if today, I would say with Jumbonline it's probably skewing slightly more towards the enterprise business. But in the medium term, the retail business should grow faster than the enterprise business.

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Swapnil Potdukhe: Okay, fair enough. The second question is on your forex losses that you have mentioned. Now, I would like to understand the nature of this loss, whether this operational loss or this is related to the cash which might be sitting in some of the foreign subsidiaries?

Vikas Jain: This is primarily because of the time gap between a booking is made, and either we receive payment in the local currencies or we make payment to the suppliers in the local currencies. But due to this sharp movement in USD versus currencies like GBP, Euro, BRL, and others after the post US election results, this has caused a big impact on the forex losses that we have in our books so that is the key reason basically.

Swapnil Potdukhe: Okay. The other question is with respect to your tax rate. Now, there was a mention of Dubai getting some tax increase recently, but that didn't reflect in your Q3 numbers it seems. Your tax rate has in fact come off on a sequential basis if I were to look at it from that perspective?

Vikas Jain: Yes, good question. So, one Dubai tax is effective 1st of April 2024, and this is baked in our 9M numbers, but in this quarter per se, in one of our subsidiaries there were some losses wherein we were able to take benefit deferred tax assets. So that has helped to reduce our overall effective tax rate for the quarter. But if you ask me, for the full year, it should be ranging in the range of around 16.5% to 17% on the overall effective tax rate for the full year.

Swapnil Potdukhe: Got it. Just one last question on some of the countries where we have been already present. And Gaurav did highlight about expanding the base in existing countries itself. So apart from Brazil, is there any other opportunities that we have been working on, and we see significantly large market which is untapped despite the fact that we have been present in those geographies?

Gaurav Bhatnagar: Yes, definitely Swapnil, even though Europe already looks large on the numbers, we have been making quite significant hill roads in the Southern European markets like Italy, Spain. We are still very small over there, especially on the retail business. But that is where some serious investment is going through. Investment is happening in markets like Australia as well. We continue to expand our sales presence in Indonesia. So just on the whole, Swapnil, the way we are structured every region is looking at their own market expansion and it happens at a fairly micro level, because the cost of setting up a new market or especially in an established market, opening a new market or new city is fairly low for us. Operationally, their cost is almost zero

except for probably people on the ground. And hence, it continues to happen fairly democratically across the globe. So, we are not banking on one or two

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countries to deliver very large growth next year for the whole, for the enterprise needle to move.

Swapnil Potdukhe: Okay. Just a last question, any updates on possible M&As that you will be working on, earlier we were considering something in North America, so any moment on that side. Thank you.

Gaurav Bhatnagar: Swapnil, we continue to explore opportunities and like we have said in the past, we are very cautious in committing to something. All I can say at this point is, we are exploring across the globe, in multiple geographies, but nothing at this point in time which looks close to coming to fruition in the next

few weeks or months. So, no further comments on that.

Snighter Albuquerque: Thanks, Swapnil. We move to the next participant. Anirudh Agarwal, please introduce yourself, the company you represent, and go ahead with your question.

Anirudh Agarwal: Thanks for the opportunity, and congratulations on the strong performance. Had a few questions, Gaurav first on the 36% organic growth if I just try to back calculate the Jumbonline numbers, it seems that Jumbo has very strong seasonality. I mean, absolute Jumbo GTV seems to be meaningfully lower versus what we have been doing in the past couple of quarters. So just wanted your take on that and in terms of the like-to-like Jumbonline growth rate that we would have experienced in this quarter?

Gaurav Bhatnagar: Anirudh, the like-to-like is not possible in this quarter because the integration or the business was acquired only on 18th of December last year. So, we will have slightly more like-to-like numbers in the coming quarter. Jumbonline business does have a strong seasonality because of the nature of the business. So, that business largely services the tour operators and the leisure market from Northern Western Europe traveling to Southern Europe, largely Spain, Portugal, the Mediterranean coast. Hence, the summer is when most of the check-ins will happen. So, July, August, is where most of the check-ins happened. But the nature of booking windows in these markets is very different from the rest of the world. They book well in advance. So, Jan, Feb, March is where you will start to see bookings happen for July and August. Hence, you will see a spurt in bookings in Jan, Feb, leading to check-ins in July and August. We are expecting Jumbonline to deliver on the business case we have created for it in terms of EBITDA and growth. I will reiterate that it is a very mature business. The business has been around for almost 50 years. It's a very mature business in a mature market. So, the real uptick in the business is going to happen, the use case we have created is the cross sell that happens

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between the Jumbonline inventory selling on TBO and TBO inventory selling on Jumbonline. So, some of the growth will actually start to appear in the TBO business, because when Jumbonline buys from TBO, it has a top line growth in TBO as well. We will absolutely not expect Jumbonline to deliver a similar kind of growth rate like 30%, 36%, 37% growth rates is absolutely not possible, not factored in and not budgeted for. But having said that, on a standalone basis, it's a meaningful portion of our business, and it meaningfully improves our overall supply value proposition in Europe.

Anirudh Agarwal: Got it. The second question Gaurav was on, the use of AI across operations that you mentioned. So, this is one part that could help us with some margin expansion. While I understood that we are investing incremental margin or profitability into growth initiatives across the globe but is there some part on the operations and admin side that we can save which helps with, near term profitability, or that will also go into growth at each in the near term?

Gaurav Bhatnagar: See the overall view of the company is that the AI led initiatives are largely to improve customer experience and stickiness on the platform. From a cost perspective, I don't have the exact numbers, but operations is probably 5%, 6% of our revenue as cost. So, it will not have a huge impact on our EBITDA margins if you were to shave off some cost and we are not planning to shave off cost, because really the objective is to free up resources to focus on high quality customer service where actual human interaction is required. Yes, what should happen is that the pace at which our operations cost grows vis-à-vis our top line, that should slow d

own right. So, if operations are growing by X percent, if GDP is growing by X percent, the cost of operations should not grow at X percent, it should grow at some x minus 5% that should definitely happen. In the medium term you will see some margin expansion on account of this. I do agree with it, but because it is not 20%, 30% of the cost. It's like 5% of the cost. So, it is not going to be a very huge improvement in margin on account of reducing this cost.

Anirudh Agarwal: Understood, thanks. Final question from my side, in terms of just profitability of the business. While, reported margins may continue to look more in the similar range, in terms of the mature geographies, if you could share a ballpark in terms of how profitability would be looking in markets, let's say like the Middle East, wherein large mature and been there for a period of time?

Gaurav Bhatnagar: So, Anirudh, it is hard to bifurcate profitability in this manner, because the supply is common and just from accounting perspective, it is not possible to derive true accounting profitability by source market, just because the nature of how revenue is counted. Having said that, one indicator we look at is what

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we call regional contribution which is, generally speaking and it's a loose metric but we are looking at after taking out all the cost in a region, what is the net cash contribution of that region to the business, that number as a percentage of GTV continues to improve in mature markets like Middle East would be one example and every year as a percentage of GTV that number continues to improve. One we are not kind of disclosing what those numbers look like and second, it is also very hard for us to share a number with you which will tee up with the accounting numbers, just because of the nature of how revenue is getting counted. But yes, we are definitely seeing, if your question was, are we seeing operating leverage at least in a mature region absolutely yes.

Anirudh Agarwal: Got it fair enough, thanks a lot and all the best.

Snighter Albuquerque: Thanks Anirudh. Before we go to the next participant, may I request anyone who has a question, may please raise their virtual hand, we would go ahead and unmute you to ask your question. The next question is from Raghav Malik. Raghav, please go ahead, introduce yourself and the company you represent and ask your question.

Raghav Malik: Hi, this is Raghav from Jefferies. I just had two questions. So, the first one is a follow up to the previous participants' question on the forex impact. I had asked this before in terms of any permanent sort of hedges that we have and I don't think we do, but is there some sort of natural hedge that we have in terms of your business to mitigate some of your currency headwinds as they may play out, that's the first question.

Vikas Jain: Raghav we have a combination of both natural hedge as well as the forwards being taken for the currency at the net level. So, while yes, the natural hedge helped us mitigate our losses, but in terms of the hedge we have been taking conscious call basis the kind of currency that we are dealing in and the kind of volatility we were having. So, in some markets, we were taking forwards and in some we were not, but after the sudden movement that we have seen in USD versus other currencies we are kind of revamping our hedging strategy as well as we are also increasing the frequency of review of our foreign

exchange exposure so that we are able to mitigate our losses. We are also exploring some tech solution which can help us out in micro hedging kind of thing.

Raghav Malik: Okay, got it. Secondly, more of a strategic question, while I know we are prioritizing our growth of GTV over margins currently and not asking for a timeline by any means, b

ut in terms of the strategy for the longer term when

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we say that we expect margins, EBITDA and profitability to grow faster than GTV. Do we mean more like when we are in a mature sort of situation with GTV kind of normalizing to let say, high single low double digits and that's when margins will start to play out better or how do we see this more from a strategic point of view say 5-10 years or no timeline per say, but just strategically?

Gaurav Bhatnagar: Yes, Raghav it is fair to say that margins should expand quite significantly when we stop reinvesting some of those margins into top line growth. Again, we can't share timelines on it, because as long as we see a runway for growth, because the company's aspiration is very clear, we want to be the largest travel distribution platform. So as long as we see a runway for growth, the company will continue to invest in that top line growth. It is very important because of a lot of initiatives which will actually drive a credit margin to the bottom line, for example, cross-selling, ancillary sales, sightseeing, car rentals, all of these are dependent on having a large active customer base buying air and hotels from you because these attaches only happen on these core products. Those products have a much higher gross margin as well. From a strategy perspective our view is, we are building a platform so more nodes on the platform, more active nodes on the platform is the number one thing that we are focused on today. What we are happy about is that we are able to do it profitably by reinvesting some of the profits and cash we generate in the through the year. So, in the short term absolutely the margin expansion might be quite muted but in the long run in a steady state, we absolutely expect it to be a much higher EBITDA margin business from where it is today.

Raghav Malik: Okay, got it. Thank you, Gaurav.

Snighter Albuquerque: Thanks, Raghav. Anyone who has a question, you can please raise your hand, we will unmute you and you can go ahead and ask your question. Yes, the next one is Sarthak Avasthi. Sarthak please go ahead, introduce yourself and the company you represent and ask your question.

Sarthak Avasthi: This is Sarthak from Sanlam Equity Asset Management Fund. Sir, my question is that the hotel industry as a sector is very cyclical. So, I just wanted to understand the long-term perspective, that in a previous down cycle of the hotel industry how did we tackle at that time the market scenario and suppose if there is an oversupply in the hotel industry, then how are we going to tackle that time market scenario sir?

Gaurav Bhatnagar: So, Sarthak because our focus is on the outbound premium traveler, that segment is slightly more immune to cyclical factors like inflation or other

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geopolitical factors. There is some resilience in the business because of the fact that we are not focused on the budget traveler. We focus on a more frequent, slightly more mature, high spending traveler. On the other comment on oversupply, the oversupply usually works in our favor, because when there is oversupply, hotels very heavily lean on platforms like us to offload inventory. In fact, the reverse happens when the supply is very tight, and demand is far outpacing supply that is where the intermediaries have a challenge creating incremental value for the hotels. The hotels over supply does not really bother us much because that actually allows us to create more value for the hotels we are driving meaningful volumes for them. On cyclic

look, yes, travel business per se is influenced by geopolitical factors. We have seen many of those come in and for example the

Israel Palestine war is as

recent as last year, there was a slight dip in the business because of that. Prior to that, the Ukraine - Russia war because we have meaningful business in Eastern Europe and in Ukraine as well had an impact on the business but again, a slight dip. So, how we look at it is that, because we are building a global business, no one country, no one geography or no one region is overwhelming the revenue mix. Secondly, by focusing on the premium outbound traveler, we are little bit resilient to factors like inflation or cost of living and things like that.

Sarthak Avasthi: Yes, and that answers my question. Sir, my second question is that we are focusing on luxury hotel segment, so we will be having a take rates on a higher end on that part?

Gaurav Bhatnagar: So, Sarthak, we may receive better commissions from hotels. The question that always comes to this is how much you are keeping for yourself and how much you are going to pass on to your travel agents. We continue to maintain a view over here that it's in the interest of the business and the travel agents on the platform that if we pass on majority of that benefit to the travel agents right now. We are not expecting while, yes that program is very important for us, luxury hotels are important for us, it will probably create more income for us from the hotels, but we are not expecting it to increase our take rates because a lot of that benefit we will likely pass on to our travel agent partners.

Sarthak Avasthi: Okay, sir just one more question, if I may. Sir, like recently in channel checks, I came to know that there's a lot of increase in the competition in the domestic front. So, how we are going to tackle that part, like travel agent has lot of options on the platforms.

Ankush Nijhawan: Sarthak, are you talking about the air business or the hotel business?

Sarthak Avasthi: I am talking about the hotel business.

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Ankush Nijhawan: For us, our focus still remains is the outbound story and that's our key focus for India outbound and for people traveling overseas. From a domestic hotel point of view, our business is relatively small, right. So, I don't think that kind of bothers us but yes, we are focusing on organized chains, the typical five stars and structure chains which we will continue to get the supply on our side. But we are not into that business of selling two stars, three stars, etc. So, our story remains outbound, and that is the plan going forward.

Sarthak Avasthi: Thank you, sir that answers my question. Thank you.

Snighter Albuquerque: Thank you, Sarthak. That was the last question for today. Since there are no further questions, we would like to end the call, I would like to give it hand over to Gaurav for his closing remarks.

Gaurav Bhatnagar: Thank you Snighter, thank you everyone for attending this call and for all the insightful questions. Thank you.

Vikas Jain: Thank you.

Snighter Albuquerque: Thank you Gaurav. Thank you Ankush and the management.

Ankush Nijhawan: Thank you Snighter. Thank you everyone.

Snighter Albuquerque: Thank you everyone. In case of any queries, please reach out to us and we would now end the call. Thank you.

This Transcript has been slightly edited at few places for clarity and accuracy and may contain transcription errors. The Company takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy.

Call: May 2025

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Sub: Transcript of Earnings Conference Call

Dear Sir/ Madam,

Pursuant to the provisions of Regulation 30 read with Schedule III of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, we are enclosing herewith the transcript of Earnings Conference Call held on May 22, 2025, in relation to the Audited Financial Results of the Company for the quarter and financial year ended March 31, 2025.

Kindly take the above disclosure on record.

Thanking you,

Yours faithfully

For and on behalf of TBO Tek Limited

Neera Chandak
Company Secretary

Encl.: As above

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TBO Tek Limited
Q4 & FY25 Earnings Conference Call

May 22nd, 2025

MANAGEMENT: MR. ANKUSH NIJHAWAN, CO-FOUNDER AND JOINT MD
MR. GAURAV BHATNAGAR, CO-FOUNDER AND JOINT MD
MR. AKSHAT VERMA, WHOLE TIME DIRECTOR & CTO
MR. VIKAS JAIN, CHIEF FINANCIAL OFFICER
MR. ANIL BERERA, PRESIDENT- STRATEGY
MR. RAJIV KUMAR, HEAD INVESTOR RELATIONS

MODERATOR: MRS. AASHVI SHAH, ADFACTORS PR – INVESTOR RELATIONS

TBO Tek Limited
Q4 & FY25 Earnings Conference Call
May 22, 2025

Aashvi Shah: Good evening, everyone. I am Aashvi Shah from Adfactors IR, Investor Relations. On behalf of TBO Tek Limited, I would like to welcome you all to the Earnings Conference Call for Q4 & FY25.

Today on this call, we have with us from the management, Mr. Ankush Nijhawan, Co-Founder and Joint Managing Director; Mr. Gaurav Bhatnagar, Co-Founder and Joint Managing Director; Mr. Akshat Verma, Whole-time Director and Chief Technology Officer; Mr. Vikas Jain, Chief Financial Officer; Mr. Anil Berera, President-Strategy; and Mr. Rajiv Kumar, Head-Investor Relations.

We will begin the call with the brief opening remarks from the management followed by a Q&A session. Please note that certain statements made during this call may be forward looking in nature. Such forward-looking statements are subject to certain risks and uncertainties that could cause the actual results or projections to differ materially from those statements. TBO Tek Limited will not be in any way responsible for any actions taken based on such statements and undertakes no obligation to publicly update these forward-looking statements.

I would like to now hand over the call to Mr. Gaurav Bhatnagar for his opening remarks. Thank you and over to you sir.

Gaurav Bhatnagar: Thank you, Aashvi. Good evening, everyone, and thanks for joining our earnings call. We have taken feedback from a lot of you over the last few months and structured today's presentation slightly differently. We will run through our results for Q4 & FY25 and then spend a little bit time giving more color on what the growth levers are in the business, and given the very international nature of the business, how various markets across the globe are performing for us.

I will start with a quick reminder of what we do. We are a B2B travel distribution platform connecting global travel buyers. Travel buyers being travel agencies, independent travel advisors, tour operators, corporate travel agencies, loyalty companies, basically anybody who sells travel, we connect them to global travel supply. Supply being airlines, hotels, car rentals, transfers, cruise, etc.; basically, anything related to travel that can be sold online. The business is very global, operating in more than 150 countries. We transact in more than 55 currencies. The business operates in more than 16 languages across the globe. We are generally counted amongst the top four B2B travel distribution platforms, and as I will show you in subsequent slides, we are one of the fastest growing B2B travel distribution platforms at this point in time.

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Starting with the update for the quarter and for the full year, it's been a very good year for us from a growth perspective. Our GTV has grown by 16% and we hit a milestone this year and we crossed Rs. 30,000 Cr of gross transaction value. Revenue has grown by 25% to Rs. 1,737 Cr. GP has grown faster than revenue, and both revenue and GP are growing faster than GTV because the saliency of hotels business, which is a higher margin business, has increased quite dramatically this year. So, our hotel business is growing much faster than the airline business. We ended the year with

a 22% growth in adjusted EBITDA at Rs. 329 Cr. Along with this growth, we have been significantly investing in market development, and we will give you some color on that. As a company, we are very happy to report that we have been able to

drive profitable growth while investing into the future.

Q4 FY25 numbers are somewhat similar. Revenue has grown by 21%, gross profit has grown by 24% and EBITDA has grown by 15%. So, we did our own scorecard looking at what went well and what we could have done better. If we look at our financial performance, we are quite happy with it. Revenue has grown on a YoY basis by 25% and EBITDA has grown at a similar level. We have a very strong balance sheet. We have ended the year with roughly Rs. 1,450 Cr of cash, which sets us up well for any future acquisitions. The Q4 FY25 numbers, especially for the international business, were quite strong in spite of the seasonal impact of Ramadan. Some of you may remember that in the last call, we talked about that how Ramadan has moved from April to March, and hence Q4 FY25 might get impacted. We are very happy to report that all regions, including the Middle East, showed growth in Q4 FY25 compared to the same period last year.

We significantly expanded our footprint adding 15 new markets this year, notable markets being Australia, France and Germany. Important to note, these are high value, high transaction, and luxury outbound markets. We accelerated our sales hiring, especially in Q4 FY25 and again, we talked about it in our last call, that this is a key lever for growth for us. We added nearly 60 more people on the ground globally, in our sales. The hotels plus, meaning everything non-air i.e. hotels and ancillaries' contribution grew from 50% last year to 59% in GTV terms. From the gross profit perspective, it is almost 84%. So, quite a very significant portion of our gross profit is now generated from the hotels business. Last quarter, we

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talked about some of the new AI led initiatives that we were incubating, and I am happy to report they are going full steam now.

The Jumbonline integration was successfully completed this year, one year ahead of plan. The integration was supposed to be completed in October of 2025 which was completed in October of 2024. On the flip side, to be fully transparent, we also analyze what we could have done better. On the performance of the airline segment, there has been a struggle this year and we have to look at ways in which we can monetize this business better in the coming year. We could have managed Forex better, in the P&L as we have taken a hit on Forex, especially in Q3 FY25. In retrospect, with the volatility that came after the US elections, we could have foreseen it better and we have learned some lessons over there. The third bit is, we could have done even faster expansion in the international markets. We waited till Q4 FY25; partly because we wanted to have solid EBITDA growth in the first three quarters. Our conviction on the strategy was much earlier, but we waited a little bit later to act. We are making up for it in Q1 FY26.

Looking at our KPIs, we look at active agents and active bookers. To remind everyone, if there are multiple travel bookers in a travel agency, we count those as multiple bookers. Our active agents and active bookers are North Star Metrics, and the definition of activity is that it must have issued at least one transaction or one invoice in the year. At an enterprise level, it grew by 7% but in international business, where most of the hotel business resides, it grew by 18%. Active bookers grew faster than active agents, at a pace of 10% in the quarter. GTV looks a bit flattish, but at the international markets' perspective, the GTV actually grew 19% and which also mirrors the growth in the hotels business; because most of the international business is anchored around hotels. The revenue grew 21%

and the growth in the hotel segment

in international business, revenue grew by a very healthy 32% compared to the same quarter last year.

The full year numbers are similar. The active agent base has grown by 9% and we are almost touching 49,000 active agencies across the globe. The active booker number has grown faster by 12% hitting almost close to 70,000 active bookers worldwide. GTV grew by 16% and within that the growth on international business for GTV grew by 43% and enterprise revenue grew by 25%. The revenue grew faster than GTV, largely because the hotel's business has a disproportionate share of the overall volume now.

Looking at the saliency and the pattern, this is the strategy we have been talking about for the last one year. The strategy is to anchor heavily around growing our hotel's business, hotels and ancillary products like TBO Tek Limited
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sightseeing, car renters, transfers, which sees far more value in a global distribution platform like us. The fragmentation on hotels, both from a perspective of that there are millions of hotels, vis-à-vis a few 100 airlines worldwide, and there are thousands of different source markets, like cities from which people travel to a hotel. So, the fragmentation of demand and supply is so much; that hotels and all the ancillary products find platforms like us far more valuable, and that is what we are anchoring around. From a gross profit perspective, 84% of our gross profit is now generated by the hotel's business and only 13% is anchored around the airline business.

I will just take a pause here to reflect on growth and what our hotel's business does. The numbers here are of hotels' GMV and hotels' growth only because the other two large competitors, listed competitors, HBX Group and Webbeds are largely sellers of hotels. We have been the fastest growing platform by a fair distance in this difficult year. This is a year which has been marked by turbulence, there have been two global wars, elections in many countries and Forex fluctuations happened wildly. So, just to set the stage on what does 35% growth mean in this business, if you anchor around how some of our peers are growing, we have been growing significantly faster although on a smaller base, but not as orders of magnitude smaller base.

Our footprint is also very global and secular and this is important, because there is no heavy concentration of business. 36% of our hotels plus GMV is now originating out of Europe. Just to remind everyone, when we report GMV numbers by geographies, these are source markets where demand is coming from, not destinations. So, when we show 36% of the GMV is coming from Europe as a source market, and that's the largest market for us now. Very interestingly, while it is the largest market, it is also the fastest growing market for us. Europe and US are just incredibly large as demand market for travel, many orders of magnitude bigger than say smaller markets like India and the Middle East. We have a long runway of growth, in spite of the fact that Europe is already our largest market. The Middle East and Africa is the second largest market for hotels, with 25% of the contribution coming from there. This is a relatively small market, but we are very dominant in this market and are very happy to report that in spite of that, we have a 25% growth this year in the Middle East and Africa markets. India is a third market in terms of hotels and has grown 8% last year. APAC, Latin America and North America sit at a similar volume between 8% and 10% of share. APAC has been growing fast on a small base with 66% growth. Latin America saw 21% growth, keeping in mind that the currencies in Latin America saw a lot of fluctuation this year, considering the various macroeconomic

factors. US grew 29% but our expectations from US are much more this year.

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We will spend a few minutes giving a little bit more color on each of these markets, because this is something that our investors want to understand about the business, given how globally diverse it is. Starting with the India business, focusing on the hotel's business because that is the business, enterprise is focused on. India business has seen a 16% growth over the last two years between FY23 and FY25. We have nearly 23,000 transacting agents. We are quite deeply penetrated in terms of coverage in the market having 69 cities with feet on street within India. The non-air saliency in India is quite contrary to the overall business and this is the number that gradually changes. So, India is one market where only 16% of our business is non-air right now and this number has been improving every year, and this is the journey for us in the India business. We have also revamped our go to market for India. We have two big things that we have done is cross sell, because we have a massive base of travel agents buying flights from us, and they are also graduating as the overall market matures to outbound travel. A lot of travel agents also need to graduate from selling flights to selling hotels. So, that is one key focus area for us to create cross-selling and upsell opportunities for our existing transacting agent.

The other thing that we are doing is, we have set up what we call a platinum desk to make sure that our high touch, high quality agents are getting very high quality service from us. These agents are serving luxury HNI market, and they need a different kind of hand holding, and that's what we have set up for India. For the longest period of time, Middle East and Africa has been our largest market by GTV. This year, Europe surpassed Middle East but irrespective, the growth in the Middle East and Africa market, it's grown quite well at 23% CAGR over the last two years with more than 5,000 transacting agents in this market. Keep in mind, it's a fairly small market from an outbound travel perspective, because of a small population, and except for the GCC, the rest of the market doesn't have a very large discretionary spend as of now. Within the GCC and within the Middle East market, there are 12 countries where we have our own feet on street sales teams. 25% of our overall business at an enterprise level for hotels comes from the Middle East market. Within the market, we have a lot of spread of travel agents that work with us. We have presence in 40 different countries within Middle East and Africa, in terms of travel agencies buying from us.

Key growth markets this year would be Saudi, South Africa and North Africa i.e. largely Egypt, Morocco, etc. Saudi is a special focus because it's a both an important inbound market, as we have a DMC business in Saudi and we contract a fair bit of Mecca and Medina. We also work very closely with Saudi tourism to promote overall Saudi as a destination. Saudi will be a key inbound and outbound market for us, followed by South Africa and Northern Africa. UAE remains a very large market for us, by far we are

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the largest players in that market. In spite of fair bit of saturation, we continue to see growth in this market and largely for us the indication is that we are getting share of wallet from a competition in these markets. The key focus from a growth lever perspective is going to be setting up more regional payment me

thods especially when you go outside of the GCC, you need to enable local payments options as well, creating translations for some new languages and pushing ancillary sales. So, this is one of those markets where even the airline business for us is growing at a fast clip. As travel agents have very deep engagement with us, we are always looking at increasing our spectrum of services that we offer to these travel agencies.

Europe is the largest market for us, the GTV growth has been very impressive, of course with one acquisition that we did last year. We have nearly 4,000 transacting agents in Europe, and we have 25 countries within Europe, where we have actual feet on street on the ground. So, you will see that we are starting to really penetrate the market as well. We have 49 different countries within Europe where we have travel agencies doing business with us. Europe contributes 36% of our overall hotels business. This year focus markets are high quality, high spending, high GDP, high per capita income markets like Spain, France, Italy, UK and Germany as outbound demand markets. We have set up a strong in market, feet on street over there. The other focus in Europe considering it being extremely very multilingual, we have been setting up localized support across major European languages, and we support out of Ireland, Spain, Greece, Israel and Poland, to make sure that we provide truly local support in the language and culture of the of the traveler.

Coming to America, we have combined North America and South America together over here. America has seen good growth of 32% over the last two years, but our belief is North America should grow faster, given it's on a very small base. Combined, they contribute 18% of our hotels business. We have over 5,000 transacting agents in America, so it's a substantial presence. A lot of that presence is concentrated in Brazil, which is a key market for us. Within the region, we have 8 countries where we have our own sales teams, and 23 countries within the region actually where we have customer presence. We have seen strong growth in Brazil, and we continue to invest in that market. Brazil is a very large country, so there are large pockets of the country where we have absolutely no presence right now, and there will be focused on building that presence.

I am also very happy to share that, we have a new sales leader joining as Country Manager for North America, for US and Canada. She joined on 15th of May, so very new to the market, but very hopeful that this will be a turning point for us for the rest of this year.

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And finally, APAC has seen incredible growth. This market had completely shut down during COVID, and businesses have really come down to zero. But it's an 89% CAGR, over two years, 2,600 transacting agents, 9 countries with feet on street sales teams. We have a fairly large presence in Indonesia and now growing presence in Australia. Right now, the market contributes 8% to the overall business, 18 countries within the region where we have our travel agents. This year, we have been focusing on scaling up the team across Australia, New Zealand, Hong Kong and Indonesia. These are all large markets, but we are especially hopeful on Australia and New Zealand, because while the population is small, the per capita spend on travel is extremely high and outbound travel is a big focus in these markets.

I will spend a few minutes now just explaining how we are thinking of business and how we model the business internally. As a platform business, there are three things that we can influence. One is the transacting buyer base, and this is really a North Star metric for the business at an ad scale. We look

at ways in which we can increase the number of buyers on the platform. The second thing we look at is platform frequency, and which is no different from other platforms. You try and see, can I get the transacting buyer base to transact more often, every year or every month or every day. The third thing you look at is, can I increase the transaction value. Some of them are seasonal in the business of travel and some of it you have influence on. The thing with this business is, these numbers multiply with each other, because if the number of transacting buyers increase, our GTV grows much faster than our buyer base

historically, because of the stickiness of the platform and because of the fact that there are multiplier effects that happen on the platform as those buyers become more engaged on the platform.

The way we think of a business is that we need to grow, there are three distinct things that we need to do. We need to increase our buyer base to grow the number of travel agents on the platform. We need to increase the number of transactions they do on the platform, and then we need to increase that average transaction value on the platform. Let's look at some of the levers that we can focus on, and the ones that are highlighted are the ones that we are actually working on. On the transacting buyer base, there is a very strong focus on market expansion. So, opening new markets, and extensive work happening across the world right now, but notably in Europe as well. Followed by market penetration markets like the Middle East, where we have been around for a long time, but still opportunities to deeply penetrate the market. India is another example, we have been around in the market for a long time, but a huge runway to further penetrate in the market. The third bit is churn, which is painful for TBO Tek Limited
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any platform business. So, a very strong focus on NPS and very strong focus on making sure that our transacting buyers, once they are on the platform, are deeply engaged and do not churn out.

On increasing the frequency of transactions, one is increasing the product portfolio. Significant work happening on improving not just the depth of our hotel's inventory but also bringing more focus on ancillaries like transfers and sightseeing to make sure that we have more and more products to sell, and travel agents have more and more reasons to come back on the platform. We are also looking at buyer engagement, which is largely driven through product marketing. So, we have created a very interesting product marketing stack which is proprietary and in-house, which allows us to do targeted cross sells and upsells and very strategic discounting or additional loyalty, to keep the travel agents engaged on the platform. Finally, on improving transaction value, one thing that we have been focused on is building high quality luxury inventory on the platform. Our thesis has been that because we work with travel agents, largely travelers who book via travel agents are looking at Long Haul premium travel, so their average booking values are higher. We are taking some initiative to make sure that we have an excellent inventory for luxury and premium hotels.

To reiterate the message as to why we are so confident that there is a large headroom for growth in this business and it will continue to grow at a high pace for several years to come. We are just getting started in some very large markets. Europe is a prime example of a market which basically did not exist for us pre-covid and is the largest market now and still growing at a very fast pace. Developed markets like North America, Australia and Asia, are going to be key markets where we have barely touched the surface. We have

strong long term buyer stickiness, over four, five, six, seven years, you would see on cohorts 35%, 37%, 40% of the buyers still remain on the platform. So, we have a long runway during which once we acquire a travel agent, we have a long runway to monetize our travel agency.

Again, increasing the frequency of transactions, the ancillary business has again just started, the focus is less than a year old on that business and it is showing good growth. Interestingly, more than a third of our transacting buyer base has been acquired in just the last two years. So, all of our international expansion is very recent. There is a recency over there, travel agencies have just started with us, a third of our buyer base has just started working with us which means, they will eventually warm up and data shows that they will eventually warm up to book things

beyond hotels as well. On luxury travel one, the overall sentiment of luxury travel is more positive than overall travel. Our belief is that luxury
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travel will continue to grow just as a macroeconomic trend faster than overall travel. We are also taking specific initiatives to improve our own quality of inventory there as well.

Just a couple of things, I will touch upon before we move to the financials. Starting with the market expansion in real terms, what does it mean for us, what did it mean last year and what it means this year. On the whole, we added about 16 new key account managers in Q4 of last year. We had talked about this earlier that we will be accelerating our market expansion in Q4 and we did that. We have a plan to add another 100 odd salespeople across the globe in the next quarter or two. We opened 15 new countries last year and we are adding 20 new countries to the platform this year which are demand markets, and these are market, open the countries. We already have some travelling's working over there, but now we will have feet on street sales team on the ground driving volumes. Finally, North America leader has recently been on boarded. There will be a double down focus on building North America and investing in North America to build it out as a key source market for us.

Last quarter, we had just briefly touched upon the platinum program, and just to remind everyone, this is a new program where we are launching working with a key set of luxury hotels in key destinations, key pockets of luxury. Dubai would be an example, London or Paris, where we work with a few hotels and we create a differentiated program with them, offering them preferred marketing, preferred listing and preferred placement on the platform. In return, the hotels promise us unique and exclusive value-adds things like a guaranteed early check-in or a guaranteed room upgrade or a guaranteed late checkout or a meal voucher or a spa voucher. The thesis here is that, if we create a curated set of hand-picked hotels which fit well in the scheme of premium or luxury travel, travel agents would promote that. So, if you look at the performance and very early days, it's been just three months since this program has started, we added 77 hotels across different markets.

The benchmark that we are looking for is, for these set of hotels did their share of wallet within the city grow. So if I signed up a hotel in Dubai, or if I signed up three hotels in Dubai, did the share of TBO's business to these hotels grow or not, and the results are quite impressive. In the first month, which was March where this program was live, 22% improvement in the share of wallet of the platinum hotels happened. So, if out of USD 100 of business they were getting say, USD 5 of business same period last year, they were getting 22% more, so more than U

SD 6 of business on the TBO

platform this year. April was even better with almost 30% improvement in share of wallet. This is great news, because this does two things for us; it creates an additional line of income for us, because these hotels are
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paying us separately for participating on this program. Secondly, it also establishes the ability of the platform to influence buying in purchase decisions, which is very important for any platform business to drive higher take rates in the future.

So, with that, I will hand over to Ankush first to present the India update, and then to Vikas for the financials.

Ankush Nijhawan: Thank you, Gaurav. Good evening, everyone. Some of the points Gaurav has already covered, but I would definitely like to talk about some exciting

stuff, what we are trying to do in India in the hotel space.

In FY25, we continue to consolidate our air business while growing the hotels and ancillary segment in the Indian market. Our total GTV stood at Rs. 14,151 Cr in hotel and ancillaries continue to lead the growth, recording an 8% YoY increase to Rs. 2,213 Cr. Our gross profit for the year reached Rs. 220 Cr, driven by strong performance in the hotels, which delivered a 13% YoY increase to Rs. 61 Cr. Our strategic focus remains on enhancing our non-air saliency. Yielded results with segment GTV contribution now rising to 16% from 14% last year. We have revamped our go-to-market strategy to leverage the large base of selling air products. Gaurav did mention about our massive distribution what we have in touch points with our travel agents in the air business, and that is something we will be leveraging to grow our hotel business as well. With a greater focus on upselling and cross-selling in ancillaries we are confident of improving our share of our wallet with our buyers.

Our platinum desk program, which is a very high task account management and inside sales for top customers, is seeking good traction. We just launched this actually in Q4 FY25. We are also strengthening our domestic supply by onboarding new hotels and obviously the branded chains. Improving the booking experience for our agent is a key priority as a platform and H-Next, our next gen booking agent for hotel ancillaries has been rolled out to 100% of our travel agents in India. It is a faster, more user-friendly platform and customized for Indian preferences, and should help in boosting convergence on the platform.

Cross sell initiatives such as contextual placement on top selling hotel inventories during air booking journey, increasing bundle of ancillaries and other strategies are also gaining good traction.

On the operational front, the air post booking journey is now fully digitized, resulting in a significant improvement in our CSAT. Our agent partners are valuable stakeholders in our system. In FY25, we recognize our top performing agents across 42 cities pan India, facilitating over 430 TBO Tek Limited
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partners of ours. We firmly believe that a trust-based relationship with the travel agents will continue to be a strong pillar to support, as the travel and tourism industry grows and evolves.

On the macro front, India outbound passenger expected to grow at a CAGR of 7% to 8% over the next 5 to 10 years. Tier two cities like Lucknow, Gujarat, Chandigarh, Bhopal, etc. have emerged as a new demand hub supported by the government. Smart City investments, regional airport connectivity under the UDAAN Scheme. Jewar airport in Noida and Navi Mumbai should

be starting very, very soon. Enthused by the strong demand, Indian carrier's fleet is expected to rise to 2,000 aircrafts by 2030, and now expanding their footprints to destinations such as Amsterdam, Manchester, Seychelles and Manila. Thus, we see a strong outlook for outbound travel in India.

Consumer behavior is also evolving, off beat and experiential destinations are becoming popular, with customers showing great interest attractions and immersive travel, with Indian carriers constantly adding new routes, rising aspirations for outbound travel and preferences for experiential complex arteries are poised to drive continued momentum in our business. However, I would also like to share that we started decently well in April for the upcoming season. However, the unfortunate incident in Pahalgam, along with the tension between India and Pakistan, led to significant disruption in tourism, resulting in numerous cancellations for both domestic and international travel. This development impacted bookings for a few days during the peak summer holiday season. During

this challenging period, we worked very, very closely with our travel partners, airlines and hotels going the extra mile to support our customers with cancellations and bookings. Now following the ceasefire, we are witnessing a normalization in our business and hopefully regaining momentum for the remainder of the summer season.

Now, I hand it over to Vikas to give the financial updates.

Vikas Jain: Thanks, Ankush. Good evening and very warm welcome to everyone on this call. Thank you for joining us today. I am pleased to share our financial results for Q4 & FY25. For the quarter ended 31st March 2025 at an enterprise level, we saw a good growth in key performance metrics. Hotel GTV has grown by 17.4% and now contributes 84% of our gross profit. Gross profit for the air business grew by 24% YoY, despite a degrowth in GTV due to better margin retention. Our revenue from operations grew by 20.9% YoY to reach Rs. 446.1 Cr. Our enterprise take rate for the quarter improved significantly from 4.91% to 5.73% YoY on the back of the increasing hotel's saliency. Adjusted EBITDA reached Rs. 79.1 Cr, representing a 14.6% YoY overgrowth, while profit after tax came in at Rs. 58.91 Cr, showing a 27% growth YoY. For the quarter, our adjusted EBITDA margin stood at 17.73% and PAT margins at 13.2%.

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Turning to our performance for the full year, our revenue from operations grew by 24.7% to reach Rs. 1,737.47 Cr. We delivered an adjusted EBITDA of Rs. 328.81 Cr and a PAT of Rs. 229.89 Cr. We maintained our adjusted EBITDA margin similar to the last year, despite significant investment in the market development. Additionally, it is important to note that the income tax is applicable now on our wholly owned subsidiary in UAE from the beginning of the current financial year, and our defective tax is currently at around 16.3%. Our balance sheet remains robust with the net worth of Rs. 1,195.10 Cr as of 31st March, 2025. Our cash and cash equivalent, including fixed deposits and liquid investments, are also strong standing at Rs. 1,455.50 Cr as of 31st March, 2025.

Thank you everyone and will now hand over the call back to Aashvi.

Aashvi Shah: Thank you, sir. We will now begin the Q&A session. We have the first question from Mr. Karan Uppal. Sir, please unmute yourself and go ahead with your question.

Karan Uppal: So, Gaurav just wanted to check on the international markets. How are you seeing the demand from some of the key markets, like Europe, North America, Latin America, in the backdrop of US tariff related uncertainty, which has impacted travel sentiment, especially in US. So, is there any impact because of that?

Gaurav Bhatnagar: Yes, Karan. In bits and pieces, we have seen in Q4 FY25 especially, we have seen in pockets a little bit subdued demand, mostly where currencies have been negatively impacted, that's been one big factor. Beyond that, given the scale of our business related to the size of these markets, these are hundreds of billions of dollars markets each, like North America or Europe. Our headroom for growth still remains irrespective of the macroeconomic situation. Of course, certain things deeply impact travel, for example if some conflict happens. But beyond that, given our growth right now is more driven by market expansion and adding new markets, we feel we remain bullish that, it's going to be a little bit of a tricky year, but we remain bullish on our growth projections.

Karan Uppal: Second question is on this, TBO platinum, the special service which you have launched recently. I wanted to check if the take rate in this is higher than the general take rate in the hotel's business and if you can also mention how much is the GTV contribution from this platinum in the hotel

business?

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Gaurav Bhatnagar: So, Karan, keeping in mind this program is 60 days old, GTV contribution is relatively small but growing at a fast pace. As you can see, the share shift is quite dramatic, 20% of the wallet share increase for a hotel that is participating in platinum is quite significant. But overall, in the big scheme of things it is very small right now. Yes, this business will have incremental take rates, very early to comment on what that would look like, because 60 days in, very hard to start forecasting numbers on it, but we are very confident that this, this business will grow and will improve take rate.

Karan Uppal: Okay. Last question is on the India business. You mentioned that you are doubling down on cross selling the hotels to the Indian travel agents. Our understanding is that travel agents generally buy the hotels from directly with the DMCs. So, what is TBO doing differently versus past to sell the hotels to Indian agents?

Ankush Nijhawan: Karan, I do agree with you that they do buy from the DMCs, but that's not the case for every destination what they are buying. That's primarily for short haul and a very small set of hotels they might have a relationship with. Plus, the plethora of products what we bring, create our ancillary services, along with sightseeing excursions and cruise and plus the air product which obviously has some barrier of entry especially on international airlines. As a bundle of what we offer, we are very well bullish into further cross sell to our travel agents in India.

Aashvi Shah: Thank you Karan. The next question is from Mr. Manik Taneja. Sir, please unmute yourself and go ahead with your question.

Manik Taneja: Thank you for the opportunity. While I have a couple of data questions as well, but I first of all want to understand, you basically made significant investments in sales and marketing through Q4 FY25 and also talking about 100 odd people to be added in the first six months of FY26. So, how should we be thinking about your operating expenses growth below gross margins? That's question number one and thereby related to that, should we be looking at some more dilution at the EBITDA level because of some of these upfront investments? The second question is you have talked about the intent to essentially accelerate the ancillary portfolio for customers. Do you think over a period of time, this has the potential to improve our take rates, both at the revenue level as well as the gross profit level? Could you give us some sense as to how the take rates may vary on the ancillary

y segment?

Gaurav Bhatnagar: Manik, you are right. There is significant investment happening. We remain committed to making sure that we preserve EBITDA margins, and this is the promise that we have made in the past as well, that we want to demonstrate profitable growth. So, barring anything unforeseen that
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comes up in international business, the plan is to continue to grow at a similar pace as last year, though on a much bigger base, and preserve EBITDA margins, that's a broad theme for international business at this point in time. On your second question on ancillaries, there are two ways to look at ancillaries and right now, ancillaries is a play on making sure that travel agent has more reasons to come on the platform, which is both activity on the platform and number of transactions on the platform. That's the way we think of ancillaries. In the long run, and this would not be say, the next few quarters at all, but in the long run, the more fragmented a product is, the higher the take rate and higher gross margin.

So, ancillaries are meaningfully more fragmented compared to hotels. We do expect to do that business at scale, at higher take rates and higher gross margins. But today, it is more about making sure that we have created enough reasons for a travel agent to come on the platform and we don't leave a reason for them to leave the platform. So, which is why the comprehensiveness of the product is very important. For example, we do Indian rail in India, so they don't leave the platform. We do Europe rail for European markets as well. So, those might be low margin products, but they are important for the completeness of the platform.

Manik Taneja: Sure, just to clarify on this margin outlook, when you essentially guide for managing margins do you think about them as EBITDA as a percentage of GTV or EBITDA as a percentage of revenues, purely because of the mixed salience our take rates continue to go up? The second question is, for Vikas, if you could call out as to what could be the drag that we saw in the current quarter, because of the Ramadan falling during the quarter in the Middle East business?

Gaurav Bhatnagar: I am referring to EBITDA as a percentage of revenue. We have talked about it in the past that the idea is that the business generates operating leverage. Let's reinvest the operating leverage, but let's not dilute EBITDA margins. That's the way we are building on the hotels business.

Vikas Jain: On your question, on the drag there on the basis of because of the Ramadan. As Gaurav also explained in his presentation, while we were expecting that they could be a big drag due to the Ramadan, but that was not there. Even though the Ramadan fall in March, we had a good growth in the Middle East in last quarter.

Aashvi Shah: Thank you. We will move on to the next participant. Mr. Swapnil Potdukhe, please unmute yourself and go ahead with your question.

Swapnil Potdukhe: My first question is with respect to your employee cost. If you see the cost on an absolute basis QoQ between Q3 FY25 and Q4 FY25, they seem to have been flattish, while we have also mentioned that there were roughly
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around 60 odd additions in our sales force during the quarter. Any particular reason these additions are not getting reflected in our cost increase on a QoQ basis, particularly this quarter? I will follow up with another follow up to this question, but I will just stop here first.

Vikas Jain: Sorry, which cost line Swapnil y
ou are talking about?

Swapnil Potdukhe: Employee expenses, which were around Rs. 100 Cr last quarter, this quarter they are Rs. 99 Cr.

Vikas Jain: So, Swapnil, as we had explained earlier as well. At times, since these employees that we are having, new employees, or the new salesperson that we are coming in, they may not be employees of a particular legal entity, so the cost doesn't fall under the employee expenses. The cost is captured as part of the other expense. We have a head call business support service. The cost gets captured in that head, and that head had soon increase. I can share offline the increase in that cost with you later.

Swapnil Potdukhe: Got it. And just to get clarification as to how many sales employees we will have and these 60 additions will be on what base?

Vikas Jain: So overall, the salesperson for the international business excluding Jumbonline, have moved to now 314 from 250 last year.

Swapnil Potdukhe: Got it. Just keeping on this line item, in your balance sheet also there is a delta in your assets under development by around Rs. 25 Cr. Are we

capitalizing any of the cost, maybe related to the platform or something else, some clarification on that side?

Vikas Jain: Yes, we have been capitalizing the cost that we are incurring on the tech side, especially where we see there would be future benefits occurring due to the same, and part of that cost is getting capitalized under the intangibles.

Swapnil Potdukhe: Okay. There were some exceptional items also, the one is related to the currency and there was another Rs. 9 Cr of an exceptional item, if you could just give some color?

Vikas Jain: Yes, in the last quarter the Rs. 9 Cr of income that is showing under the exceptional items is primarily because of an old receivable, which we had from Kuwait collection agent that had been written off in past earlier. We made a recovery of Rs. 9 Cr this year in the last quarter, and that has got recorded as an exceptional item in the P&L.

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Swapnil Potdukhe: Got it and on the currency side, any cost we could expect going ahead as well, as mentioned in the last call?

Vikas Jain: On the currency side basically, as we had mentioned in the last call, we started hedging our exposures for the international market as well, and that is the reason there has been some increase in the cost in Q4 FY25. But it is obviously lower than Q3 FY25 cost, where we had losses due to foreign exchange fluctuations. But now we have started hedging and it would have some premium costs coming in, in P&L, and that's what is accounted for in the current quarter's cost.

Swapnil Potdukhe : Got it. Just one question on growth as well. Our GTV growth has now come down to 19% on the international side, even the domestic growth is declined by 1% this quarter particularly. Frankly speaking, where we started two quarters back, we grew on an organic basis 35% odd which was phenomenal internationally. So, going ahead how do you see the business doing, especially given the macro challenges? Should we start building in a slightly lower growth rates in our models, or just a color as to, how do you see growth given the challenges?

Gaurav Bhatnagar: On the international business, we remain consistent with what we have been saying in the past, we will continue to grow how we have grown on a full year basis, in this year as well. That's the objective, though on the larger base. So, on dollar terms, it will be faster growth. Also, something important to note is that it's a retail business, you sign up these small travel agents, and they start doing business with you over a period of time. So, there is a lag in when your sales team onboards, wh

en they start to become meaningfully productive, and when the travel agent they onboard start to become meaningfully productive. There has to be some kind of a roll-on effect, hopefully by Q4 FY25 or next year Q1 FY26 from all the work that we are doing today. So, it may not have an immediate impact this year, on this quarter, but it will add up. We would not pull back on our growth targets or forecast at all. India has been challenging, especially on the airline side, because the airline business is largely commoditized. So, that brings some headwinds, we do expect to see some growth on hotels, though.

Swapnil Potdukhe: Just to extend that point on India, hotels business grew 16%. Given the outbound travel rush, which is there very evident right to all of us, would it be fair to say that we may have done better than what we have done in the last couple of years? Going ahead, any change that you were driving that could lead to faster growth than 16%, given that it is our home market, we understand this market far better than some of the

international markets?

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Gaurav Bhatnagar: Fair question Swapnil. In the presentation, we were talking about in the beginning, 37% of our buyers today who buy airline tickets are transacting non-air and hotels with us. So, that's a lot of good headroom for us to further penetrate into these new agents. Plus, the platinum desk and gold desk, what we were kind of telling in the beginning which is obviously high touch point for our travel partners, the intention for us is to win more share of wallet from existing top customers. As long as, we do these things correct, we should have some good growth or decent growth in India this year.

Aashvi Shah: Thank you. The next question is from Mr. Mohit Chandani. Sir, please unmute yourself and go ahead with your question.

Mohit Chandani: My first question was about your monthly transacting buyers. You have mentioned a few times that it's the North Star metric, but when I look at your international number, that's been flat for about three quarters, so that's about 9,900 to 10,000. So, what should we think about this going forward? Do you expect this to accelerate given our investment in sales team?

Gaurav Bhatnagar: This number has two elements that we need to look at. One is that, from a perspective of seasonality, these numbers varies quite widely, because travel agents, especially like in the developed market, the travel agent will start booking in one quarter, say for travel that's going to happen six or nine months in advance and then they will kind of go silent for the next several months because they will get active again in the next season. The other bit is the natural seasonality that comes in because of things like Ramadan. So, if you see the full year basis, there is a significant growth that happens in this number, and that is the acquisition of travel agency that is happening. While the number is flattish on a QoQ basis, it's not the same set of travel agents who are active in Q1 FY25 and active in Q2 FY25 and active in Q3 FY25 and hence, this number is significantly different from a full year number. When I talked about how we look at growth, this is the second element of increasing the frequency of transactions from the travel agent. So, when the seasonality changes, if the number remains flat, effectively there is organic growth happening in the business. That is the way I would read it. So, it's not the same set of travel agents who are static from 1st to the 2nd to the 3rd quarter.

Mohit Chandani: All right, sure thanks, understood. Secondly, on your expansion in North America, you have talked about hiring a sales leader there. How should we think ab

out this going forward? Do you expect to grow this organically or do you think that you would look at acquisitions the way you look at it in Europe?

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Gaurav Bhatnagar: Mohit, we will continue to explore both the opportunities, organic and inorganic, and likely that is the best combination to look at, and Europe is a good example of it. We did something inorganic, in fact we made two inorganic acquisitions over there, but then we built out a very strong organic sales force as well. So, that combination works best. Hard to say what happens in North America, but needless to say, irrespective of North America across the globe, we continue to explore opportunities for acquisitions.

Mohit Chandani: Understood, sure. Just one last question on the India business which has

seen a GTV decline this year, but how do we look at it going forward? Do you think that your growth in hotels should compensate for the weakness that we continue to see in air, or do you think that there would still be a small decline in this segment going forward on a GTV perspective?

Ankush Nijhawan: So, Mohit on the air side, yes there is a small degrowth and for us, one focus we want to maintain is our GP on the air business, rather than going on the GTV side. So, even if we see a little degrowth in this business, we continue with our GP, that's the intent and obviously, play on the amazing, massive distribution we have, which we have built because of the air business obviously, to start selling hotel and our non-air segment there.

Aashvi Shah: Thank you, sir. The next question is from Mr. Mohit Motwani. Sir, please unmute yourself and go ahead with your question.

Mohit Motwani: My first question is about the growth in international business; you said that you remain confident about the growth in FY26. Now, in terms of Europe, as you spoke about being a one of the key source markets for you wherein France, Germany, Italy, are some of the key source markets. Some of the major hotel chains and airlines in US have downgraded their guidance in terms of the full calendar year 2025 given tough macro situations. Can you give us some sense, where are you expecting this growth to come from, is it more concentrated into geographies, or is it the fact that you are expanding into more geographies that will contribute to growth side, if you can give us some sense under which geographies will contribute to the international hotels?

Gaurav Bhatnagar: Sometimes we are taking a contrary view to the broader macroeconomic commentary or to what some of the larger players are saying and this is only because we are coming from a very small base in very large markets. A lot of growth that is happening today is demand aggregation. So, if you are not really ridding the overall demand shift in the market, but we are looking at aggregating a lot of underserved or fragmented demand across thousands of small travel agents. So, that's the immediate trigger for growth. The combination of the fact that we open new markets where we
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start from zero so, the growth is very high, often triple digit growth will happen in the country, once you start setting up a presence over there. Secondly, even in large countries, where we have been around for a long time, Brazil is an example, or UAE is an example. You will still see that healthy double-digit growth is happening, not to say, 20% growth happening in countries in the GCC, where we have been around for a long time. Our conviction remains that be

cause we are aggregating fragmented demand, as long as the fragmentation is visible, we will continue to grow. It is only in certain markets where the significant, when your market share starts to become meaningful, do you start to anchor around the macroeconomic situation in the market. For now, we are small enough for us to be able to continue to grow by just aggregating what's previously not been aggregated by others.

Mohit Motwani: Sure, thank you, that's helpful. My other question is, if you can speak a little bit about the competitive intensity, which is pricing up in the B2B space, one of the leading B2C OTA is scaling up the B2B as well. So, are there any pricing pressures that you are foreseeing in the coming year? I understand that you have already mentioned in the previous calls that you are looking for absolute EBITDA growth, and not expanding margins as you are investing back in the business, but any pricing pressures that you foresee in the coming year?

Ankush Nijhawan: Mohit, what you just said, there is a pressure on the air business in the B2B space but our thesis still remain on our outbound hotel premium business which we are doing fairly well. But yes, in the air business, definitely we

do, we are seeing some pressure there as well.

Mohit Motwani: Sure. Can you just give a data point on how much the churn would be in the agent base in the international side?

Gaurav Bhatnagar: The churn is a very difficult metric to report in our business, because it's not a subscription business that some when a customer churns, we get to know that day because they did not renew their subscription. It's a transactional business, and travel agents, like I explained, have massive seasonality. So, there is a long, long tail of travel agents who will come in every few weeks or every few months, and there is no regularity to it. We don't know at what point they have churned out. The metric that we have been looking at is NPS, to see what the customer satisfaction on the platform is, so that's one and that number is very high we have not reported it previously, so not to stating a specific number, but we will bring it up eventually. The second bit is, we do look at churn amongst what we call our say, larger managed partner. So, how much churn is happening in the top 500 travel agent that we work with and there the churn is very, very slow, it's a low single digit churn.

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Aashvi Shah: Thank you Mohit. The next question is from Mr. Prateek Kumar. Sir, please unmute yourself and go ahead with your question.

Prateek Kumar: My first question is about M&A opportunities. So, the market seemingly is weak, as you suggest, because does this results into acceleration of M&A opportunities which you might be analyzing, because obviously you have a very good balance sheet?

Gaurav Bhatnagar: Prateek, we continue to explore M&A opportunities globally. The thing with good assets is that they are still somewhat immune to market reality. So, we are not very opportunistic in saying that we can find something cheap, because there is some headwind in the market. We are very cautious about what we want to do. So, I can only say at this point that absolutely open to looking at opportunities, but nothing material or concrete to report at this point in time.

Prateek Kumar: Sure, okay. The second question is on employees, what is the total number of employees as of FY25 and what was the international employees in this overall mix?

Vikas Jain: As of 31st March 2025, we have total 2,357 employees, plus the consultants or retainers, because in most of the international market that we don't have legal entities, they are working more as a retainer or

a consultant. So, total employees as of 31st March, 2025 is 2,357 out of which employees based outside of India, is at around 772.

Prateek Kumar: This 2,357 has increased from what number FY24?

Vikas Jain: FY24 it was at around 2,080.

Prateek Kumar: Okay. Most of this increase would be international related?

Vikas Jain: Yes, it is primarily in the international market, and even in the India market with the increase is there, it's more primarily into the platform related businesses or the teams that are supporting the international markets.

Prateek Kumar: Okay. On your expansion strategy in various large and new and upcoming markets, have you seen any challenges related to cost which has surprised you negatively as a result, has weighed on the margins or how have you seen sort of particularly new markets I am talking about?

Gaurav Bhatnagar: In certain markets, especially in developed markets, the gestation period is a little bit longer to achieve positive ROI, it's not substantially longer,
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but significantly longer than some other markets. Just because people's cost is high, and also propensity to try something new is slightly lesser. So, as you go into more and more mature markets where people are the businesses have been around for a long time, they establish relationships. It does take a little bit extra time to truly demonstrate your value proposition, but at the same time, the cost of personnel or cost of contractors or sales associates is high in those markets. So, it's nothing negative or nothing surprising, nothing which has made us pull back from any market at all. But yes, that is the reality, the flip side is that these markets once they start playing because the average transaction value in developed market is much more than say in market like India and somewhat less price sensitive. Once you find your product market fit, the growth is quite steep, as we are seeing in Europe right now.

Prateek Kumar: One related question is, are you able to forecast or maybe guide when is the inflection point on margins and this operating leverage which we discussed about, will probably can play. Is it like FY26 and FY27 or maybe further out in the years?

Gaurav Bhatnagar: Prateek, it's a very fair question. If we pause where we are planning to in this year, in terms of what we are investing in market expansion, three to four quarters out, we should absolutely be seeing operating leverage. Math absolutely works in that direction. So, if we do finish most of our investments in Q1FY26 and Q2FY26, at least hints and traces of operating leverage should start to show up in Q4FY26.

Prateek Kumar: Sir my last question, on your international business which grew by 43% in FY25 what is the like-to-like growth for this?

Vikas Jain: Are you talking about organic growth without Jumbonline?

Prateek Kumar: Yes, organic growth without Jumbonline?

Vikas Jain: 30%.

Prateek Kumar: So, 30% international business grew, x of Jumbonline FY25 or FY24 and that is the kind of expectation going forward as well on organic basis?

Gaurav Bhatnagar: The expectation is in a similar ballpark. Keep in mind, it's a larger base.

Prateek Kumar: Yes, but it is first quarter of FY25, so FY26 will have some rub off the timing shift of Easter and I don't know Ramadan?

Gaurav Bhatnagar: Yes, so Prateek what has happened is, Ramadan did not have as bad an effect as we thought it might have on Q4 FY25 numbers. So that was a
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positive surp

rise. However, Easter did play an impact, but this is the early start of the summer. As you know most of European, Northern hemisphere summer is actually July and August. So, we will start to see booking up search happen across Q1, and we should see healthy growth.

Aashvi Shah: Thank you, Prateek. That was the last question for the day. I would like to now hand it over to Mr. Gaurav Bhatnagar for his closing remarks.

Gaurav Bhatnagar: Thank you, Aashvi, and thank you for all the insightful questions. I do

believe there was a little bit more question, but we are really out of time right now, but happy to engage with investors and analysts over the course of next couple of weeks as well. Thank you so much.

Aashvi Shah: Thank you everyone. You may now disconnect your line.

This Transcript has been slightly edited at few places for clarity and accuracy and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Sep 2025

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Scrip Code: 544174 Scrip Symbol: TBOTEK

Sub: Transcript of Earnings Conference Call

Dear Sir/ Madam,

Pursuant to the provisions of Regulation 30 read with Schedule III of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, we are enclosing herewith the transcript of Earnings Conference Call held on August 4, 2025, in relation to the Unaudited Financial Results of the Company for the quarter ended June 30, 2025.

Kindly take the above disclosure on record.

Thanking you,

Yours faithfully

For and on behalf of TBO Tek Limited

Neera Chandak
Company Secretary

Encl.: As above

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TBO Tek Limited
Q1 FY26 Earnings Conference Call

August 04th, 2025

MANAGEMENT: MR. ANKUSH NIJHAWAN, CO-FOUNDER AND JOINT MD
MR. GAURAV BHATNAGAR, CO-FOUNDER AND JOINT MD
MR. AKSHAT VERMA, WHOLE TIME DIRECTOR AND CTO
MR. VIKAS JAIN, CHIEF FINANCIAL OFFICER
MR. ANIL BERERA, PRESIDENT- STRATEGY
MR. PRAMENDRA TOMAR, GENERAL COUNSEL
MR. SHRESHTH MAHAJAN, ASSOCIATE DIRECTOR-INVESTOR RELATIONS

MODERATOR: MRS. AASHVI SHAH, ADFACTORS PR-INVESTOR RELATIONS

Aashvi Shah: Good evening, everyone. I am Aashvi Shah from Adfactors PR, Investor Relations. On behalf of TBO Tek Limited, I would like to welcome you all to the Earnings Conference Call for Q1 FY26. Today on this call, we have with us from the management, Mr. Ankush Nijhawan - Co-Founder and Joint Managing Director; Mr. Gaurav Bhatnagar - Co-Founder and Joint Managing Director; Mr. Akshat Verma - Whole-time Director and Chief Technology Officer; Mr. Vikas Jain - Chief Financial Officer; Mr. Anil Berera - President-Strategy; Mr. Pramendra Tomar – General Counsel and Mr. Shreshth Mahanjan – Associate Director: Investor Relations.

We will begin the call with the brief opening remarks from the management followed by a Q&A session. Please note that certain statements made during this call may be forward looking in nature. Such forward-looking statements are subject to certain risks and uncertainties that could cause the actual results or projections to differ materially from those statements. TBO Tek Limited will not be in any way responsible for any actions taken based on such statements and undertakes no obligation to publicly update these forward-looking statements.

I would like to now hand over the call to Mr. Gaurav Bhatnagar for his opening remarks. Thank you and over to you Sir.

Gaurav Bhatnagar: Thank you, Aashvi. Welcome everyone to our Q1 FY26 earnings call. Basis past feedback and past experience with these calls, we have changed the format a little bit. What we have done this time differently is that we have created a fairly detailed commentary on our financials and uploaded it on our Investor Relations section on the website a couple of hours before. Those of you who had a chance to review the document, you would have seen that we have a lot more disclosure this time, specifically around expenses. There was a request from several analysts last time that they wanted to understand the nature of our SG&A. So, we have gone ahead and made that disclosure.

We have also continued to provide region-wise KPIs as well on how various regions are performing and we have also included a very detailed FAQ. The idea is to use the hour that we have with all of you, more for Q&A and little bit more color on questions that you may have. I will just spend five minutes talking about the high-level numbers and a couple of things that we want to share in a little bit more detail, and then we will quickly open for questions.

Just to summarize the numbers, in case you have not had a chance to look at the financials uploaded, this was a tough quarter and that's true for the entire industry. We saw several headwinds through the quarter starting with the India - Pakistan conflict; then the Iran - Israel conflict, and then the very unfortunate Air India crash. This caused repeated disruptions in a very important quarter from the travel industry's perspective. Q1 is peak summer season for India, so there was impact, but the good news is that in spite of these headwinds, the business has shown resilience, and we have continued to grow. Our monthly transacting buyers grew by 5% to touch more than 29,500 monthly transacting buyers. Our GTV grew by over 2%, the revenue grew by 22% and GP grew by 19%. Now the faster growth in revenue and GP is because the saliency of the hotels and ancillary business continues to grow at a fast clip and that helped grow our GP and revenue much faster than our GTV.

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like-to-like basis, the EBITDA was flat and there is a marginal growth in PAT. As you all know, we have been investing quite heavily in our international markets for growth and new market expansion. So, if that investment was not there, then probably we would have seen positive EBITDA. If the headwinds for the past quarter had not been there, then we would have also seen meaningful growth in EBITDA. Having said that, we do want to spend a little bit time just giving you some color on how the investments are panning out and these are still early days. Now you may remember, it was Jan-Feb, when we started to accelerate our hiring in

international markets and there are some early numbers that we want to share to give you comfort that these investments are playing out well. As you may remember, monthly active agents is a North Star metric for our business. Active's definition is that, at least one transaction in that month. Now I am sharing numbers only on the international business because most of the investment is going over there. Starting Feb, when we started making these investments, there is a very sharp uptick in monthly active agents. An year ago, in the April- May- June, quarter of last year you would see this number was trending between 8,600 to about 9,000 monthly active agents. Starting Feb, this number has started to grow very meaningfully, and we are touching close to 11,000 monthly active agents in June. Now this is a very leading metric, because these are the travel agents who over the course of time become meaningfully productive.

The way we measure the growth of our active agents is by three important milestones that a new travel agent has to pass to become what we think of as a sticky customer for us. The first one is T1, which is when how many travel agents are doing their first transaction in a month. The second milestone is T5, which is when they get to a fifth transaction, and then a T10, is when they have done 10 transactions on the platform. Our data shows that a travel agent achieving 10 transactions on the platform becomes fairly sticky and churn drops quite drastically at that point in time. As you will see from the graph that we have shared here, our T1s were trending at between 300-340 in Jan. This number has more than doubled, and we have hit nearly 750 T1s in June. Similarly, the T5 number has been growing and the T10 number has also been growing in a similar manner. Now, the T10 will always have a lag on T1 because these are new travel agents trying out a platform for the first time and they will take some time before they start becoming comfortable with the platform. The T10 numbers will start to accelerate over a period of time as these T1 slowly convert to T5s and T10s. So, what we wanted to highlight here was that there is a very marked uptick in our T1, T5, and T10 numbers in Q1, compared to the previous quarter, which is largely driven by sales efficiency initiatives and adding new KAMs or key account managers in different geographies, which is where most of the investment has been going.

Now, looking at the same data with another lens of seeing how much new business has come in this year. So, how much of business is organic growth of the travel agents who were already active on the platform last year, and how much business has been contributed by new travel agents added in the same financial year. If we look at the numbers for Q1 of last year and Q1 of this year, you will see roughly 2.2% of the business in Q1 last year was contributed by the travel agents added in Q1 itself. Just to be clear, out of the \$361 Mn of GTV that we did in the international business organic, last year \$7.8 Mn came from travel agents which were also added in April, May and June of 2024. Now looking at April-May-June, 2025 out of the \$435 Mn of GTV that we have done, \$18 million or 4.2% of GTV has been contributed by new travel agents added in the same year. This is

very significant for us because of our cohort analysis and how the stickiness grows with time. Typically, travel agents will take time to become fully productive on the platform. If the 4% of our business in Q1 itself is being contributed by travel agents added within the same quarter, by the time we start to get to Q3 and Q4, these travel agents will start to add significantly more volume to the business. While the old cohort, which

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has been active on the platform till last year, that is also going at a fast clip. If the cohort that we are adding this year adds meaningfully more business in the same financial year, then you will see significant operating leverage play out in the latter half of the year and probably towards the end of the year.

Finally, some data to give you color on how we are measuring KAM effectiveness and efficiency of new CAMs. Several initiatives have been taken up and investment has been made in making our existing CAMs more effective and effectiveness here is really how many new travel agents are they onboarding on the platform at this point in time. Our data is showing that existing KAMs, that is KAMs that were hired before Q4 of last year, till December of last year, in Q1 they have shown 22% higher efficiency in just net new travel agent edition. If they were adding say, as an example, one travel agent in a quarter, they are now adding 1.22, these are not actual numbers just to show you the increase in efficiency. Interestingly, the efficiency of the newer KAMs is higher than the efficiency of older KAMs, which does make sense because the newer KAMs are being added in markets where we are under penetrated. I showed you the numbers on T1s and how many new T1s are happening every month. 41% of those T1s are being

contributed by the new CAMs which have been added since February onwards. So, the fact that within three or four months of adding new key account managers, they are starting to meaningfully move the needle for the organization is very heartening for us. What this is leading to is, on a YoY basis there is a 69% growth in new customer addition. Just to be clear, it is not that the total number of customers have grown by 69% but the rate at which we are adding new customers has grown by 69% and 21% of the business is now being handled by the new key account managers. The caveat here is that this is not necessarily new business because we showed that the new business is about 4%, but we have also been able to shift some of the existing accounts to these new key account managers which frees up the bandwidth for existing key account managers to farm their large accounts.

These are some of the numbers that we want to share with you to give you confidence that the investment we have been doing are being very carefully monitored. We are building a strong view and conviction that as the year progresses, we will start to see more efficiency come through both from our existing KAMs and from new customer edition via new KAMs. Our hope also is that we continue to believe in the previous hypothesis that by Q4 we should start to see a lot more operating leverage flow through in this part of the business. With that, we will take a pause here and open for questions.

Aashvi Shah: Thank you, sir. We will now begin the Q&A session. We have the first question from Mr. Manish Adukia. Sir, please unmute yourself and go ahead with question.

Manish Adukia: My first question is on the demand. Clearly you called out a lot of headwinds in the June quarter, if you can maybe give us some flavor as to how are you seeing things progress post June in the month of July and the question is specific to the three key geographies of India, Middle East and Europe. A related question is, when I look at the June quarter, surprisingly

a Middle East growth

was quite resilient at North of 20% but Europe was quite weak, and Europe actually saw a meaningful slowdown versus what you were growing organically until now. You can also maybe help us understand that dynamic.

Gaurav Bhatnagar: Manish, you are right. The Middle East saw a very improved growth, and this is in spite of the fact that we lost significant days of sale in Q1. Part of it is timing as well and when Ramadan happens, and then summer holiday starts. So, a little bit of it is timing but a lot of it is also just the fundamental initiatives around new customer addition and just improving our customer service. We have been investing in creating a new customer operations set up in Egypt, which
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has helped us improve our quality of service, so that's one. Europe has slowed down in Q1, part of that slowdown is because we count Israel as part of Europe, and Israel is a top 10 source market for us and that is one market that went to zero in fact negative sales for the period of that time and a little bit of a trickle down happened post the end of the conflict as well. Having said that, at least in Europe and the Middle East, July has been very positive. We have seen a very quick recovery and that is a secular pattern now in travel that we see that while business gets impacted by disruptions, it tends to come back very quickly. Our hope is that this quarter is going to be significantly better than last quarter, especially for Europe and the Middle East, and demand is pretty much normalized to where we expected it to be, if these headwinds had not happened in Q1.

Ankush Nijhawan: Manish, this was one of the toughest quarters probably post COVID and I must say that in spite of that, if you remember our GTV de-growth was about 11% of Q4 FY25. We de-grew by about 9%, we actually gained 2% in spite of what we saw as a real tough quarter. So, this reflects the underlying strength of our platform and obviously the early stages of recovery. On the good side, that we still grew 4% on a hotel business YoY and keeping in mind the peak of summer, India literally was badgered for about 45 days, with the airports being shut in North India and obviously the Air India crash. So, to be fair to rate ourselves, we did well in the quarter, keeping in mind the situation we all were facing. For this Q2, we do kind of anticipate some GTV growth and some turnaround, which we can already see, but obviously the margin pressure on the airline business remains.

Manish Adukia: Thank you for answering that question. My second question is about the mismatch between GTV and revenue growth. I understand the mix shift towards hotel but even, within the hotels segment, low teens, GTV growth translating over 30% revenue growth and last quarter also

the difference between the GTV and the revenue growth was quite stark. So, when we think about, let's say the TBO business and from a forward growth perspective, in the past you have talked about wanting to grow at least North of 20%-25%, should we think about that growth in terms of GTV, or should we think about that from a revenue perspective and why should those two numbers not let's say, trend in line over the medium term?

Gaurav Bhatnagar: That's a fair question Manish and in the medium term, the two numbers will trend in line unless we find meaningful unlocks on take rate expansion on the hotels business standalone. Right now, what's happening is that a fair bit of saliency mix is changing at a very fast clip. Every quarter there are 3% to 5% points improvements in saliency towards the hotel's business, and that is disproportionately improving our enterprise margins and that is the reason you see our hotels, the revenue grows faster than GTV. There are a couple of other unlocks that we did in the

quarter, Manish and specifically on certain parts of our business there is income that was dependent on a third-party vendor. Let me not disclose too much detail on that and we brought that technology in-house, which had a meaningful improvement in our retention of that revenue within our business, otherwise it was sitting as a cost with the vendor. So, that is one change that happened. Other than that, is there anything else Vikas that you want to add?

Vikas Jain: Primarily, as we highlight that in hotels business also there is a list of suppliers, some suppliers work on the net rate models but there are some suppliers on the commissionable model as well. So while on the revenue side when the mix shifts towards the commissionable model suppliers, the revenue increase looks higher, but correspondingly on the expense side, there is a parting to the travel agent, and that's the reason you will not see similar growth on the GP side, and that's what is reflected in the numbers as well.

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Manish Adukia: Got it, thank you. Just my last question on the cost and the margin profile and you mentioned in the shareholder letter that starting Q4 of this year revenue should grow faster than the SG&A. When we think about this, it is the margin path and of course, the quarter, June quarter, was impacted by headwinds on demand as well. But again, is there room for margins to deteriorate a little bit more in the near term, given just the investments before it starts recovering or would you say that now we are broadly at this is a low point of margin from here on, they shouldn't deteriorate further and by Q4, we should start seeing EBITDA growth maybe faster than revenue growth?

Gaurav Bhatnagar: It's a little bit difficult to predict very accurately because, and we have talked about it, about a 2/3 of our investment and hiring has happened. 1/3 is left, which will get timed over the next two quarters. There was a plan to accelerate and get it done in Q2 but at the same time, because of various reasons, including just the ability to find the right talent at the right time, it can spill over to Q3 as well. But by Q4 we are hoping that if you were to start comparing our SG&A growth in the same quarter YoY then you would start to see the growth slowdown. Hopefully by Q4 we would have finished our investment, and that is where we should be able to stabilize margins.

Aashvi Shah: Thank you. The next question is from Mr. Swapnil Potdukhe. Sir, please unmute yourself and go ahead with your question.

Swapnil Potdukhe: My first question is on your GTV that you reported this quarter. I understand there are a lot of one offs that that were there affecting the GTV, but if I were to just take a guesstimate from you, how much incremental GTV would you have done had none of this one offs been there?

Gaurav Bhatnagar: This is very hypothetical, Swapnil. We also have to bifurcate GTV between airline GTV and hotel GTV, because the revenue impact of the two is very different. One way to look at it, and I know there is no perfect science to it, is that the Iran-Israel conflict was 12 days of war and probably had a spillover effect before and after. Maybe there were like 20 days of serious headwinds in about 40% of our business, thumb rule I am just saying. That is one way to project and say maybe that is the portion of business we genuinely lost coming into the high season. India had a similar issue. There were two complete weeks of clear headwinds in the peak of the season. India saw it was even worse, because huge cancelations happened because of it. Second bit of cancelations happened because of the Air India crash as well. So very, very hazardous to guess what it would have been had these issues not happened.

Swapnil Potdukhe: Understood. The seco

nd question is with respect to your gross take rates in the hotels business.

You mentioned that there were some changes in your technology thing that you have mentioned and because of that the take rates have increased now 8.3%. Going ahead, do you see those take rates staying there or like, will there be any volatility on that side because ultimately your gross margins also took a dip, there was associated cost with that. Just wanted to get a sense, what will be the steady state numbers over there?

Gaurav Bhatnagar: Just to clarify, the take rate is looking higher, mostly because of the fact that there are suppliers who are commissionable in nature and if the share of business increases for these suppliers, the take rate goes up. But as Vikas mentioned, correspondingly gross profit will not grow in a similar manner because of the fact that once you receive the commission, we share part of that commission with the travel agents. So, the increased take rate is largely driven by the fact that we share shifted some of the business to commissionable supply vis-à-vis net rate supply, am I right Vikas?

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Vikas Jain: Yes. I would like to add Swapnil is that, if you see, the overall gross profit of the hotel business is around 5.56 so versus last year's same quarter it may look high versus 5.06. But if we take out, iron out the things and we see the yearly average, we were at a 5.5. As it has been a stated strategy as well that whatever benefits we will try to get on the supply side, we will try to pass on the agency side, and we are able to grow business faster. Basis that only if you see that the improvement of the GP compared to the yearly average is nominal only.

Swapnil Potdukhe: Understood. Sir, will it be fair to say that instead of looking at the revenue growth, one should focus on your gross profit growth because that is.

Gaurav Bhatnagar: Absolutely, yes. GP is the number to focus on.

Swapnil Potdukhe: Just Q2 is typically a very strong quarter for us because Europe, since holidays are in Q2 generally is my understanding, correct me if I am wrong there. So, anything to call out here given that we are already one month down, there are any trends that you would like to highlight and how should we look at this quarter trending for you in terms of GTV as well as your gross profit?

Gaurav Bhatnagar: Swapnil it is trending in-line with our expectations for the European and basically Northern Hemisphere summer. We would expect it to be in line with what we were hoping to do in this quarter. What is hard to say right now is that will we be able to do some sort of catch up on Q1, unlikely given that the impact in Q1 is quite significant. But if you ask to look at Q2 standalone irrespective of what happened in Q1 then Q2 is pretty much in line with what we were budgeting for.

Swapnil Potdukhe: So, will it be fair to say that your GTV growth at least should come back to double digits this quarter YoY?

Gaurav Bhatnagar: Look, we don't want to do specific guidance on this Swapnil, especially given that we are in the midst of this quarter, but it would be fair to say that we should see GTV growth in-line with what we were expecting it to be before all the headwinds in Q1 happened.

Aashvi Shah: Next question is from Mr. Mann Maru. Sir, please unmute yourself and go ahead with your question.

Mann Maru: Hi, Sir. I wanted to know that the fees which you received from airlines or hotels is like how many days commission?

Ankush Nijhawan: When you say how many days what does it mean?

Mann Maru: As in, you get the fees which you get from airlines or hotels, the take rate. Is it like 5 days, 10 days, how many days you receive your commission?

Vikas Jain: In airline commission, there will be multiple types of commission tha

t we receive from the airlines basically and other stuff. One is basically the commission which we get on cut and pay basis, which is on a transaction basis, which generally will get paid for at the time and will get reduced from the gross amount of the ticket as well. It is received at the time of the booking itself, because we will make the net payment to the airlines, but there will be some performance link incentives, etc., which is based on the targets. The targets would be quarterly, yearly, and those would only be received after the year is completed and the airline has completed the working for the calculations of the PLB, incentives, etc.

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Mann Maru: Okay. So, is it like a combination of both?

Vikas Jain: Yes.

Mann Maru: Okay, got it sir. What growth do you expect further on revenue side?

Gaurav Bhatnagar: We don't provide specific guidance on revenue.

Aashvi Shah: Thank you. The next question is from Mr. Moez Chandani. Sir, please unmute yourself and go ahead with your question.

Moez Chandani: My first question was about your monthly active agents in the international market. That's been a sharp growth this quarter. Is there a particular geography that has driven this sharp growth?

Gaurav Bhatnagar: Moez the good news is that the growth is fairly secular. In fact, we have given monthly transacting numbers by regions as well in the commentary. We have not given growth numbers, but broadly it is very secular and the reason is that the playbook is pretty much the same that we run in every market, which is getting new sales team on the ground in cities or in countries where we were not present before and then start activating through a very tight sales efficient process with strong governance on it. We have seen growth come pretty much in every geography and really there are no exceptions to it.

Moez Chandani: All right, understood. My next question is about North America. So, that's grown at about 11% YoY for you this time and you have mentioned that this is probably the largest source market in the world, so obviously there is a lot of room to grow here. Can I understand how your progress has been in the American market because last quarter also you were talking about hiring a leader to lead this North American growth. What are your thoughts in terms of growth in that particular geography?

Gaurav Bhatnagar: Yes Moez, we hired Valerie to lead that region for us. It's been only a few weeks, so very early days. We are re-strategizing that market right now and we have also redone some of the sales team and brought in some new more sales feet on street as well. We do acknowledge that we should be growing faster in that market. At the same time, it is a tough market because of the way it is consolidated, but we remain very, very confident that we will find a solution for it within this year, and towards the end of this year we are hoping to show more growth in that market.

Moez Chandani: All right, great. Lastly on LATAM, there was some one offs, particularly with Brazil, which you mentioned, where there were new rules and regulations that came in. Is that market going to be somewhat structurally challenged, given that those taxes are typically permanent or do you think that there should be some growth recovery even for Q2, Q3 and Q4?

Gaurav Bhatnagar: Moez, in the short term, there is a structural challenge in that market, because this is a new tax, as currencies are volatile right now, foreign exchange is getting expensive for most of the developing world. So, there are some structural challenges in that market. We are reacting to it by taking various actions to see how we can bring the cost of sales in that market to a lower number, so that we can pass on the benefits to the customers and reduce our pricin

g in that market to gain a bit more demand share. I just want to be clear that this is specific to the market per say. I don't believe that we have lost share in that market, but the market itself has seen a bit of a headwind come in because of this unexpected tax that came up. They may be in the short term they may be a little bit more pain especially in Brazil. But having said that, in a

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medium to long term, it is a very large, very important high spending travel market, so we remain hopeful of full year growth in that market. But yes, for the next few months there is a structural challenge which we will have to overcome.

Aashvi Shah: Thank you. The next question is from Mr. Chirag Kachhadiya. Sir, please unmute yourself and go ahead with your question.

Chirag Kachhadiya: Sir, I have question on this SG&A expenses bifurcation which you have provided in the shareholders data and press release. If we look at the YoY chain, there is other expenses up by around 31% and mainly this hosting and bandwidth but if you look at the revenue growth that is not in-line. When can we see that it will go down or it will be in line with the revenue growth and what causes this increase disproportionately the other expenses?

Akshat Verma: Essentially, what we have seen in this quarter is a very significant increase in what we call search traffic, especially for the wholesale business. We have seen close to more than 100% kind of growth in search traffic, and that's essentially ballooned the cost. Plus, we essentially made significant investments as far as the AI infrastructure is concerned. These two are the major factors that have increased the cost. We have also essentially been looking and in fact we started to see this trend. We have been looking at optimization in terms of how we serve this traffic, and that has led to what we call a metric called cost per search, how much cost we pay for every search, and that we have seen meaningful decrease. We are going to work on this going forward as well and we have started to see a little bit of moderation. So, while the traffic is increasing, the actual cost on hosting is essentially now moderated, trending slightly lower as opposed to going there.

Chirag Kachhadiya: So. in H2 it will be lower than H1?

Akshat Verma: Again, very hard to really say. See, the business may grow faster, the traffic may increase a lot. The metric that is completely in our control from an infrastructure perspective is again what I call cost per search. There we do expect to see meaningful improvement. If more traffic comes in, in some ways we consider that as a good thing, and we will try to serve the traffic as efficiently as possible and there we will make meaningful changes. But if the overall traffic increases significantly then that may or may not be, we may not be able to offset with just the efficiency improvements.

Vikas Jain: Chirag, just for the benefit of everyone, we would like to explain that the business support services which are part of the other expenses. is primarily the expense being incurred for the sales of the contracting personnel who are not on our pay rolls because we don't have legal entities all across the world. They are working as consultants or retainers with us. That cost, obviously as we have explained, we have been making investment in this field so that cost has grown by around 24% YoY.

Aashvi Shah: Thank you, Chirag. The next question is from Mr. Karan Uppal. Please unmute yourself and go ahead with your question.

Karan Uppal: Just a question on Europe. We are already within the summer travel season in Europe. Our understanding is that the bookings happen one quarter in advance. Going ahead for Q2, are you expecting Europe GTV to remain at these levels, or do you expect s

ome slow down here? That's the first question.

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Gaurav Bhatnagar: Karan, you are right. Europe does see bookings happen in advance. But a lot of travel agents confirm, or what we call voucher those bookings closer to the actual travel date, and that is when it converts into revenue for us. The booking may happen, which is more like a hold on a booking that yes, I am holding the room, but I am not really confirming or paying for them. In that period of time, we don't book it as revenue. That is one, so you should see that flow through happen in Q2. The second bit is that the actual booking windows have also shortened this year, and that's a secular trend across the world actually, because of all the uncertainties people have

been holding off on booking their travel a little bit, so that will also show up in Q2. Compared to Q1 which was also impacted, because Israel business had gone down to zero, and we count Israel as part of Europe. So, that should also recover, so we should see some improvement in Europe as a source market in Q2 compared to Q1.

Karan Uppal: Okay. Thanks, Gaurav, for that. Secondly, on the Middle East market, the GTV growth rate has been very strong. Going ahead, what sort of growth are you baking in? Any color on the same would be very helpful?

Gaurav Bhatnagar: See, we try and not provide this level of granularity on growth rates. I will just point out that a lot of this growth is happening because of the initiative that we have been taking and a bit of market timing that happens typically around this time of the year. We are hopeful that we will continue to see significant growth in that market, but I don't want to comment on is it going to be even higher than what it is already, or is it going to be significantly lower. But we should expect to see growth in the Middle East absolutely.

Karan Uppal: In the base quarter in Q4 there was Ramadan, which was there, which was not in Q1 so that would have also contributed to this sort of a growth rate, is it a right assumption?

Gaurav Bhatnagar: Yes, that's the timing I am talking about.

Karan Uppal: Okay. Lastly on margins, between the reported EBITDA margins and the adjusted EBITDA margins, I believe that that is mainly driven by ESOP cost. By when these costs would settle down, can you please provide that clarification?

Vikas Jain: ESOP cost is obviously dependent on the balance left and if there are any new grants given during the year it would be an additional cost. But having said that, based on the grant that we have given till 30th of June, the expense that is had in the quarter was around Rs. 6.8 Cr, and we expect that overall, for the full year, it should be in the range of around Rs. 25 to Rs. 28 Cr depending if there is no further grants, obviously the further grants would be issued, the overall cost will increase.

Karan Uppal: Vikas are you expecting, this ESOP cost to continuing even in FY27?

Gaurav Bhatnagar: Yes, ESOP is a very important tool for attracting talent, and really as shareholders this is one cost we should build some comfort with because this does allow us to bring in the right talent for the amount of growth that we are aspiring for. While there is no immediate commitment to any additional ESOPs, we would expect that as we hire people, as senior people start to have a lot of their ESOPs vest, there is going to be an incremental cost that will come in over a course of time.

Vikas Jain: Just to clarify, the ESOP cost gets amortized over a period of four years, and it depends on the vesting period and the percentages which get vested every year.

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Aashvi Shah: Thank you. The next

question is from Mr. Prateek Kumar. Sir, please unmute yourself and go ahead with your question.

Prateek Kumar: My first question is on this SG&A expense schedule which has been given, most of the line items are sort of increasing upwards of 20% to 90% depending on the base. You said that you are expecting slower growth of expenses versus revenue from Q4; so which particular line item are we talking about here, or are all these line items sort of expected to go slower like incrementally?

Gaurav Bhatnagar: The two big line items that contribute most to the SG&A are payroll and personnel cost essentially and the hosting and bandwidth. On payroll, we know what our plan is and most of the investment, as we had discussed previously, was front loaded into Q4 and Q1 and hence we have seen the spike happen. We are expecting to wrap up the rest of the investment for this year between Q2 and Q3. That is one cost that on a YoY basis should slow start to slow down on a QoQ basis and then on a YoY basis as well. Hosting and bandwidth, like Akshat talked about, it is very hard for this cost and dollar value come down, because it is somewhat direct in

nature, in the sense it is linked to the amount of traffic that we are serving. But we are building efficiencies over here. This cost should hopefully not grow at the same pace as the traffic growth and hence, booking growth. For what we call a wholesale enterprise part of the business, growth should start to outpace this cost, that's the way I would think of it.

Prateek Kumar: Okay, but this ballpark, this 29% growth, can it come down to a low double digit growth, low teens growth. That's when the margin expansion will happen, so how are we looking at because that's where your top line has gone right now?

Gaurav Bhatnagar: It is hard to put numbers on it and that's the reason we showed the data that we showed in our presentation right now. What should play out is that, all this new travel agent addition that we have started to do through the last four or five months, they should start to meaningfully contribute to the business by Q4 because these are travel agents, small businesses they are trying our platform right now but a lot of them, thousands of them are trying our platform as we speak. If we can retain them and nurture them, then by Q4 all of these should start to become productive, which will mean that from a KAM efficiency perspective that how many travel agents are active per key account manager or how much GTV is being driven by per salesperson, that metric should start to increase by Q4. This should outpace the growth in SG&A. I don't want to be very precise on exactly how much of outpacing is going to happen, because it's early days also very hard to say how much investment will happen in in Q2, Q3 and if there is going to be some spillover in Q4 but broadly, the hypothesis is that we are working against is that on one side, our investments are slowing down now because the investments have happened. On the other side, the return on those investments will start to happen and both should converge in Q4.

Prateek Kumar: Sure. I understand my next question is on air segment which obviously had external factors impact this quarter, but is that something which we expect to return to growth this year on a quarterly basis?

Ankush Nijhawan: We saw some 2% improvement in the air business even in Q1 despite all the headwinds we are facing. So, we do kind of believe that we will have some kind of growth in Q2 and let's see how it plays out. But as we said we can't give you any guidance, that would be my answer to your question.

Prateek Kumar: Sorry, 2% growth, I said it's 11% decline.
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Management: We have a recovery of 2% growth in Q1, de-growth was lesser in Q1 in spite of the challenges, what we faced in the last quarter.

Prateek Kumar: We have discussed about like ballpark 30% kind of GTV growth in hotel segment and, around 25% EBITDA growth of full year. Where do we stand on these numbers after Q1 performance?

Gaurav Bhatnagar: Given the headwinds that we have seen, obviously Q1 was behind the budget. It is hard to predict at this point in time what kind of recovery and catch-up can happen on what we lost in Q1 over Q2, Q3 for top line. For bottom line growth, it's a tossup between holding back investments and driving higher EBITDA and also seeing how we pace the investment. It's very early days for us to kind of be able to give some kind of a view on how that will play out, because on one side we have seen very promising results on the investment we have made so far. We are very hesitant to kind of pull back on investments when it's going so well. But given what we have seen in Q1, it will be we will have to take a call on it. But as of now it's very hard to say what the full year numbers are going to look like.

Aashvi Shaa: Thank you. The next question is from Mr. Ravi Purohit. Please unmute yourself and go ahead with your question.

Ravi Purohit: I don't have any quarter specific question but just wanted to kind of understand our business a little bit more so, especially on the hotel side. How do we approach onboarding new hotel properties, or building inventories for new hotel properties? Is there any specific area that we focus on, the kind of hotels that we focus on, given the difference in take rates between, let's say, five-star hotels or three-star hotels? Secondly, how do we make our platform attractive for

offline agents from the point say, a good spread of inventory geographically or helping them with the right kind of hotels for their customers. A lot of OTAs provide these ratings and feedback and reviews. So, from our agent's point of view, how does this kind of become a very, very attractive platform for them. If you could just share some insights on that and connected to this is also if you could help us understand the entire payment cycle; right from a customer making a booking on offline agent's page or the offline agent making a booking for the customer, and the customer making the payment to the offline agent who will make the payment to you. When do you make the payment to the hotel? If you could take a very, very rudimentary example for our simplicity's sake and explain how this entire cycle and chain works. That may be very helpful. Thanks, those were my two questions.

Gaurav Bhatnagar: Ravi, I will answer your question on how we look at supply. Then I will pass on to Akshat to just talk a little bit about platform hooks and how do we make the platform more attractive for a travel agent to discover the right supply. Maybe Vikas can spend a minute on just explaining the payment cycle.

The business is focused on the outbound premium traveler. This is somebody who is traveling from their country to some other country and likely to book premium to luxury travel. Our supply strategy is also anchored around it. We look at hotels, typically five-star hotels, maybe four-star, high end of the four-star hotels that we do want to work with directly. These hotels would typically be in attractive, inbound destinations, large destinations where a lot of international travel happens to you can think of like Dubai, London, Paris, parts of Spain, Italy, etc. Our model of onboarding is that we have a fit on street supply contracting team on the ground, combined with a team which is focused on for smaller hotels, doing more of remote contracting. We have a fairly sophisticated tech stack which allows us to rapidly onboard a new hotel. The commercial negotiation needs to happen with a hotel on the ground, but once a hotel TBO Tek Limited

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has been on-boarded, getting their supply inventory and rates on the platform happens fairly through automated process which allows us to continue to add inventory fairly quickly. We also work directly with chains, with several chains directly, which is more of a tech connectivity combined with commercial negotiations. Akshat, do you want to discuss the tech, the platform itself?

Akshat Verma: Coming to essentially how does an agent discover the hotel with the right value for their customer. It's not very different from the way B2C platforms approach this problem. We also have a review rating that agents can look at and look at hotels that would make sense for them. In general, anyway we do not offer a lot of really low rated properties in any case. So that's on the hotel selection part, but what is very crucial for travel agents is this, are their comparable properties that are getting better value, either in terms of exclusives that TBO provides to them, or in terms of rate and all. We have essentially what is called a standard sequencing algorithm, which order ratio voters for every search and there, we take all of these factors into consideration. We also run digital campaigns, educating customers on what would be the relevant inventory that they should add a lot of value on. In a nutshell, we have to do exactly the same kind of things you have to do on B2C, with the caveat that in our case, we can actually talk about things which are slightly more difficult for a B2C customer to understand. Exclusives things like early check-in, late check-out and those kinds of things are something that B2C does not highlight as much, whereas in our case, we essentially need to highlight those in a much better fashion. That's how we help the customers discover the right value for them.

Vikas Jain: On the payment cycles basically, especially in the hotel business it is a highly negative working capital business, but it means we work with travel agents, either on the advance model or on the credit model. In the case of advance model, a travel agent would have to maintain some funds with us, against which we will be able to make the bookings. On a credit model as well, we may be giving up fortnightly, weekly, monthly credits based on bookings or check ins. However, on the supply side generally we would be making either payment near to the check-ins or when we are working with third party suppliers, etc we make payment to them on a monthly basis or a fortnightly basis, based on the check-ins. That results in very good negative working capital for our hotel bills.

Ravi Purohit: What's the typical length of this negative working cycle and like you mentioned an important point earlier that there is a difference of number of days between booking and the voucher

creation. When does the customer make the payment? Let's say if I am standing on day zero and I am a customer who wants to kind of make an overseas booking for a hotel, and I confirm to the agent to the area I would like to take this whatever; can you go ahead and make the booking for me. Could you explain in days or make it very simple to kind of understand that sense?

Vikas Jain: Sure. In terms of the payment terms which a travel agent offers to each customers will vary again, from his whatever relationship he has with his customers or not. There might be some walking customers where he might be charging up front before booking a package and there might be some repeat customers he might be offering some credit. For example, but I can explain you let's say for example, there is a booking which is for a check-in of let's say we are sitting on 4th of August, and their booking is, check-in is happening on September per say. In our model basically, if a travel agent is working on an advance model, he would have to pay upfront before he can vouc

her the booking and in case a travel agent is working let's say on a credit period of monthly bookings kind of thing, he will be making 1st to 30th of month payment by next month or by 5th or 10th. We would be paying to the supplier in the month of check-in. It would be at the time of check-in if it's a VCC supplier, which is a virtual credit card
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supplier, or if it is a third-party supplier and we really enjoy a fortnightly or a monthly credit, we will be making payment of the September check-ins in the month of October. To give a perspective on the number of days per se, at an overall enterprise level, we would generally be sitting on a negative working capital of 3 to 4 days of GTV.

Aashvi Shah: Thank you. The next question is from Mr. Nitin Sharma. Sir, please unmute yourself and go ahead with your question.

Nitin Sharma: Firstly, how one should see your airline GTV over the next few years, but what I mean is what percentage of GTV do you see is coming from the airlines since there has been kind of the growth has been slowing. What's the thought process there?

Vikas Jain: For airline GTV, overall, it is currently in this quarter was contributed around 38% in terms of the GTV and 62% was contributed on hotels and ancillary. However, the gross profit numbers there in the airline business would be contributing around 11% to 12% and hotel business contributes more than 85% per say.

Nitin Sharma: Is it where to expect it to remain, is it a comfortable number or could it go down further as a percentage of revenue?

Ankush Nijhawan: Nitin, obviously as a hotel business keeps growing as an enterprise, the absolute percentage of the airline business will obviously shrink. But, historically below our air business have grown about 10% to 12%. Yes, we have had some de-growth in the last three quarters. But we are confident that going forward we should maintain the same levels of growth. But in the overall scheme of the GTV obviously our focus remains on hotels and ancillaries which will keep growing in other markets as well as an enterprise. So, to be fair you will see some growth in the air business, but overall GTV would probably remain in the same line what we anticipated.

Nitin Sharma: Understood and the second question on the hotel take rate. Are there any factors that you want to point out that could drive your hotel take rates up from here over the next 12 to 24 months?

Gaurav Bhatnagar: Nitin that's not a focus area for us right now, because it's hard to drive top line growth as well as margin expansion at the same time. There is obviously significant effort and investment going on to improve the quality of our supply which will often lead to just better pricing, but at least in the short term our view is that let's continue to pass on the benefits of that pricing to the customer or the travel agent to remain competitive.

Aashvi Shah: Thank you. The next question is from Mr. Mohit Motwani. Please unmute yourself and go ahead with your question.

Mohit Motwani: My first question is on, as you spoke about how a large part of your investments should be done by Q4. Can you share with us how long does it set you up in terms of growth, maybe let's say for next 2 to 3 years given that you have a sense of which market has what type of opportunity,

and you have been investing in markets like Australia. You are already investing in having more sales agents, and ultimately you expect to extract a lot of efficiency out of them. With the investment that you are doing right now, what kind of result and how long do you expect to get growth from that as the investment you made in terms of the subsequent years?

Gaurav Bhatnagar: Mohit, one way to look at it is to see how the old cohorts typically perform in the business, and we

have seen that it takes roughly two years plus to truly start deriving full value out of a specific year's cohort. Because for any given year, the full year cohort is only active in the
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business only for half of the year; so, we usually see them double their business the next year, but then they have significantly outpaced the overall growth in the subsequent year as well, and then they start to plateau out a little bit. That is purely from travel agents or this key account manager salespeople that we are adding this year, we would expect to see at least two to three years of runway of fresh growth because of these KAMs.

Having said that, there is also work happening on KAM efficiency, which should make our existing KAMs also more efficient which will also drive some uptake. Now, having said that, it is important to kind of take a pause and look at the size of the market and how large or small we are in context of that market. It's a hundred of billions of dollars of KAM. Once, collectively the management has built the conviction on the fact that adding new sales drives disproportionate value, we might continue to invest in building new markets or building depth in existing markets, in the subsequent years as well. But, it is reasonable to expect that, because the size of the business will be larger and there will be a trickledown effect, or roll on effect of the fact that this year, new agent edition is strong, in subsequent years these quantum of investment compared to the quantum of growth we expect from the investment should be lesser, and hence we should see some margin improvement happen.

Mohit Motwani: Sure, thank you for the detailed color on that. My second question is, you spoke briefly about how you lost 20 days in this quarter of April to June, where there was Iran Israel war, there were disruption for India as well. Now, given that hotels GTV is primarily international in nature, and this is basis source of demand. Can you give us a color how are the months of April and May will see a good growth in those months? I am assuming that there will be a sharp decline in June, on a YoY basis. So, how are the months of April and May if you can share some color?

Gaurav Bhatnagar: I don't have the numbers top of my mind, but we were seeing North of 20% growth in April and May; unfortunately, June saw the headwind it saw which was just bad luck.

Aashvi Shah: Thank you. That will be the last question for today, I would like to now hand it over to Mr. Gaurav for his closing remark.

Gaurav Bhatnagar: Thank you, Aashvi, and thank you everyone for the detailed Q&A. Would love to get feedback on this format and as well as any incremental feedback on the format of the shareholder letter. Thank you, everyone.

This Transcript has been slightly edited at few places for clarity and accuracy and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy.

Call: Nov 2025

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Mumbai - 400 001, Maharashtra, India Mumbai - 400 051, Maharashtra, India

Scrip Code: 544174 Scrip Symbol: TBOTEK

Sub: Transcript of Earnings Conference Call

Dear Sir/ Madam,

Pursuant to the provisions of Regulation 30 read with Schedule III of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, we are enclosing herewith the transcript of Earnings Conference Call held on November 3, 2025, in relation to the Unaudited Financial Results of the Company for the quarter and half year ended September 30, 2025.

Kindly take the above disclosure on record.

Thanking you,

Yours faithfully

For and on behalf of TBO Tek Limited

Neera Chandak

Company Secretary

Encl.: As above

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TBO Tek Limited

Q2 & H1 FY26 Earnings Conference Call

November 3rd, 2025

MANAGEMENT: MR. ANKUSH NIJHAWAN, CO-FOUNDER AND JOINT MD

MR. GAURAV BHATNAGAR, CO-FOUNDER AND JOINT MD

MR. AKSHAT VERMA, WHOLE-TIME DIRECTOR AND CTO

MR. VIKAS JAIN, CHIEF FINANCIAL OFFICER

MR. ANIL BERERA, ADVISOR

MR. PRAMENDRA TOMAR, GENERAL COUNSEL

MR. SHRESHTH MAHAJAN, ASSOCIATE DIRECTOR-INVESTOR RELATIONS

MODERATOR: MR. SNIGHTER ALBUQUERQUE, ADFACTORS PR: INVESTOR RELATIONS

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Snighter Albuquerque: Good evening everyone. I am Snighter Albuquerque from Adfactors PR Investors Relations. On behalf of TBO Tek Limited I would like to welcome you all to the Earnings Conference call for Q2 and H1 FY26.

Today on the call we have with us from the management, Mr. Ankush Nijhawan: Co-Founder and Joint Managing Director, Mr. Gaurav Bhatnagar: Co-Founder and Joint Managing Director, Mr. Vikas Jain: Chief Financial Officer, Mr. Anil Berera: Advisor, Mr. Akshat Verma: Whole-time Director & CTO, Mr. Parmendra Tomar: General Counsel and Mr. Shreshth Mahajan: Associate Director - Investor Relations. We will begin the call with a brief opening comments from the management followed by a Q&A session.

Please note that certain statements made during this call may be forward-looking in nature. Such forward-looking statements are subject to certain risks and uncertainties that could cause the actual results or projections to differ materially from those statements. TBO Tek will hold no responsibility for any such actions taken based on such statements and undertakes no obligations to publicly update these forward-looking statements.

I would like to hand the call over to Gaurav Bhatnagar now for his opening remarks. Thank you and over to you Gaurav.

Gaurav Bhatnagar : Thank you Snighter. Good evening everyone and welcome to our Q2 & H1 FY26 Earnings Call.

Just prior to the call we have shared a detailed shareholder letter on the website in investor relation section just like we did last time, and we believe that format works better where we give you all the chance to review the numbers and then spend more time on Q&A. I will just take a minute to summarize the results and then we will jump straight into Q&A.

Q2 FY26 was an exciting and eventful quarter for us. As you all know this is a peak travel period for most of northern hemisphere which is reflected in our results as well. Historically Q2 has been our strongest quarter and it is the same this year as well. We are happy to report that after the macroeconomic headwind and the geopolitical challenges that we faced in Q1, we had a relatively stable and growing quarter in Q2.

The GTV grew by 12% largely aided by faster growth nearly 20% growth in the hotels business. GP grew by 19% which is growing faster than GTV again because the mix is changing towards hotels and there is slight improvement in retention as well on the hotels business. The EBITDA before M&A cost, as we acquired Classic Vacations this quarter and the cost is appearing in our numbers but before M&A cost we delivered an adjusted EBITDA of Rs. 104 Cr which is a 16% growth as compared to same quarter last year. You will see that the gap between GP growth and adjusted EBITDA growth is narrowing down now which is a reflection of the increasing operating leverage in the business. Apart from this the other big event in this quarter was the acquisition of Classic Vacation. As of 1st October, the transaction has been closed and Classic Vacation has started to integrate into the business. You will start to see numbers from Classic getting consolidated in our numbers starting Q3 onwards.

With that we will open the floor for questions.

Snighter Albuquerque: Thank you so much Gaurav. We will now begin the Q&A sessions. Participants are requested to raise their virtual hands to ask questions. We request you to introduce yourself and the firm you represent before going ahead. We will wait for the Q&A or for the question queue to assemble.

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We will take the first question from Manish Adukia. Manish, please unmute yourself and go ahead

with the questions.

Manish Adukia: Thanks for taking my question. Good evening team. Really appreciate the detailed shareholder letter and the disclosures. I have couple of questions. First, congratulations on completing the Classic transaction versus the last time we spoke when you had done the call to announce the Classic transaction. I would love to get a little bit more detail around how that business may change your growth and margin profile. I think your business of course this quarter did mid-20s revenue growth, 20% GP growth. Classic, from whatever you have shared in the past last few years has not shown any meaningful growth at least. So, now with classic integrated from the December quarter, over the next one to two years, do you see TBO's overall growth profile as resetting lower versus what you were delivering? Maybe the growth may be slightly more profitable but just want to get your overall sense on how classic integration could change the growth profile of the business.

Gaurav Bhatnagar: Manish, I think that is a very fair question. One, it is very early and premature for us to be able to comment on the combined businesses growth profile. The way we are looking at it right now is that Classic at a top line at a GTV level would still be contributing roughly 500 million on a GTV basis on a total base of roughly three and a half billion dollars. From a GTV profile perspective, Classic adds to the denominator but not so significantly for us to have a big drag. I think the bigger challenge is going to be to look at the revenue and GP profile of Classic because Classic does operate at a much higher revenue at almost 22% of take rate and 11% of GP. Now, two things are going to happen over there. Yes, absolutely this from a revenue perspective it will add meaningfully large number to our existing revenue. On a GP basis, I think the business is more similar to our business. Yes, it is slightly more accretive in terms of what it generates in as a percentage of GTV but at that line we should be able to find in the short term growth synergy to drive GP continue to drive GP at a similar rate as before. The other bit is there are a couple of pockets of opportunity and we will talk a little bit about it later as well. For example, India is starting to come back from you know a period of de-growth to flatten more so that is an open opportunity for us to add up to the overall growth in the subsequent quarters and years. Secondly, as a base US is a very large market right. So the question that we need to answer is; can we unlock you know 15% - 20% kind of growth in that business given that the size of the market is very large and the business is right now owned by a private equity as against a strategic that is the only bit we need to answer for rest of the engines are shooting at higher than 20% growth as you would see in a shareholder letter as well. Most regions are actually delivering even maturing regions like Middle East are delivering 20% plus growth so we remain confident I do not want to comment that will that overall growth profile remain same at the bottom line absolutely it should accelerate at the top line we are still confident that we will find ways to get similar growth profile but too early to comment in a definitive manner.

Manish Adukia: Thank you Gaurav. I really appreciate that response and that statement that you made about ability to unlock that 15% to 20% growth in Classic for a period of time whether that happens or not. I mean I am sure you have a structure in place in terms of how you think about the growth getting to 15%, - 20% for classic but like could that be like a two-year journey five-year journey I mean for you to get there would that require a lot of investments in Classic and could the journey be more like a near term or could that be like a much more longer term journey for classic to you know get to those kind levels of growth?

Gaurav B

hatnagar: I think in the short term what I would expect is that we would see a faster synergy realization on the bottom line and the reason I say this is because we have seen happen in our previous acquisition as well is that we do have a significantly larger supply pools that will be plugged into the Classic ecosystem. Usually, these synergies first start showing up
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in margin expansion within the existing business and hence the bottom lines will show some improvement to begin with. Subsequent to that, again the same question come that we have been grappling with as well how much of that bottom line improvement you want to push back into the top line but broad theme, will remain saying that it is going to be profitable growth we are not looking at taking any further cash from the core business to accelerate growth in Classic. The Classic investment thesis was that this business will be profitably growing without any further investment and we stick to that. I do not think it is

a five-year journey it should be shorter than that now whether it is a one-year journey or a three-year journey that is hard to say but if we do not find growth levers in two years we will not find them.

Manish Adukia: Very helpful maybe just one or two quick follow-ups on, you mentioned GP to EBITDA growth has now started to converge in your previous call you had mentioned that a lot of investments will be done by this fiscal year in the core business. So, is it safe to assume that let us say at least starting next fiscal year EBITDA growth should start outstripping GP growth for the business?

Gaurav Bhatnagar: I think that is a fair assumption for the core business and we have shared it in our shareholder letter as well. YoY quarterly SG&A growth is starting to slow down now. We expect that trend to continue for the next couple of quarters as well. So, you are right Manish that we would expect operating leverage to flow through and EBITDA should start accelerating faster than GP in the subsequent quarters.

Manish Adukia: Just my last question. India business of course encouraging to see the growth now starting to at least stabilize. Do we have any view on the outlook of that business I mean it is stabilized now from here on should it accelerate should it stay in the current range and within that just the hotel versus air bit like hotel of course doing better than air today but on the air is there like meaningful scope for acceleration? Would love to get your thoughts. Thank you for taking my questions.

Ankush Nijhawan: Of course, again repeating hotel business is our core theme of the company right I mean for obvious reasons which all of us know. So, that is something we will keep building on. Air is definitely we had to arrest the de-growth because it is a big hook for us. First to make sure that our penetration continues in India plus helps us to sell our non-air business as well and all of us know the growth which the aviation is going to see in India, being a leader already in that space we still want to control and ensure that we are a very serious relevant player for the airlines which will obviously help us to penetrate more, create stickiness amongst our travel agents and help us to cross sell hotel products so that remains the theme. It is in the right direction and we do anticipate growth going forward you know as we move into this quarter as well as 2026.

Manish Adukia: Thanks a lot thanks for taking my questions.

Snighter Albuquerque: Thanks Manish. We move to the next participant Karan Uppal. Karan, request you to please introduce yourself and the company you represent and go ahead with your question.

Karan Uppal: Yes, thanks for taking my question. This is Karan Uppal from Phillip Capital. Good quarter, congratulations on th

at. Three questions from my side. Firstly on the monthly transacting buyers so very smart addition in the international markets, the growth rate is really strong so can you elaborate which particular markets or countries are doing well, where SG&A expenses are showing results and where you can catch up? That's my first question.

Gaurav Bhatnagar: Okay. Karan the good news is that active agent growth has been largely secular across almost every region. It has also translated to new business growth particularly well in Europe for us right now and parts of Middle East. Those are two regions where we have
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actually seen that not only have it added new customers they have immediately started delivering as well. Part of it is just the nature of those markets because each travel agent is worth much more because these are richer country with per capita travel spend is much higher. On the other hand markets like APAC have shown a large growth in the number of transacting buyers because each transaction is smaller in value they are still not very significantly contributing to the top line. Now the hope is that these travel agents as they mature into from a T1 or T5 to a T10, T20 transaction. Hopefully Q4, Q1, Q2 next year they will also start meaningfully delivering. Broadly speaking, I think almost every region has seen a strong growth both on new agent addition as well as business given by the new customers.

Karan Uppal: Okay that is great to hear. Secondly in terms of the markets, Europe and Middle-East are

our largest markets and the growth you know smartly recovered in this quarter. So, now post Classic acquisition how should we think about the growth in these two markets which are almost 60% of the GTV contribution for us?

Gaurav Bhatnagar: I think from a percentage of GTV contribution and saliency perspective, obviously US has also become significantly large for us now. I think combined TBO core business and Classic business will be north of \$700 million, \$800 million GTV so that will just change saliency a little bit. The growth profile for Europe and Middle East standalone should not be affected at all. The way our business operates is that each of these regions run fairly independently while sharing supply and platform as a common lever. So, these businesses should continue to see the benefits of all the new agent addition all the investments done over there in the growing our sales team. So, I would not see them getting impacted either way because of addition of Classic. Their share of wallet of the overall TBO business will reduce because we have now added significantly larger GTV in North America.

Karan Uppal: Okay. A related question to that is since Classic source market is mainly in US. With respect to cross selling it to, let us say Europe and Middle East. So, can we expect this numbers which you are reporting can they accelerate from here because of Classic integration?

Gaurav Bhatnagar: The Classic integration will have one supply benefit that Classic has access to about 1500 luxury, and ultra-luxury hotels which many of them were not directly working with TBO in the past. Those hotels will become available to the broader TBO ecosystem in due course of time. Classics technology still needs to be integrated which will take some time but once that happens, we should see overall benefit of that in the entire ecosystem. In Europe and in the Middle East, it is very hard to quantify right away; as to how much of that upside is going to be and also not very easy to quantify that how much of that upside is actually margin expansion bottom line upside and how much of it is just new growth that happens because of it. So, very early days but you are right that the supply that we get access to because of Classic should bene

fit our overall bigger broader TBO ecosystem as well.

Karan Uppal: Okay great last question from my side is, the gross margin in the hotels and ancillary business second quarter in a row is in the mid-60s, this number used to be around 70%. Last time you mentioned that the contribution from the commission business was a bit higher so was that the same phenomena this quarter as well?

Gaurav Bhatnagar: Yes, our revenue has grown you know significantly faster than GP and we have made a note of this in our shareholder letter as well. Essentially what is happening is that when the share of wallet of suppliers who work on a commissionable model increases in any specific quarter then all of that commission obviously flows back into revenue; but then part of that commission gets shared as netted off when we come down to the GP line and hence in such quarters you will see revenue run faster than GP.

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Vikas Jain: Just to add Karan; if you see GP as a percentage of GTV it has been almost flat. It has marginally grown from 5.5% to 5.6%.

Karan Uppal: Okay. Just one clarification. With regards to this commission versus take rate, what is the broad split right now in the hotels naturally at this point of time?

Vikas Jain: In terms of the GTV contribution it would be approx, 35% of GTV is coming from the commissionable model.

Karan Uppal: Okay. Great. Thanks a lot and all the best.

Snighter Albuquerque: Thanks Karan. We move to the next participant Swapnil Potduke. Please unmute yourself please also introduce yourself and the company that you represent and go ahead with your question.

Swapnil Potduke: Thanks for the opportunity. First of all congrats on a good set of numbers. I would like to start with the Classic accounting policies. I want to understand over here is like how do you book the GTV in Classic? Do you book it at the time of a customer making the

transaction or is it at the time of travel? Also, a related question to that this is that how should we see the seasonality playing out in the classic business particularly?

Vikas Jain: Currently the numbers, Classic has been reporting in their historical financials the GTV numbers have been reported basis the time of travel. However, considering our accounting policies that we record GTV based on the booking basis; we are working on to arrive the numbers that we would be reporting in the subsequent quarters based on our accounting policy. So, there would be some change in the way that historically Classic has been reporting the numbers and the way it would get consolidated in our numbers.

Swapnil Potduke: How would that affect your seasonality? How should we look at that business affecting your quarterly numbers?

Vikas Jain: Give us time for this quarter. I still to have those numbers exact numbers based on the booking related to the near to the last cancellation date etc. We will share more insights about the same in the next quarter.

Swapnil Potduke: Okay. The next question is on your LatAm business whether growth over there has been 10%; while the rest of the portfolio is firing good enough, when do we expect the growth to you know recover back to let us say 20s or around those that growth number?

Gaurav Bhatnagar: LatAm as a region is facing significant headwinds, in fact some of some growth has revived but there have been just structural challenges over there. One, some of it is beyond our control we talked about the IOF tax which remains an ongoing issue because it does make outbound travel more expensive and harder for us to do that business. The second challenge is that their currencies still remain volatile and given their booking windows are very long in the sense they book significantly in advance, it creates a little bit of currency FOREX risk for

us as well. We have taken some action and hence you have seen some growth come back. I would not hazard a guess on how quickly we can get this into say 20% kind of growth as yet because there are factors you know which are rapidly changing and are really beyond anybody's control at this point in time. Having said that, from a saliency perspective this has not a very major impact on the overall numbers for us. We are tracking closely and are driving for higher growth in Q3 but very hard to say that will it come back to 20 plus kind of a growth very quickly.

Swapnil Potduke: Got it and a question on your organic margin given that going ahead we will have Classic also integrated in our numbers. So, let us just assume your business grows 20% in the
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hotels business next quarter also, will it be fair to say; that except Classic we will still see operating leverage on a YoY basis and because on QoQ basis there will be seasonality; but on a YoY basis we should expect operating leverage playing out and some bit of margin expansion except Classic.

Gaurav Bhatnagar: Swapnil, the original thesis remains and we have been really anchoring around Q4 but the number that we are tracking right now is that how is SG&A YoY slowing down because we had a very strong high 25% to 30% SG&A growth in the beginning of this calendar year on YoY basis. That is definitely slowing down much more in our control. The GP growth should continue at a certain pace minus the seasonality. So yes; you are right to say that ex of Classic we should see EBITDA catch up with GP and eventually overtake GP as well. We are anchoring more around Q4 right now given that Q3 historically is the leanest of all quarters for us.

Swapnil Potduke: Okay got it. One question on your cash flows also, this quarter it seems your cash flow conversion on OCF2 EBITDA seems to have dipped a bit. Any particular reason that you can call out why that has changed from historical trends here?

Vikas Jain: Yes. Specifically in the Brazil market, it works on an installment basis and we earlier used to anticipate those installments to get the funds up front but what we have realized is that the cost of anticipation is much higher. We have experimented this quarter and we do not do anticipation but instead of that we have a negative working capital. So, instead of anticipating the same, we have kind of done away with that practice and try to hedge our

FOREX risk and that is what has impacted some bit on the working capital side but we are still evaluating that experiment and if it makes sense we will continue with it in the future.

Swapnil Potduke: Got it. Just one question on your amortization policy also. There has been some bit of amortization in your balance sheet of this quarter, intangibles. So, any and that number, if I look at FY25 full year and the half year for this then the number seems to be the same. It seems like there is some acceleration on amortization cost possibly some R&D related costs. If you can just help explain that?

Vikas Jain: So, it is primarily not. I would say not much increase in the amortization of the intangible per se even some I would say minor increase in the capitalization, that would have led to some increase in the amortization cost over time and secondly at times like some projects would get capitalized and would get amortized over a period of five years but in some time where the project life is short. The amount gets amortized over three years, so our policy is that amortization of the intangible will happen between three to five years and so that that would also have some impact on the numbers which we report on the amortization.

Swapnil Potduke: Got it Vikas. Just last one on your ESOP. There has been some decline in the ESOP QoQ Rs. 4

Cr delta. Is this the new render that we should be looking at?

Vikas Jain: No. This is actually one offs due to the reversal of the sum of the cost because of the resignees in this quarter. The cost that we were seeing in the last quarter is around I would say Rs. 7 Cr a month should continue in the upcoming quarter based on the grants that have been issued till 30th of September. Obviously the further grants get issued in this quarter the cost may change.

Swapnil Potduke: Got it. Thanks a lot guys for the opportunity and all the best for your future quarters.

Gaurav Bhatnagar: Thanks Swapnil.

Snighter Albuquerque: We will move to the next caller Mr. Sucrit Patil. Please introduce yourself and the company you represent and go ahead with your question.
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Sucrit Patil: Good evening. My name is Sucrit Patil and I am from Eyesight Fintrade Private Limited. I have a forward-looking question. As travel platforms get more tech driven and inventory access becomes easier, what is TBO Tek doing to build a strong edge not just through technology or supply but through something deeper that makes the platform hard to replace?

Gaurav Bhatnagar: We have to look at the platform in totality to understand where it creates modes and network effects. There are two sides and one is yes the supply side which is increasingly getting tech enabled. Having said that the supplier especially the larger hotel chains and larger hotels are getting very selective in who they want to work with. So, the scale allows us to make sure that if they select to work with a handful of players we have among those handful of players. For a new entrant it is increasingly harder to get access to that supply. On the demand side the business is far more fragmented because we are servicing the travel agent market which is millions a travel agencies across hundreds of countries. To aggregate this demand at a global scale is quite hard which is a combination of a tech play but also the feet on street that we set up the local infrastructure that we set up for local support, local payments, customizing supply for and the user experience for different parts of the world. Both have to come together and at scale for a business like this to be recreated. So, our belief is that as the size of the network grows especially on the demand side it becomes harder and harder to recreate this business and the network effects make it that much easier for us to grow faster vis-a-vis competitors who are new to the market or who may be one or two country players.

Sucrit Patil: Okay and my final question is to Mr. Vikas Jain. As you invest more in tech and expand globally, how are you making sure the company stays efficient and what cost levers do you think will help protect the margins over the next few quarters? I am just trying to understand how you are going to balance growth and innovation with long-term margin

stability. Thank you.

Vikas Jain: As Gaurav had pointed out that in coming what we have been in investment phase specifically, I would say on our sales feet on street across the global markets and as the same is nearing finalization we will be seeing operating levels coming in specifically the SG&A growth would be lower than the growth in our gross profit and thus we anticipate that EBITDA growth should be faster than the revenue or the gross profit growth in future.

Sucrit Patil: Thank you. I wish the entire team best of luck for Q3.

Gaurav Bhatnagar: Thank you.

Snighter Albuquerque: Thanks Sucrit. We move to the next caller Mr. Moez Chandani. Please introduce yourself and go ahead with the question.

Moez Chandani: Good evening. This is Moez I am calling from Ambit Capital. My first question was on the APAC markets, which saw very good growth in the APAC m

arkets nearly 40% plus. Now given that this is still a small market for you, is this something that you think will continue to keep growing at this 40% rate or do you think that growth would maybe taper off at some point in these markets?

Gaurav Bhatnagar: Coming on a smaller base in a relatively large market we are seeing high double-digit growth in that market right now. A lot of this growth is driven by new markets specifically Australia which we count as a part of APAC in our business where we have seen good traction. It is very hard to comment and give such a specific guidance on where this growth will sit in subsequent quarters but I can just generally talk about how we see the market. It is a very large, it is the world's most populated market and the largest travel market in TBO Tek Limited
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terms of number of passengers may not be necessarily the largest in terms of travel spent but in number of passengers. So, if you look at the runway for growth in these markets, there are just immense source markets that we have barely touched. Australia is very small for us but growing at a very fast pace. We are somewhat penetrated in Indonesia but again it is a very large market compared to our presence over there. We have not even touched markets like Japan and Korea as yet and no immediate plans in the next few quarters as well.

So, if I was to look at a three to five year view on this market it should be very large for us because that is how it is eventually going to be one of the larger global markets and hence our business should mirror that. Today you will see it is one of the smallest markets for us. There is a runway for growth but very difficult to comment that will this specific growth rate continue, will it accelerate or decelerate over the next few quarters.

Moez Chandani: Okay. Got it, understood. The next question was on your adjusted EBITDA margins, x of the one offs they have seen a very sharp improvement. Now is there a particular target EBITDA margin that you have in mind post which you would rather reinvest in growth or rather than focus on margins or do you think that there is this is more or less a steady state in terms of incremental margins going forward?

Gaurav Bhatnagar: We do expect to improve margins from here because like we discussed earlier in the subsequent quarters we would see a slowdown in growth, in SG&A on a YoY basis while top line should continue to grow. So, we would expect margins to expand. Now the question on how you know till to what extent they can grow and at what point you start reinvesting some of those margins back into the business, is would be conjecture at this point in time.

Our first focus is that demonstrate that the investments that we have made in first half of this calendar year have a fairly quick payback period, over the next 12-18 months this translates into higher operating margin and then expanding of EBITDA margin, so the operating leverage does flow through. We had taken a very considered call last year when we discussed on how we think your investment to say that let us take all of the margin expansion because of operating leverage and reinvest into the business and hence the

general view for us was that as long as the bottom line grows in line with top line we are satisfied because this is an investment into the future. We will have to take similar calls for subsequent years as well but it is very premature to say that what those calls would be and what percentage of operating leverage would you want to reinvest in the business but we remain committed to expanding the EBITDA margin on the core business minus the CV business for the next several quarters.

Moez Cha

ndani: Okay. Got it. Thank you and best of luck.

Gaurav Bhatnagar: Thank you Moez.

Snighter Albuquerque: Thanks Moez. The next question is from Raghav Malik. Raghav I request you to please introduce yourself and the company you represent and go ahead with your question.

Raghav Malik: Thank you for the opportunity. This is Raghav from Jefferies. The first question just on the air business we have seen GTV expand like a turnaround after a few quarters but the take rate seems to have shrunk. Could you elaborate where the competition mainly is coming from is it more on the OTA side or are you facing more competition on the B2B side for the air business?

Ankush Nijhawan: It is a business which everybody is trying to win a buy. So, yes it will not be fair to say that one particular com set is kind of competing with us including OTAs as well as our own B2B TBO Tek Limited
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peers right. So, everybody's fighting for that chair. It is not one particular segment we are competing with. I think it is a few players I would say in the industry which we are obviously competing with.

Raghav Malik: Okay and in terms of outlook for the segment like do we expect take rates to now stay at these new levels and GTV to subsequently maybe grow or how do we see that?

Ankush Nijhawan: Take rates should be at the same levels Raghav but definitely we do anticipate a growth in our air business as we have now turned around things in Q2 and hopefully we will continue the same trends as we move into Q3 and Q4.

Raghav Malik: Okay thank you and my second question was on the platinum business. Any indication on how many hotels we have added on that front and how do we see that business shaping up?

Gaurav Bhatnagar: Yes, Raghav the business is shaping up well we have crossed the 150 mark on the total number of participating hotels. The good news on that business is that for the cohort of hotels that we have signed up as platinum, we have seen a sharp uptick in the share of business that those hotels are getting in the in the same city on an YoY basis which means that we have demonstrated to the hotel that we can divert business a basis the prioritization of how we list the hotels and how we market the hotels on the platform. So, we remain bullish on that program it is meaningfully adding to the bottom line as well because it is incremental new revenue that we are generating from the override that we negotiate with the hotels for this business.

While from an enterprise perspective it is subscale right now to talk about its 150 hotels only but from a strategic perspective of saying that are we able to demonstrate to supply that we have influence over the purchasing decision of the travel agents and their customers; I think this is quite significant.

Raghav Malik: Sure. Thank you. That is all from my side. Best of luck.

Snighter Albuquerque: Thanks Raghav. The next question is from Samarth Patel. Samarth request you to introduce yourself and the company you represent and go ahead with your question.

Samarth Patel: Thanks for providing me the opportunity. This is Samarth Patel from Equirus Securities. I joined a bit late so my apologies if the question has already been answered. I just wanted to get a sense of what is the current retail versus enterprise mix for us and how should it

evolve in the medium term? That is my first question.

Gaurav Bhatnagar: I think at a GTV level for the hotels business, it remained at about half and half for the international business. Obviously at a GP contribution level I would say the retail business delivers a higher GP compared to the API business. We would expect the numbers to not materially change in the near future. In the long run, we do expect the

retail business to

start growing at a faster pace because a lot of investment is going into building out the long-tail distribution that we have been focusing on and hence this would lead to our retail business growing at a faster pace in the long term.

Samarth Patel: Thank you that was really helpful. My second question is like if you can just help us with margin and profitability profile of any particular mature market like Middle East and how it differs from let us say consolidated margin that would be really helpful.

Gaurav Bhatnagar: We do cannot do a financial P&L for a region because there is a fair bit of shared cost for example there is a cost of platform, there is HO cost and even supply is shared across multiple geographies. So, it is very hard to you know break out a regional P&L per se. All I

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can say is that what we have seen demonstrated in the business is that if you were to look at regional contribution, which is to say revenue or GP which can be directly attributed to a region and the direct cost of that region right. The sales people on the ground in that region; if you look at that number then the GP to the regional contribution improves very sharply with growth; so we see huge operating leverage play out over there but obviously because there is certain cost which is setting centrally which is supply cost, cost of technology platform and then some of the investments that happen in newer geographies where this operating leverage is still not kicking in so when you look at it at an consolidated level you see some dilution happen. But rest assured, if you were to look at maturing markets like Middle-East for example there is a very strong conversion from GP derived in the region to the regional contribution.

Samarth Patel: Understood. That was really helpful. That is it from my side and thanks for providing the opportunity.

Vikas Jain: Thank you Samarth.

Snighter Albuquerque: Thanks Samarth. The next question is from Divyansh Gupta. Please introduce yourself and the company you represent and go ahead with your question.

Divyansh Gupta: Sure. Hi this is Divyansh Gupta from Latent Advisors we run a PMS firm. A quick question on the GTV concentration. In our IPO time we had mentioned that we had given the top five and ten concentration; how would have the data evolved now? Is there a concentration any particular side?

Vikas Jain: On an enterprise level the number remains the same. The top 10 customers would be contributing less than 10% of our GTV similarly top 500 will be contributing 45% to 50% of our GTV. They remain in the similar line

Gaurav Bhatnagar There is no material change that will happen either way.

Divyansh Gupta: Got it and I am assuming we are comfortable with this concentration level because that is how the industry is structured or are we trying to de-risk the business?

Vikas Jain: These ranges over very last few years so we are very comfortable with these.

Divyansh Gupta: Got it and one more question. We are introducing a lot of AI on our platform which can help let us say the agents book. So, how does the AI work from a pricing prospect? Does it help let us say optimize for booking so that the booking gets through or it is on revenue maximization so that the by the suppliers earn higher; so how should we understand the infusion of AI into the business?

Gaurav Bhatnagar: There are several touch points where we are introducing AI. If you specifically talk about

pricing then a lot of AI and data analytic work happens behind the scenes on driving higher conversion and the maximum possible markup. The problem statement that we try to solve for is that, how out of every 100 searches how many can we convert at a highest possible markup without leading to net d

ollar value incremental outcomes.

You would see there is slight improvement in take rates in the hotels business on a QoQ basis. Some of it, can be attributed to some of these experiments some of it also leads to top line growth so because sometimes the conversion is not happening because you are marginally more expensive than competition. In those situations while the take rate may not improve the take rate may actually also come down but then top line growth is happening. So, a lot of this happens behind the scenes. It is very hard to present this and explain how it works, some of it is IP as well but needless to say this has been a key focus

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area for us for the last few quarters and I think we have done a good job of it and reflecting in the numbers.

Divyansh Gupta: Got it and if you have answered this earlier because I joined later then I will refer back to the previous questions but how has Classic's performance in this quarter been?

Gaurav Bhatnagar: Classic's transaction was closed only on 1st of October. So QND will be the first quarter where we will be consolidating on Classic.

Divyansh Gupta: I am not asking from a consolidation perspective just that from the time we acquired till let us say till 30th of September.

Gaurav Bhatnagar: It has been in line with the expectation. So, no red flags or no concerns either way. The business has been delivering in line with its historical performance.

Divyansh Gupta: Got it. The follow-up question on Classic. From Covid where people, let us say there was a lull and then revenge travel, the overall revenue has not increased and while let us say it was not part of Expedia then to the P, why would someone acquire and then not be in core and not grow? I am just trying to understand for whatever it is worthwhile why was not the growth there in the business, even if let us say the investor might not be that interested.

Gaurav Bhatnagar: It is a nuanced question and without disclosing a lot more detail it is hard to explain why we feel confident that we can initiate growth in this business. But let me try and summarize it. So, in a nutshell Divyansh, this happens with pretty much every business in our space which is somewhat subscale, is that the access to supply and access to competitive supply is extremely limited right unless you are doing billions and billions of dollars of GTV. So, if you are subscale if you are in that hundred million to say half a billion kind of a range; the access to supply is very limited, which has a subsequent effect that the travel agent or your travel advisors use you for very limited business. So, the Classic business has largely been limited to four geographies which is Mexico, Caribbean, Hawaii and parts of Europe, very small parts of Europe which is one obvious opportunity that is visible that if you to expand the supply and expand the number of destination then you would become more relevant for your existing customer base.

The second bit is that given the size of that business their ability to invest in technology is very limited right the full technology team for Classic is less than two dozen like less than about just about 20 people. So, they would benefit from the much larger technology team and the technology infrastructure that we have already built once we do that integration. All of these things are not possible for a standalone Classic business when they were owned by a family office; because they were not a part of a bigger strategy ecosystem. They could not have afforded the technology and could not have access to that supply. Now that we create access to both these things we build more confidence that yes at this poi

nt in time

we can actually spur growth in that business.

Divyansh Gupta: Got it. Understood and just one last question. We started in India and therefore airline was a stronger suit for us and for whatever is happening in India is let us say whatever is

happening the question is more on the international flight booking. A very basic question; that why would an operator use us for booking flights for business originating outside India, because we do have some air business. So, it is just that it just happens like if it happens it happens or it is something that we have not focused on and we are trying to focus or that market has gone to the OTAS?

Gaurav Bhatnagar: Globally the airline market has not even gone to the OTAS; it has gone direct. If you see the European carrier like Ryanair they have a very strong bias for direct if you see the US market as well it is largely supplier direct on the airline website. We still have a very small TBO Tek Limited
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airline business outside of India because we need to provide one for the completeness of the solution.

There are always pockets of inconvenience for a travel agency for example if I am a travel agent in US and I need access to Indian low-cost carriers, I will not have or Asian low-cost carriers or European low-cost carriers I will not have access. Occasionally I need to book those. We are a big believer in keeping the ecosystem comprehensive, so that a travel agent has to never leave the platform. From that perspective it serves a useful purpose. The second bit is that as we are expanding our own thinking around complex itineraries and packages and creating frameworks where us the travel agent in a single itinerary is booking flight plus hotel plus transfers plus sightseeing flight is a very key element of that. The ability to deliver and book flight tickets is very critical. Standalone building that business outside of India does not make sense because that ecosystem is very mature and there is not a large gap that will be fulfilling. So, that is the way we think of it. It completes our platform and eventually as we look at packaging and multi-product in a single transaction then flight will be very critical.

Divyansh Gupta: Okay and just one last question. The take rates for us in flights versus take rate for make my trip there is a very large difference and why would that be? I understand we would be passing on something to the agent. So, it will flow through but on a revenue take rate basis it should typically be on par right?

Ankush Nijhawan: Typically the take rates are same or probably lesser in a case of a B2C OTA, but what the difference between us and our take rate is that they have a convenience fee if you see in their financials which they add on every ticket they sell, which technically we cannot charge because we are obviously distributing it back to the travel agent. So, the travel agent actually keeps that convenience fee for his margin which he does not always share with us. For a fair comparison probably the take rates are lower or similar as ours; but the convenience fee makes you feel that the take rates are higher in a B2C like Make my Trip.

Divyansh Gupta: Understood. Thank you very much for patiently answering my questions.

Snighter Albuquerque: Thanks Divyansh. We will take Karan Uppal next. Karan please unmute yourself and go ahead and ask a question.

Karan Uppal: Thanks for the follow-up. Just one question on the acquisition related costs. So, this quarter it was around Rs. 13 Cr, next two quarters how should we think about this number and the margin guidance which you are giving in terms of the adjusted margin expansion. Should it be that 16% margin levels or 18.3% which you have reported?

Vikas J

ain: On the acquisition related cost, we have kind of provided for the entire cost related to this acquisition in this quarter itself. We do not anticipate any major cost to come up in in the subsequent quarters per se. The EBITDA margin that we are saying; since in the future period this cost would not be there. It should be fair to see our EBITDA margin before M&A cost which is 18.3 as the base for this quarter.

Karan Uppal: Got it. Thanks Vikas.

Snighter Albuquerque: Thanks Karan. The next question is from Vidhi Raval. Vidhi go ahead and ask a question. Please introduce yourself before that.

Vidhi Raval: Hi. Thanks for taking my question. I am Vidhi Raval. I am from Yes Securities. Just one thing as most of the questions have been answered. Last quarter we did mention that payroll cost should be streamlined Q2 onwards. Just wanted to check where are we in terms of the entire payroll cost and the international hiring that was there on track. That is first
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question and secondly, where are we on the new travel agent contribution that we have towards the GTV.

Gaurav Bhatnagar: Okay. We have covered this in our shareholder letter as well. Largely we are done with the hiring that we were going to get done for this year. There will be some subsequent hiring that will happen in Q3 and Q4 as well but I think the bulk of the cost is not built in; which is also why we have a favorite of confidence that on a year-on-year basis the SG&A growth should start to taper down.

Your second question was on the contribution on the newer travel agents to the GTVs. We have done a fairly detailed analysis in our shareholder letter and this number. It is a very important number for us because it is a significant uptick. So, if I look at the first six months of this year compared with first six months of last year, the share of business that we have that we have derived from the travel agents added in the same financial year has materially improved.

Vikas Jain: That number is going from 4.3% to 6.9%.

Gaurav Bhatnagar: For the same period last year, the travel agents who were added in the first six months contribute 4.3% of the GTV in that international business. This has now almost grown from 15% to around 16%. This is the number that we expect to continue to grow in H2 as well, because these travel agents should become even more productive in the second half of the year.

Vidhi Raval: Sure sir. There is one last question. We have Classic kind of coming on board from H2 onwards, so wanted to understand their take rates, we understand that the entire model is commission-led over there. How should we look at the split between commission-led and standalone take rates that we are sitting on as of today?

Vikas Jain: While we should share more details when we consolidate the Classic numbers in the coming quarter. As Gaurav mentioned, the take rate of Classic business is a bit different than our core business. They operated around 22% take and 11% GP while our GP in hotel business is at 5.6%. They would be changed due to mixed impact coming in, but we will try to share transparently as our core business numbers as well so that the readers have clear understanding of how the impact is coming from the Classic.

Vidhi Raval: Sure sir. Thank you so much.

Snighter Albuquerque: Thanks Vidhi. That is the last question for the evening. Thank you everyone for participating in this call. I would now like to hand the call over to Ankush Nijhawan for his closing remarks.

Ankush Nijhawan: Thank you everyone for taking time and being part of the earnings call and if anybody has a follow-up question please feel free to write to any one of us. We are always available and I look

forward to see you sometime after this quarter. Thank you for your time.

Snighter Albuquerque: Thank you Ankush. On behalf of TBO Tek Limited, that concludes this conference. Thank you everyone and have a great evening.

This Transcript has been slightly edited at few places for clarity and accuracy and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Mar 2026

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Sub: Transcript of Earnings Conference Call

Dear Sir/ Madam,

In furtherance to our letter dated February 5, 2026 and pursuant to the provisions of Regulation 30 read with Schedule III of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed herewith the Transcript of Earnings Conference Call held on Wednesday, February 11, 2026, in relation to the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and nine months ended on December 31, 2025.

The same will also be available on the website of the Company at www.tbo.com

This is for your information and records.

Thanking you,

Yours faithfully

For and on behalf of TBO Tek Limited

Neera Chandak

Company Secretary

Encl.: As above

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TBO Tek Limited

Q3 & 9M FY26 Earnings Conference Call

February 11, 2026

MANAGEMENT: MR. ANKUSH NIJHAWAN, CO-FOUNDER AND JOINT MD

MR. GAURAV BHATNAGAR, CO-FOUNDER AND JOINT MD

MR. AKSHAT VERMA, WHOLE TIME DIRECTOR AND CTO

MR. VIKAS JAIN, CHIEF FINANCIAL OFFICER

MR. ANIL BERERA, ADVISOR

MR. PRAMENDRA TOMAR, GENERAL COUNSEL

MR. SHRESHTH MAHAJAN, ASSOCIATE DIRECTOR- INVESTOR RELATIONS

MODERATOR: MS. VANESSA FERNANDES, ADFACTORS PR:INVESTOR RELATIONS

Vanessa Fernandes:

Vikas Jain:

TBO Tek Limited
February 11, 2026

Good evening everyone. I am Vanessa Fernandes from the Adfactors PR Investor Relations team. On behalf of TBO Tek Limited, I would like to welcome you all to the Earnings Conference call for Q3 and 9M FY26.

Today on the call, we have with us from the Management, Mr. Ankush Nijhawan - Co-Founder and Joint Managing Director, Mr. Gaurav Bhatnagar - Co-Founder and Joint Managing Director, Mr. Vikas Jain - Chief Financial Officer, Mr. Anil Berera – Advisor, Mr. Akshat Verma - Whole Time Director and CTO, Mr. P ramendra Tomar - General Counsel and Mr. Shreshth Mahajan - Associate Director-Investor Relations. We will begin the call with brief opening remarks from the management, followed by a Q&A session.

Please note that certain statements made during this call may be forward-looking in nature. Such forward-looking statements are subject to risks and uncertainties that could cause the actual results or projections to differ materially from those statements. TBO Tek will hold no responsibility for any such actions taken based on such statements and undertakes no obligations to publicly update these forward-looking statements.

I will now hand over the call to Mr. Vikas Jain for his opening remarks. Thank you and over to you, Mr. Vikas.

Thanks, Vanessa. Good evening everyone and thanks for joining us.

This quarter represents an important milestone in TBO's journey as we integrate Classic Vacations into our financial and operating matrices for the first time. While the consolidation meaningfully expands the scale of our platform, it also adds complexity to how certain headline metrics should be interpreted. As a result, we believe it is important to provide shareholders with additional clarity regarding some matters.

Regarding the accounting policy, Classic Vacations recognizes revenue from hotels and ancillary services on a check-in basis, unlike TBO Tek, which recognizes such revenue at time of booking. This treatment is consistent with classic vacation's historical accounting practice and aligns with the nature of its business, even the longer booking to stay window and continued post-booking services until check-in. Revenue from air transactions, however, is recognized at time of booking, consistent with TBO Tek's policy. Accordingly, all revenue and related matrices for Classic Vacations have been reported on the above basis, while TBO Tek's organic business continues to report revenue and matrices on a booking basis.

Revenue from operations of Rs. 784 Cr for the quarter translates into an enterprise take rate of 8.08%. The organic business delivered a take rate of 6.04%, while Classic Vacations reported a headline take rate of 24.94%. It is important to note that Classic Vacation's take rate includes a 12.4% commission component that is passed to the travel advisors, which is structurally much lower in TBO's core platform. As a result, these take rates are not strictly comparable on a like-to-like basis and introduce noise into the blended take-rate

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matrices. For this reason, we believe gross profit as a percentage of GTV is a more analytically robust measure of value capture. Gross profit strips out pass-through commissions and better reflects the net economic value retained by the platform. The second critical cause of platform health is the conversion of gross profit into adjusted EBITDA, which reflects operating efficiencies and execution discipline. Gross profit to adjusted EBITDA conversion at enterprise levels stood at 23.7% for the quarter, compared to 25.3% in Q3 of FY25. Within this, the organic business delivered a conversion

of 25.3%,

while Classic Vacation delivered a conversion of 19.6%. On a holistic basis, Enterprise GTV to Adjusted EBITDA conversion improved to 1.18% in Q3 FY26 from 1.05% in Q3 FY25, supported by contribution from Classic Vacation, which delivered a 2.46% GTV to adjusted EBITDA conversion for the quarter.

Thanks, and with this, I hand the call back to Vanessa for opening the floor for the questions.

Vanessa Fernandes: Thank you, Mr. Vikas. We will now begin the Q&A session. Participants are requested to raise their virtual hands to ask questions. We request you to introduce yourself and the firm you represent before going ahead. We shall wait for a minute for the question queue to assemble. We have our first question from Mr. Karan Uppal. Mr. Karan, please unmute yourself and go ahead with your question.

Karan Uppal: Hi guys, can you hear me?

Vanessa Fernandes: Yes, we can.

Karan Uppal: Yes. Couple of questions from my side. Firstly, the air business recovered very strongly,

16% Y-O-Y growth on an organic basis. So, just wanted to check, how are you seeing the air business from here on? Is the growth rate sustainable? That is the first question.

Ankush Nijhawan: So, Karan, as we do not talk about forwards, but yes, I can tell you that we will continue the momentum in Q4 as well.

Karan Uppal: Okay. Secondly, this quarter we have Ramadan. So, there is some distortion in the numbers because of this, especially in the Middle East geography. So, how are we thinking about the impact this quarter? It is Q4, FY26.

Gaurav Bhatnagar: See, on a quarter-to-quarter basis, Ramadan fell pretty much in the same quarter last year as well. So, while there will be a monthly deviation in numbers because Ramadan is straddling February and March this time. Last year, it was completely in March. But from a full quarter perspective, there will not be a very material change. The only difference is that there is an uptick in business towards the end of Ramadan and then going into the Eid period, so that will straddle. Last year, it was straddling Q4 and Q1. This time, it is largely going to be within Q3 and Q4. So, that is the only difference. It should not have a very material impact this time because it is all within the same quarter.

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Karan Uppal: Okay. Thanks. Gaurav, just one question on Classic Vacation. How is the integration playing out? Any early signs of cross-sell, whether TBO business to Classic Vacation or Classic Vacation to TBO? Any early signs there?

Gaurav Bhatnagar: So, TBO selling to Classic Vacations has already started. So, we have done that integration. And I would say that the early signs are quite promising because Classic Vacations has a very long booking window and a check-in window. So, when it starts to convert into travel because there is a long window between which this business can cancel as well. But the early signs are quite promising. The Classic Vacations buying from TBO has, well, I cannot share any numbers, but it is becoming meaningfully large. So, if I were to look at Classic Vacations as a standalone customer of TBO, it will already be amongst like a top 20 customers. So, from that perspective, it is promising. TBO buying from Classic Vacations is going to start in a matter of time. There is a bigger integration that is required to enable that to happen. Apart from that, the overall platform migration is happening, but that is a several quarters long project because it is complex. And the system, the legacy on the very legacy on the Classic side. So, the platform migration will probably take two or three quarters, but the cross-sell from both platforms will start sooner.

Karan Uppal: Okay. Just last question to Vikas. Sir, depreciation and finance costs have inched up this quarter because of Classic Vacations integrat

ion. So, from here on, should we assume these numbers to be steady state?

Vikas Jain: Yes. So, this quarter includes the debt and amortization cost for the PPA provisional that we have done. While the PPA study is currently provisional, but we do not anticipate major changes in the same. So, the debt cost is already taken into account, the amortization cost is taken into account, the cost which will get amortized for the CVPP. And similarly, the finance cost includes the full quarter cost for the loan that we have taken for the Classic Vacation application.

Karan Uppal: Okay. Thanks. Thanks a lot. I will fall back in the queue.

Ankush Nijhawan: Thanks Karan. Thank you.

Vanessa Fernandes: Thank you, Karan. We have our next question from Mr. Prateek Kumar from Jeffries. Prateek, I requested you to introduce yourself and unmute your line.

Prateek Kumar: Yes. Good evening and congrats for good results. It's Prateek from Jeffries. First of all, may I request that the call be hosted slightly later in the day or the next day because you just posted results and the shareholder letter like 10 minutes back. Just impossible to go through them and discuss during the call. My first question is, Q3 again was impacted by Forex element. How are we seeing the Forex element now and are there any changes in policy which we are introducing to reduce this impact on a sustainable basis?

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Vikas Jain: So, year-on-year, Forex impact has reduced per se, Prateek. If you see the overall number has gone down materially. Having however said that since till last year Q4 we were not doing any material hedging, especially for international business, and this as a practice we started after the Q4. So, hedging would obviously involve some cost wherein, wherever in currencies where we have difference in payables and receivables, to cover that risk we would have to incur such cost and that cost is getting captured in that Forex line per se.

Prateek Kumar: Okay. So, it is the hedging cost which is there and not the MTM impact or something which

is part of that line item.

Vikas Jain: So, that line would have all the hedging cost as well as MTM impact of the hedges as well as if there are any unhedged positions, if there is any gain or loss that is also included and plus, since we had given a foreign currency loan from TBO Tek- the holding company to Tek Travels DMCC Dubai entity for the CV acquisition any benefit or cost pertaining to the devaluation of those loans also get captured in this line.

Prateek Kumar: Okay. Second question is on CV's integration. So, while of course last quarter was particularly impacted by integration cost but is there any specific integration cost or some specific immediate synergy which we may realize like in Q4 versus Q3 and is there something specific which had impacted this quarter as well?

Gaurav Bhatnagar: Prateek, very early days. So, our Q3, but calendar year Q4 for CV was in line with what they had projected as part of diligence. So, it has played out as we expected it to. These synergies are like earlier I mentioned, we have already started selling the TBO inventory into CV.

How that will materialize into incremental revenue or margin expansion is very early to say because like I said the booking windows are very long. It will only be June, July, August, September when bulk of the travel will happen. So, by that time we will know what part of the business that we have booked today is actually materializing and is it materializing at a higher take rate. So, that is I think a few months away. The immediate synergies that we will see are likely going to be us TBO also buying from CV which should start happening in the next couple of months and then the broader benefits will happen when we migrate the core booking platform of CV onto the TBO eco

system which like I said is a complex project.

So, that is a several quarters long project but that is where we will actually start to see both cost synergies as well as we are able to employ our TBO growth playbook onto the CV platform. So, that I think is a few quarters away. For now, we try and maintain a steady state and try and make sure that we accelerate our integration projects. From an additional cost perspective, we do not envision any additional cost for these integrations. We are managing it within our current resources.

Prateek Kumar: Thank you. Our question is on your commentary and expectation which we have given out earlier on organic business revenue growth accelerating versus SG&A growth from next quarter onwards. How are you looking at that comment now?

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Gaurav Bhatnagar: No, I think we stick to our conviction. You would have already seen that every quarter the growth of SG&A has been tapering down and we expect that to continue in Q4 as well. At the same time, from Q3 to Q4, we usually see a significant growth in the top line because Q3 is traditionally our weakest quarter and Q4 is our second-best quarter. So, we expect to see a meaningful growth in top line in Q4 while the SG&A will not grow at the same pace and hence we should see a significant flow through to the bottom line. So, we remain convinced on that and that is on organic business not counting CV. So, we should be able to demonstrate that operating leverage in Q4.

Prateek Kumar: And last question, is there any thought process around bringing both CVs and your accounting to same standards on top line GTV and EBITDA margins?

Gaurav Bhatnagar: Yes, Prateek. We tried that but it is simply not possible. The main reason being that CVs business books much in advance and then because of the nature of that business. So, it is luxury and complex. So, unlike the TBO business where each booking is essentially one hotel or one flight, bulk of what CV books is multi-hotel, multi-product itineraries. Now, between the time when the booking happens and when the travel happens, the booking goes through several iterations, people will add additional room, add a hotel, add an excursion. So, there is no point in time when you can nail down the revenue and say this is the revenue on this booking until the time the travel actually happens. So, it would be hard to translate that into our model where when a booking is reconfirmed, we count it as revenue because of the nature of that business. So, if we try to do that, I think it will create a fair bit of complexity. So, we will try and run the business on an as-is basis, rather than try and force fit it into our business model.

Prateek Kumar: Sure. Thank you. And these are my questions.

Gaurav Bhatnagar: Thanks, Prateek, your comment was well taken on time. So, we were anticipating our board meeting to finish a lot sooner today. And hence, the delay between when we published, but we will keep that in mind going forward.

Prateek Kumar: Thanks Gaurav.

Vanessa Fernandes: Thank you, Prateek. We have a next question from Mr. Manik Taneja. I request you to kindly unmute yourself and proceed with your question.

Manik Taneja: Hi, thank you for the opportunity. While I do understand this quarter's performance is colored by the consolidation of the Classic Vacations business, but just stepping back on

the airlines business, we have seen a strong GTV performance in the current quarter unlike the weak seasonality that we typically tend to see in this business in this quarter. If you could spend some thoughts as to what drove the strong performance over here in this particular quarter and how should we be thinking about these trends on a go-forward basis? That is question number one. The second question that I have, is with regards to

EBITDA as a percentage of GTV, which also has an impact of the classifications higher
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profitability. How should we be thinking about this matrix if you were to think about over a two-to-three-year period? Those would be my two questions.

Ankush Nijhawan: On the air, I think there were some learnings, you know, which we obviously learned from in the last previous quarters. So, we kind of fixed that. One thing good is that we did not compromise on our GP. We still maintained the same GP, what we were maintaining in the same quarters. But I think we did some things correct, which we wanted to. So, I think that kind of played up in our favor. Also keeping in mind, Manik, we also had this disruption in December with one of the carriers, which all of us know about, yet we kind of pulled through with a good growth. And we anticipate the same momentum as we go into Q4. And hopefully it should be in the same lines, at least double digits. And I think that is the plan, what we have internally.

Manik Taneja: Just to clarify.

Ankush Nijhawan: Yes. Go ahead.

Manik Taneja: Yes. So, just on that double-digit growth outlook from the air business, you are saying air GTV will essentially grow in double digits over the medium term. Is that correct? Because this quarter seems to be almost like a 20% growth.

Ankush Nijhawan: I think let us focus on Q4, at least the short term. And then I think once we are confident on maintaining the momentum, then probably I can give a better color for the medium term as well.

Gaurav Bhatnagar: Yes. How to look at EBITDA as a percentage of GTV. See, it is a bit nuanced, but directionally, it will go in the same direction as EBITDA as a percentage of GP. What we are trying to anchor away is from looking at revenue as the top line metric, because Classic Vacations has a significantly large revenue, but almost 50% of that revenue is a commission pass through to the travel advisors. So, that is not really, you know, income in a true sense of the word. So, earlier, the flow through from revenue to GP conversion was quite high for the TBO organic business. But it is materially lower for the Classic Vacations business. And hence, what we are anchoring around is that the GP is a kind of true net revenue for us in a way. And from there on the operational efficiency of the business to convert that GP that into bottom line cash is a true representation of the business. So, what one we are anchoring around saying that let us look at EBITDA as a percentage of GP to truly understand the conversion from revenue to a bottom line. We are also starting to talk about EBITDA or adjusted EBITDA as a percentage of GTV because that is a metric many of our peers are also using. The nuance there is that not all GTV is equal. As you know that the airline GTV, while significantly large in volume, actually delivers much lower take rates. So, it is a bit, this number can fluctuate a little bit more than the EBITDA to GP number because in a quarter where we have high growth in the airline business, this number may actually shrink a little bit. So, directionally in the long run, this number will move in

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upwards in the same pace as EBITDA to GP. But our conviction still remains that EBITDA to GP is a more consistent number to measure compared to EBITDA to GTV.

Manik Taneja: Sure. That is quite helpful Gaurav. Just to prod you further, because that will basically show up the true value of the platform. From an EBITDA to GP conversion, if you could give us some sense of your operating expenses below gross profit, what proportion of your other expenses or operating expenses below gross profits are essentially variable in

nature,

which will fluctuate in line with the volume of business, to what may essentially be fixed cost.

Gaurav Bhatnagar: Vikas?

Vikas Jain: So, Manik, as we have started disclosing the breakup of the SG&A cost below gross profit level, from I believe last shareholder letter, we have shared those details in our letter as well. If you see there are broadly four, five components in that piece. So, primarily the variable nature of the expense is hosting bandwidth cost and the payment gateway

charges. So, that expense would primarily grow in line with the growth in the revenue of the GP or the GTV numbers. But the other cost, which is the employee benefit cost and the business support service and the others, those would primarily be looked at fixed nature of cost. And therein we are saying that operating leverage would get generated as we scale our business more.

Manik Taneja: Great. Thank you. All the best for the future.

Gaurav Bhatnagar: Thank you, Manik.

Vanessa Fernandes: Thank you, Manik. We have our next question from Mr. Kavish Parekh. We request you to kindly unmute yourself and proceed with your question.

Kavish Parekh: Hi, thanks for the opportunity. This is Kavish Parekh from B&K. My first question is on Classic Vacations. So, at the investor event, you outlined a roadmap highlighting certain low hanging initiatives, some of which you have already started to tap into. While benefits remain some time away, do you have any timelines in mind with respect to execution year? And how would you envisage the growth trajectory for Classic over the next, say, three to four years? That is the first question.

Gaurav Bhatnagar: Okay. So, Kavish, like I said that the lowest hanging fruit is cross-sell on both sides. Cross-sell from TBO into Classic has already started and we are seeing quite promising results. Cross-sell from Classic into TBO is a few weeks away because it requires a little bit of work on the tech. The other big integration that we are working on is the platform migration where we will introduce our booking platform into the Classic ecosystem. That is a several quarters long project. It will be a phased-out project as well. So, the benefits of it will start to accrue probably in H2 and not before that. Over a three-to-four-year period, Kavish, the way to think of growth is not just on the classic but the overall North America business for TBO Tek Limited
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TBO. And that was our investment thesis at the beginning as well. What has happened with classic is that one, we have gotten access to about 10,000 active, high luxury travel advisors in the North American markets. The second access we have gotten is, access to very deep consortium relationships in that market, namely Virtuoso, Signature, Travel Leaders, Travel Savers, etc. So, both these are relevant for unlocking growth in the core TBO business and the organic TBO business as well. So, our view would remain that, we will expect over the next three or four years, our North America business to continue to grow in double digits, just like all other geographies have demonstrated growth in the early phases with a caveat that we are already starting with a large base. So, for example, you would see today markets like APAC or Europe are growing a good north of 30%. But coming from a smaller base, APAC is coming from a base a couple of hundred million dollars. Now in North America, we are already starting with a base of more than 600 million dollars. But having said that, we would definitely endeavor to find high double-digit growth in North America as a whole over the next three or four years. Now some of it may come in the TBO organic business and some of it may come into the Classic business. But from our perspective, the value of this acquisition and the ROI on this acquisition will be

measured by finding that growth for North America as a whole, not just standalone Classic or standalone TBO.

Kavish Parekh: Fair enough. Thanks for the detailed explanation. My second question is on the margins.

So, you have indicated that EBITDA growth is expected to outpace GP growth starting next quarter. Here, should we interpret this largely as a function of operating leverage at Classic where EBITDA growth would inherently exceed GP growth as scale improves? Or would organic business be the larger contributor? So, further on, absolute margins while TBO standalone margins could potentially reach around 17%, 18%. Classic had margins of about 11% last year. So, should we expect this to act as a drag on consolidated margins in the near term? Or what are the thoughts on Classic's margins converging closer to TBO's levels? Any timeline, any indication here would be great. Yes, that is the second question.

Gaurav Bhatnagar: So, Kavish, on your first question, the Q4 growth that we are talking about is pure operating leverage on the organic business, right? So, obviously with Classic consolidation, the numbers will look larger. But what we have been committing for the last couple of quarters is that we will demonstrate significant operating leverage and flow through of incremental GP to bottom line in Q4. And that is on the organic business. And we are sticking to that commitment. So, on the organic business, we will see a significant margin expansion happening, hopefully, in Q4. Now, on your other comment, you are right that the Classic business, if you looked at as a percentage of revenue, feels dilutive. And which is why my previous comment that the true representation of the business will be looking at EBITDA conversion from GP, which is more in line with the TBO business, right? Both are about mid-20s, right?

Ankush Nijhawan: Yes, Classic is 20% and we are at 25%.

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Gaurav Bhatnagar: Yes. So, the Classic business is converting from GP to EBITDA at about 20%, TBO business is converting at about 25%. And this convergence, we do expect that to happen, I cannot give you a timeline right now, it is very early days. But we do expect to see efficiencies, and Classic has the same operating leverage. I think the business from a cost basis is fully paid for in the sense that maybe there is some incremental sales team expansion that will happen on the Classic business. But we are not expecting the cost in that business to grow substantially. So, any incremental top line growth will convert heavily into the bottom line. And hence, this margin expansion should happen. So, while I do not have a timeline for it, we would expect GP to EBITDA conversion to converge for the TBO core business as well as Classic.

Kavish Parekh: Got that. Lastly, on our take rates. So, organic TBO hotel take rates have remained strong for several quarters now. While the geographical mix has been largely stable, what is really driving this sustained strength organic TBO hotels? Has there been a shift in the underlying hotel mix towards more premium categories? And if so, how sustainable are these take rates? Because historically, we have seen some volatility in this matrix. So, any color on that stability would be helpful. And if I can just squeeze in one more, could you share some color on what drove the sharp jump in the others revenue segment? So, is this the new initiative that you have been trying to grow or does this also pertain to Classic?

Gaurav Bhatnagar: Okay. So, on your first question, Kavish, I think part of the take rate fluctuation that you see is also in a similar nature at the revenue level as what we are explaining on Classic because some of our suppliers are commissionable suppliers. So, what happens is we receive a commission on every booking and then part o

f a portion of that commission to the travel advisor which gets netted off at the GP level. So, a fairer and kind of more honest view would be to look at GP as a percentage of GTV as against revenue as a percentage of GTV to get a more consistent view of take rates. Having said that, we have worked hard to maintain take rates at a fairly consistent level. Part of it is that there are smaller businesses like the ancillary businesses which operate at a slightly higher take rate. So, while they are small in size, they do add a few bps to our overall take rate as they grow faster than the core hotels business. Second is that in certain quarters where the mix between our enterprise business and our retail business moves towards the retail business, the take rates also improve at that point. And then we have incremental margin that we are accruing from programs like the Platinum program which we have talked about in the past. So, the Platinum program is a meaningful program right now and the override commission that we earn over there they add to positively to our take rate. So, that has allowed us to maintain or improve our take rates a little bit. What was your second question?

Kavish Parekh: The 'Others' revenue segment. I think about Rs. 40 Cr out of it.

Vikas Jain: So, the other revenue segment if you see on the consolidated basis it is obviously driven by some growth from the organic business. But primarily those numbers have been stuck primarily because of the Classic's consolidation.

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Kavish Parekh: Understood. And you mentioned that there tends to be some variation in the mix between enterprise and retail. So, is there some seasonality here that we have been seeing over these years in terms of contribution from enterprise and retail customers?

Gaurav Bhatnagar: No Kavish. There is no seasonality over there. What happens on the enterprise side is customers are large. So, sometimes their business can be a bit spiky. It can significantly go up or significantly go down, which just changes the mix by a few percentage points here and there which will reflect in the overall take rate by a few bps.

Kavish Parekh: Got it. Thank you so much. All the very best. That is it from my side.

Gaurav Bhatnagar: Thank you.

Vanessa Fernandes: Thank you Kavish. We have a next question from the line of Mr. Chirag Kachhadiya. Chirag, request you to kindly unmute yourself and proceed with your question.

Chirag Kachhadiya: Yes. So, one question on other expenses breakup which you have given in the shareholder letter. If you look at the year-on-year plan which is almost about 18% and there is a drop.

Can you provide trajectory in next quarter?

Management: Could you be a little louder, Chirag, please.

Chirag Kachhadiya: Yes. So, what I was asking the other expenses line item, what trend one can expect in this because on year-on-year it is almost 18% whereas Q-o-Q, there is a drop. So, yes.

Vikas Jain: So, as I was answering the other question, so other expense breakup primarily contains

the employee benefit and similar business support services and some other items. Also, in these expenses, the two line items which you are showing hosting bandwidth and PG charges, that would be the line items which would grow in line more with the business revenue, let us say. And other expenses, as we scale up, should show operating leverage.

Chirag Kachhadiya: Yes. Thanks.

Vanessa Fernandes: Thanks, Chirag. We have a follow-up question from the line of Mr. Karan Uppal. Karan, kindly unmute and proceed.

Karan Uppal: Yes. Thanks for the follow-up. Just one question on the monthly transacting buyers number which you have mentioned, especially on the international side. It is around 14,880.

Incrementally 2,500 agents have been added versus what number you have given for the Classic,

it is around 10,000. So, does that imply that only 2,500 are the monthly transacting buyers from Classic? Any clarifications here?

Gaurav Bhatnagar: No, so 10,000 is an annual.

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Vikas Jain: 10,000 is an annual number for classic. So, the quarterly number for Classic would be in range of around 2,500, 3,000 only.

Gaurav Bhatnagar: Yes. Keeping in mind, Karan, that the average booking value of a Classic travel advisor is much, much higher than the average booking value of a TBO core travel agent.

Karan Uppal: Okay. So, Gaurav, from whatever you are saying, only 2,500 agents basically transact on the platform regularly. Is that what you are saying?

Gaurav Bhatnagar: On a monthly basis, yes.

Karan Uppal: Okay, great. And another question was on the take rates. So, on a blended basis, the take rate is at 8.1 and the hotel business is at 10.5. So, from here on, on a sustainable basis, should we expect these numbers to remain stable?

Gaurav Bhatnagar: We would expect the numbers to remain range bound, Karan, because we are not actually anticipating any pricing action on our end. And we are also not expecting the saliency of the business to change dramatically over the next few quarters.

Vikas Jain: Yes. But as highlighted by Gaurav, at times because of the supplier-mix impact, the take rate for the hotel business may go up or down. But yes, GP is the right metric to see.

Shreshth Mahajan: I think just to add to that, the 2,400 number that you were talking about, that is the average over the three months. If you look at the unique agents who work with us here in the Classic, that number will be closer to 3,900.

Karan Uppal: Okay. Thanks a lot.

Vanessa Fernandes: Thank you, Karan. We have our next question from the line of Mr. Divyansh Gupta. Divyansh, kindly unmute yourself before you proceed with your question.

Divyansh Gupta: Hi. Am I audible?

Vanessa Fernandes: Yes, Divyansh. You are audible.

Divyansh Gupta: Yes. Hey, congratulations on a good set of results. Wanted to understand, let us say the revenue recognition policy of CV is different from ours, how does the working capital work for CV? Is it also a negative and on a consolidated basis should the negative working capital situation improve further for us or how should we think about it?

Vikas Jain: Yes, Divyansh. Actually, Classic Vacations business because the window between the booking and checking travel is too large. So, it is a highly negative working capital business and it would obviously support in generating more negative working capital business at an enterprise level.

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Divyansh Gupta: If you can give a numerical sense?

Vikas Jain: Numerical sense because since we are not publishing the balance sheet numbers right now, we will give more color on it in the March quarter.

Divyansh Gupta: Got it. And what would be our direct sourcing with and without CV for hotels?

Gaurav Bhatnagar: See, I think without CV, our direct sourcing in this quarter was about 40%. CV has a significantly higher contribution on direct sourcing. I do not remember the exact number but maybe it is in the range of about 80%, 85%. CV's sourcing is 85% direct. TBO core is about 40% direct.

Divyansh Gupta: Got it. Understood. So, linking the metric that you were saying that what let us say you track or what we should track is EBITDA to GP. First, one basic question. Does a higher direct sourcing reduce the gap between revenue to GP for us or that is just purely which agent drives which kind of business?

Gaurav Bhatnagar: No. I think that will not, Divyansh. What happens is basically the big gap in the Classics

business on revenue to GP is a commission payout to the travel

I advisor. So, that is

irrespective. Whether you book direct supply or you book third-party supply, you will still pay a big commission to the travel agent. And that is what is right now while getting counted as revenue and then getting netted off in GP. So, that will not change.

Divyansh Gupta: But I am saying from a business fundamental perspective, does a higher direct sourcing give us any added advantage in our unit economics for a transaction or business?

Gaurav Bhatnagar: Yes. In the case of Classic especially as it stands today, their commission or their take rates on their direct business are materially more than what they make on third-party supply.

In the case of TBO, the number, the margin, the difference is rather small because we are still trying to build on more volumes. And we have much larger number of hotels that we directly contract. But in the long run, Divyansh, the strategy of direct contracting is two-fold. One is to make sure that you have protection from over-dependence on third-party supply. And second is yes, margin expansion in the long run. Some of the margin expansion that we talked about earlier and why take rates have been strong is because we are generating incremental income on our platinum portfolio and platinum portfolio is all direct supply.

Divyansh Gupta: Understood. And another data point question, what would be our enterprise to retail GTV or revenue mix? And how much differential in the margin or realization for us?

Vikas Jain: Enterprise to retail GTV for the TBO organic hotel business is around 50:50. Classic is all actually retail.

Divyansh Gupta: Got it. And what would be our take rate differential, if you can give a sense on it.

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Vikas Jain: That we generally do not publish Divyansh. At a GP level there is not much difference.

Divyansh Gupta: Okay. Got it. Just two more questions on the contracts that we have with hotels. I am guessing there will also be some slab-based incentives depending on certain let us say room nights that we enable for them. When does the payout of that happen and how does the revenue recognition follow for it?

Vikas Jain: So, the revenue recognition would happen as per the terms of the contract. If it is per booking or is it per checking, the revenue recognition, incentives due from hotels or supplies would happen as per that contract. The payouts obviously would happen once the period of the contract is over and the numbers are finalized at both ends.

Divyansh Gupta: Got it. So, revenue will happen at the time of booking whereas payout will happen annually I am guessing.

Vikas Jain: Yes. But at the time of booking or checking it can vary depending on the contract with the supplier.

Divyansh Gupta: Got it. And just last question given all the volatility in the Forex exchanges and this is not regarding the loan that we took for CV. What is our hedging policy and how much of currency that we hedge and was there any big benefit because of Forex exchange in this quarter or hit?

Vikas Jain: As regarding the hedging policy basically wherever we have difference in payments and collections at a particular any currency level let us say for an INR or an Euro or a GBP. We try to hedge the difference amount in the range of around let us say 70% to 75% we try to hedge that amount in any particular market. From the perspective of gain or loss which are accounted for in this quarter, we made some gains on account of the revaluation of the loan that we have given to TBO Dubai. Other than that, primarily on the revaluation we had negligible gain or loss primarily the balance of the expense pertains to hedging related and conversion costs.

Divyansh Gupta: Got it. Thank you. This is very helpful. I will join back in the queue.

Vanessa Fernandes: Thank you Divyansh. We have a follow-up que

stion from the line of Prateek Kumar. Could you please unmute yourself?

Prateek Kumar: Yes, thank you. I have a couple of questions. Firstly, your air segment's organic net take rate seems to be at multi-quarter low. So, is this like also obviously benefited the top line?

I mean GTV growth getting faster?

Vikas Jain: Yes. Prateek in case of airlines at times the take rate is not in our control because generally the airline business works on a commissionable model where we receive commissions from the other partners. But if you see the GP line, there is a marginal decline, not a

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significant decline between different quarters, 1.1 to 1.2. That is the kind of number which varies across different quarters.

Prateek Kumar: Meaning even the gross take rate is lower?

Vikas Jain: Yes. So, that is what I am saying. It is 1.1 in this quarter versus 1.15 in Q2 and 1.2% in the last year same quarter. So, not a significant decline I would say in terms of the GP. In terms of the take rate, you might see a higher decline, but not in terms of the GP.

Ankush Nijhawan: I think what is important in the airline business is the GP. See because that is something we still control, but the take rate is something which can move in any direction depending on the airline. What is important is that our intent is to continue our 1.1, 1.2 as a GP on the airline business. And if the growth has to come, Prateek, that is a matter of discounting. So, if we drop it to a 0.8, we will start winning GTV. So, that is our intent. So, I think this is a true growth we have demonstrated in Q3 maintaining our GP as well.

Prateek Kumar: Okay. Also, can you discuss region-wise growth expectation we used to discuss earlier? Like, region-wise, like different geography-wise?

Gaurav Bhatnagar: Prateek we have shared all of that in our shareholder letter and we have given region-wise.

Vikas Jain: You can go through it and we can connect offline Prateek on this with me.

Prateek Kumar: Okay. And last question, can you comment on competition both in India and outside? How is it shaping up maybe in specific geography or otherwise?

Gaurav Bhatnagar: I do not think there is any material change in the competitive landscape in the last few quarters, Prateek. You know, things remain competitive as they were before. I would not say that anything has become more competitive or anything has become less competitive at this point in time. Pretty much status quo.

Ankush Nijhawan: In some geographies it might be intense, Prateek, but the fact remains still the same. So, I think there are significant changes on the competition side.

Prateek Kumar: Sure, thank you and all the best. Thank you.

Ankush Nijhawan: Thank you.

Vanessa Fernandes: Thank you, Prateek. We have our next question from the line of Mr. Miten Shah. Miten, I request you to unmute yourself and introduce.

Miten Shah: Yes, am I audible?

Vanessa Fernandes: Yes, you are.

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Miten Shah: Yes, thanks for giving opportunity. So, I would just like to know like who would be your comparable peers, probably either in the listed category or elsewhere.

Gaurav Bhatnagar: Miten, I think the closest peers would be Web Travel Group listed in Australia and HBX listed in Spain. Expedia has a B2B business as well, but bulk of their revenue still comes from the B2C business. But beyond that, I do not think I can think of any other listed peers.

Vikas Jain: Even in case of HBX and Web Travel, they are primarily more open to enterprise business, than retail kind of business like us.

Miten Shah: Yes. So, is it possible to quantify any particular market share percentage wise?

Gaurav Bhatnagar: No, very hard Miten. I think one,

the markets are very large and very fragmented. So, it will be hazardous to take a guess on market share.

Miten Shah: Understand. And, is it possible to quantify average revenue per employee?

Gaurav Bhatnagar: I think we do share headcount.

Vikas Jain: We do not share headcount, but again, this matrix may not give exact color basically on the basis of the nature of the business we are into. It is not purely a sales-driven business. So, we do share our overall headcount including Classic, including all our consultants and retainers that we have is north of 2600+ as of December end.

Miten Shah: Okay. And, as I guess one of the guys had already asked, if it will be good, if you can give percentage-wise contribution geography-wise, it will give us a better idea of how the business is shaping up in different geographies.

Vikas Jain: We do give GTV specifically for our hotels business, the GTV numbers at a region-wise level and what kind of growth we have year-on-year and we do provide some color in the commentary on the region as well.

Miten Shah: Understood. And, last question, how are we connected to guys like Amadeus and RateGain per se?

Gaurav Bhatnagar: Both are platforms that we connect to for supply. So, these are intermediaries that help us connect to the supplier. So, we are connected to both Amadeus, RateGain, as well as many other GDS and channel managers.

Miten Shah: Got it. Thanks a lot for answering and once again, congratulations on a good set of numbers and wish you all the best. Really appreciate it.

Gaurav Bhatnagar: Thank you Miten.

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Vanessa Fernandes: Thanks Miten. We have a follow-up question from the line of Divyansh Gupta. Divyansh, kindly unmute yourself.

Divyansh Gupta: Thanks for the follow-up. One more basic question, my understanding, correct me if I am wrong, is that the hotel booking process is not, let us say, a very smooth and automated process, but at least flights, given all the GDS and all other tech that surrounds, it is a highly automated flow. Is that understanding broadly correct?

Gaurav Bhatnagar: Divyansh, the hotel booking process is also fairly automated. The only thing with hotels is that the post-booking handling is slightly more complex on hotels compared to flights, but the booking process is largely automated.

Divyansh Gupta: Got it. Sir my question was actually on flights. So, like we mentioned that, let us say, we have a take rate of 1.1. If we go to 0.8, we can do larger volumes. So, the question is that if the process is largely automated, even with a 0.8% take rate and a larger base, we would see a very high operating leverage flow through. So, am I missing something there as to why we would not want to pursue that strategy?

Ankush Nijhawan: So, Divyansh, that 1.1 is a GP. So, you are right. I understood the question. See, for us, it is the tech, the platform which helps us, the efficiency is right. So, if you see our head count in the last three years in terms of our air ops, etc., there has been no increase. So, the plan is to keep building GTVs which will help us in our operating leverage, particularly for our airline business. Right? That is more India centric. To be fair, we cannot be mixing it with our hotel business at an enterprise level. But you are absolutely right. For us, should we dilute and get more GTV? I do not think that is the plan Divyansh. It does not work in the short and medium term because sooner or later somebody will match it and it is better that we be consistent. The market also kind of appreciates that. We still rather grow in our early teens. We can grow more but we are very happy to maintain our GP as well as some decent growth and obviously outbeat the market. Right? I think that is more important as well.

Divyansh Gupta: Got it. As you mentioned, let us say t

he biggest airline had a lot of turbulence in the last quarter and we grew. Anyways Indigo does a large own website sourcing. It is a safe assumption that, let us say, we are much stronger with Air India and Akasa. I am guessing Akasa is still a minor player but Air India is a bigger share. We have a good relationship with Air India. Is that a fair statement to make?

Ankush Nijhawan: I think our relationship with airline supply India is probably the best, be it any airline. Indigo still remains our largest air carrier in domestic to be specific. The disruption obviously kind of affected us. We could have grown faster than what we did but absolutely very well poised with every airline flying within India as well as overseas. So, I think from that perspective, we are equal. Our focus remains on all airlines which are meaningful and we will continue to do that.

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Divyansh Gupta: Got it. Just one data-keeping question, what would be the working capital cycle for a flight and for a hotel?

Vikas Jain: For hotels basically, even in organic business, it is a negative working capital cycle business because generally we would be paying near to time check-in or after check-in to hotels or suppliers but we generally would be collecting starting from at the time of booking till at the time of check-in. So, it is a negative working capital business. Air is I would say, almost a working capital neutral business kind of thing. We do get credit from airlines for a week. We do pass on such kind of credit to selected agents and so on and so forth.

Ankush Nijhawan: But we do not fund the airline business Divyansh.

Divyansh Gupta: Got it. And I think a couple of quarters ago, you had mentioned that the time from booking to check-in is seeing a compression because of geopolitical or might be various other reasons. Are you seeing that number stabilizing, improving, reducing, any color you can throw on it?

Gaurav Bhatnagar: I do not think there is a major deviation. It has shrunk but I do not think it is shrinking further. It seems to be stable at this point in time.

Divyansh Gupta: Got it. And just one question that when let us say I am a customer, I am going through an agent and booking through TBO. Do I get an option to let us say like this is a B2C portal experience that you pay something more, you pay something less upfront or you pay with something extra but you can pay at the hotel and where effectively the difference is the working capital financing? So, as a TBO agent, do I have that offer to give to a customer?

Gaurav Bhatnagar: No we do not do pay at hotel. Divyansh we do not do pay at hotel at all.

Vikas Jain: It works in B2C but not in a B2B kind of a business.

Divyansh Gupta: And any reason for it because we also give credit to our customer but if we are collecting everything from the customer upfront but then the credit limit should not exist right? To the agents.

Vikas Jain: So, generally we will not be collecting upfront from the customers. At times we may allow travel agents to use the credit card of the customer on the pass-through. Generally, it would be that the travel agent would be making payment to us. He may be collecting or giving a credit to his end customer and that is his own call.

Divyansh Gupta: I was talking about TBO to agent credit.

Vikas Jain: So, TBO to agent credit, we do give depending upon the credit assessment that we do for the travel agent but I am not able to understand your question.

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Gaurav Bhatnagar: I think Divyansh is asking that if the credit card was charged directly by the hotel then the travel agent will not need credit and travel agents will not see the business but Divyan

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what happens is often travel agents are packaging the hotel along with many other things.

So, if now each component has to be paid at destination, then packaging is not possible.

Hence mostly travel agents prefer a model where everything is paid for upfront and second

is in many cases travel agents also choose their own commission on every booking depending on the propensity to pay and competitiveness of pricing which is also not possible if the customer directly pays at the hotel.

Divyansh Gupta: Got it. But my question was actually a bit different. So, if TBO does not allow pay at hotel which means the customer will pay to the agent. Now he pays through credit card, he pays in cash, does not affect TBO because TBO will say to the agent that you need to pay because you have collected money. Is this relationship understanding broadly correct?

Gaurav Bhatnagar: Yes.

Divyansh Gupta: So, then why is there a need for credit to be given to the agent because agent already has the money from the customer. If he was not having money, then I can understand.

Ankush Nijhawan: There is also a mix of just not leisure business. Agents are also serving corporate large itineraries, groups, and incentives which obviously require credit. So, therefore the credit has to extend especially to the players who are meaningful travel agents, the largest travel agent partners of ours.

Vikas Jain: And even in case of leisure travel as well, travel agent has a set of customers and he would be offering credit to them as well. For the walk-in customers, he may demand payment at the time of booking itself. But for his loyal set of customers, he would be extending credit to them as well.

Divyansh Gupta: Okay. Got it. Understood. And what has been an actual write-off, last year write-off on credit?

Vikas Jain: So, we do give the provision for bad debt numbers in our financials. I do not have that handy but it is there.

Divyansh Gupta: I was actually actual write-off, not the provision. Provision you will do, but actual write-off.

Vikas Jain: Actual write-off is not that material amount. I do not recall but yes, I can provide you that number.

Divyansh Gupta: Got it. Thank you. Thank you very much.

Vanessa Fernandes: Thank you, Divyansh. We have our next question from the line of Mr. Amit Jain. I request you to unmute yourself before your introduction.

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Amit Jain: Hello. Thanks for the opportunity. Just want to understand one thing. A few quarters back we used to give a detailed cohort about the transacting buyers. So, how many, let us say if someone got on your platform five years back, so how much he is contributing whether he is on our platform or not. So, the kind of metric at the management level you are looking at between the old transacting buyers and the new transacting buyers.

Gaurav Bhatnagar: Yes, Amit, we do look at that number and I think we shared that number in the shareholder letter. We have shared how much business is coming from new customers versus customers who were previously on boarded in the shareholder letter. In the annual report we shared the data on long-term cohorts as well. That data will not change very materially on a quarter-on-quarter basis because you cannot compare it for the half year compared to the previous full years because then the numbers will obviously not be correct. So, while we do that analysis on an annual basis, the number we have been sharing consistently is

how much business has been contributed by travel agents added in the same year, which is basically a reflection of the effectiveness of the investment we have been doing in the sales team.

Amit Jain: So, Gaurav, just want to understand at your level of what is the kind of optimal number you are looking at. Just like in insurance, we used to have a persistency rat

io, let us say how

many policyholders remain with insurance in the policy. So, similarly, in your case, what kind of number you are looking at ideally?

Gaurav Bhatnagar: See, it is very hard to articulate a single number, Amit, because the business operates at a global scale and the nature of travel agent changes from geography to geography. For example, in densely populated but low-income countries like Indonesia, India, you will see thousands of travel agents will come and go, but the throughput from each travel agent will be relatively small. So, churn will be high. But if you look at markets like Western Europe and North America, then the stickiness is high, but throughput is also high. So, when you aggregate all of those numbers, to come up with a single number is very difficult. And hence the metric we really look at is every yearly cohort is that cohort on the whole growing or not. So, if I look at my cohort of travel agents added last year, have they meaningfully grown this year or not? Or the cohort that came in two years ago, has it started to grow at a slower pace than the last year cohort, but is that cohort growing or not? So, you can look at a cohort as a whole, but you cannot look at a percentage of travel agents churning or not churning because that changes a lot depending on in that particular year, where did you add travel agents. If you add thousands of travel agents in Indonesia, for example, vis-à-vis a few hundred in Europe, it is a very different metric.

Amit Jain: And I think you are rightly said, because our international interaction with few travel agents reflects in India, churn is quite high as they grew in size, I think they move out of the platform and start dealing directly with the suppliers. So, is this confined to India or a few Southeast Asian countries or you find some in other geographies, this kind of higher churn?

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Gaurav Bhatnagar: Amit, the example you are giving is actually not very frequent. Our churn usually happens, this may just be a travel agent sometimes reduces their share of wallet if they choose to do something direct. Churn usually happens because of attrition, in the sense of travel agency closes down because there is no license required to start a travel agency or you are a one person started a travel agency closed down, started again. So, attrition causes more churn.

Amit Jain: No, Gaurav I just asked actually there was a very big travel agent and your wallet share was high, but over a period of time it reduced. And I can see that the reason is that they started dealing directly with the suppliers. So, I am seeing this kind of risk. Do you see this as a risk, as they grow in size numbers?

Gaurav Bhatnagar: If you see our numbers, our monthly transacting is 33,000, right? What you are describing is probably the top 1% or a top 0.1% of our travel agencies who will actually be able to work directly with the suppliers. The whole business model is dependent on a long tail of small businesses dependent on the platform for accessing supply. So, in our experience, this is rarely a reason for churn. This may lead to some reduction of wallet share, but churn usually happens. Either they may occasionally happen because they just did not like the service, but usually the churn is really a travel agent stopping business or moving out of that company and starting their own agency.

Ankush Nijhawan: Also, Amit, sometimes we do not expose our credit limits with a full partner also. So, that kind of also kind of ask them, can be leakage for them to deal with or to supply directly, that can be one of the reasons as well.

Amit Jain: Understood. Thank you. Thank you so much.

Ankush Nijhawan: Thank you.

Vanessa Fernandes: Thank you, Amit. We have a follow up question from the line of Chirag Kachhadiya. Chirag

,
can you unmute yourself?

Chirag Kachhadiya: So, I was just visiting the website of Classic Vacation. If I look at their UI/UX, and web interface and if we compare it with the what TBO's current, you know, UI/UX is there, is there going to be any change? I mean, in terms of let us say, up gradation in the Classic platform? That is question number one. And second, the transaction advisors, which with the numbers, which we are providing, is there any concentration, let us say some of the advisors contributing materially more as a percentage of revenue to the top line? Yes, these two questions I have here.

Gaurav Bhatnagar: See, the branding for Classic will remain distinct from the TBO branding because they serve

as a different kind of customer. The underlying UI/UX may change somewhat, especially when the platform migration happens, then the booking engines will look more similar to TBO, but in Classic brand and colors, obviously. But I do not think we are trying to homogenize the two platforms at all, right? They serve as different customers and we want

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to keep it that way. On your second question, there is, I do not think on the whole, there is any major concentration of business with specific customers, especially Classic is a pure retail business, right? There is no large enterprise business over there.

Chirag Kachhadiya: Okay. And the changes which you mentioned for the classic platform, any ballpark Capex figure you can provide like that we are going to incur, any such plan?

Gaurav Bhatnagar: Chirag, there is no incremental Capex for it.

Ankush Nijhawan: There will be some in-house Capex for the IT work, but that is not a substantial amount.

Gaurav Bhatnagar: It is not substantial.

Chirag Kachhadiya: Okay. Thank you.

Vanessa Fernandes: Thank you, Chirag. So, that was our last question for the evening. Thank you everyone for participating in the call. We would now like to hand over the call to Mr. Ankush Nijhawan for his closing remarks.

Ankush Nijhawan: Thank you everyone for taking out time for our call today. One thing we definitely acknowledged that either we should have pushed the call today. Unfortunately, our Board meeting got a little delayed. So, we will be mindful of that for our next analyst and earnings call so that we can send you the shareholder letter much in advance. My apologies for that, but thanks for joining this evening. Thank you.

Vanessa Fernandes: Thank you everyone.

This Transcript has been slightly edited at few places for clarity and accuracy and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Jun 2026

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Sub: Transcript of the Investor Earnings Conference Call

Ref: - Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations')

Dear Sir/ Ma'am,

In furtherance to our intimation dated May 25, 2026, and pursuant to Regulation 30 of the Listing Regulations, please find enclosed the transcript of the Earnings Conference Call held on Friday, May 29, 2026, on the financial results of the Company for the quarter and financial year ended March 31, 2026.

This disclosure will also be available on the website of the Company at <https://www.tbo.com/engagement/investors/#StockExchangeSubmission>

This is for your information and records.

Thanking you,

Yours faithfully

For and on behalf of TBO Tek Limited

Neera Chandak

Company Secretary & Compliance Officer

Encl.: As above

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Q4 & FY26 Earnings Conference Call

May 29, 2026

MANAGEMENT: MR. ANKUSH NIJHAWAN - CO-FOUNDER AND JOINT MD
MR. GAURAV BHATNAGAR - CO-FOUNDER AND JOINT MD
MR. AKSHAT VERMA – WHOLE TIME DIRECTOR AND CTO
MR. VIKAS JAIN - CHIEF FINANCIAL OFFICER
MR. PRAMENDRA TOMAR – GENERAL COUNSEL
MR. SHRESHTH MAHAJAN – ASSOCIATE DIRECTOR, INVESTOR RELATIONS

MODERATOR: MS. VANESSA FERNANDES – ADFACTORS PR: INVESTOR RELATIONS

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Vanessa Fernandes: Good afternoon, everyone. This is Vanessa Fernandes from the Investor Relations team at Adfactors PR. On behalf of TBO Tek Limited, I would like to welcome you all to the Earnings Conference Call for Q4 & FY2026.

Today on the call, we have with us from the Management, Mr. Ankush Nijhawan – Co-Founder and Joint Managing Director, Mr. Gaurav Bhatnagar – Co-Founder and Joint Managing Director, Mr. Vikas Jain – Chief Financial Officer, Mr. Akshat Varma – Whole-Time Director and Chief Technology Officer, Mr. Pramendra Tomar – General Counsel, and Mr. Shreshth Mahajan – Associate Director -Investor Relations.

We will begin the call with brief “Opening Remarks” from the Management, followed by a Q&A session. Please note that certain statements made during this call may be forward-looking in nature. Such forward-looking statements are subject to risks and uncertainties that could cause the actual results or projections to differ materially from those statements. TBO Tek will hold no responsibility for any such actions taken based on such statements and undertakes no obligations to publicly update these forward-looking statements.

I will now hand over the call to Mr. Gaurav Bhatnagar for his opening remarks. Over to you, sir.

Gaurav Bhatnagar: Thank you, Vanessa, and good afternoon, everyone. We have already shared a detailed Shareholder Letter yesterday, so I will not go through the detailed results in my opening remarks, but rather I will just give a high-level commentary on how we have viewed the last quarter and what is the impact of all the geopolitical tensions on the business and how we react to it.

As a company, Q4 saw disruptions, which we are all aware of, but overall, we believe that we had a satisfactory response to the disruptions. I think the advent of the war at the end of Feb also tested the resilience of our business and which is shown through in our results. In spite of the fact that our largest source market, which is the Middle East market, and Israel, which is one of our Top 7 source markets as a country, were very severely impacted, on a year-on-year basis, we were still able to demonstrate growth both on the top line and the bottom line.

Apart from that, we have also seen that the recovery in the business corresponding to the changing circumstances of the war is quite sharp. In pockets, whenever there has been positive news, for example, when the ceasefire was announced in the Middle East in April, we saw a sharp uptick in business at that point in time. So, we remain hopeful that while the war has a short-term impact, the long-term impact will be minimal and depending on when a favorable outcome happens on this war, the business will start to come back quickly.

Just to recap the three pillars of our strategy for the previous year:

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- The first one was our increasing investment into market development activities and that played out quite well for us. We had an increasing spend on SG&A in the beginning two or three quarters of the year. But that spend started to taper off by Q4 and we have shown data in our shareholders letter, you will see that in Jan and Feb, we were seeing very strong operating leverage, margin expansion, as well as EBITDA growth on a year-on-year basis for these two months, compared to the same period last year. Of course, March was a complete washout for us because of the war. Hence, on a full quarter basis, the operating leverage did not flow through. But we are starting to see that similar sentiment in the current quarter as well. The whole hypothesis of accelerating investment into market development, focusing on adding new trav

el agencies and getting them to the first 5th and 10th transaction has worked quite well for us. If you see, the number of monthly transacting buyers on a year-on-year basis has grown very dramatically in the last one year. So, that is where all the investment that we made has gone in and we will start to see the results from it in the coming year.

- The second big focus we have been increasingly talking about is anchoring around the luxury end of the spectrum. This is important from two perspectives. One is that I think the luxury business is far more resilient to all the geopolitics and rising costs compared to the premium or the budget end of the spectrum. Secondly, as AI becomes more prominent, especially in the travel booking workflows, we still believe that the complex connected itineraries at the luxury end of the spectrum will still largely be booked via travel advisors and travel agencies. In that direction, we made significant progress this year. We have created a new AI-first tool called Voya.

We shared some more details about it in the shareholder letter as well. I must admit the tool has come out well. The whole business that is being built around Voya is to allow travel advisors to get access to ultra-luxury supply on the platform, use AI tools to create these complex itineraries, share these itineraries with their travelers, and create an AI-led workflow with them to quickly get those itineraries to closure. We believe this is a very important, I would not say pivot, but an adjacency to our current business where we will start anchoring more around building complex itineraries as and when standalone hotels and flight bookings.

- The third big news for us last year was the acquisition of Classic Vacations. We had a stated intent to grow in the North America market, and some of our previous attempts had not been successful. The Classic Vacations business is now more than six months into our fold, and we are happy to report that the integration process is well on its way. We are integrating across platforms, across supply, and across demand channels. While we are, I would say we are probably about halfway through the integration process, but we intend to complete the integration by the end of Q3, by the end of this Calendar Year.

Finally, just our view on how Q1 is shaping up because there has been a fair bit of uncertainty because of the war. We are pleased with the way business has started to recover, especially in markets which are not directly impacted by the war. So, the initial

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reaction right immediately after the start of the war was that business has started to slow down pretty much in every source market. Since then, we have seen strong recovery across markets which are not directly impacted by the war.

In the markets like the Middle East and Israel, where we have a more direct impact of the war, we are starting to see increasing recoveries to the extent that in pockets we are seeing volumes which are similar to the pre-war volumes, not exceeding those levels though. As a whole, we would still expect Q1 to be better than Q4, and we would also expect Q1 to be better than same period last year.

That's the broad summary. If the top line plays out as we are anticipating it to be, we continue to have a moderate SG&A growth, and hence we should see some green shoots of operating leverage play out in Q1 as well. So, those are the high-level comments from our side. We will open for questions now.

Vanessa Fernandes: Thank you, Gaurav. We will now begin the question-and-answer session. Participants are requested to raise their hands virtually to ask questions. We request you to introduce yourself and the firm you represent before going ahead. We shall wait for

a minute before
the question queue assembles.

We have a first question from the line of Mr. Karan Uppal. I request you to introduce yourself, please.

Karan Uppal: Hi, this is Karan Uppal from Phillip Capital. Thanks for the opportunity and congratulations to the entire team on a very strong set of numbers despite so much uncertainty as well as the recent war. Gaurav just wanted to understand the hotels and ancillary growth. The growth has been very strong despite geopolitical shocks as well as elevated fuel prices. Can you attribute some reasons as to the kind of strong performance? Is it the new KAMs which have been added, they are more productive or they have added high-quality large agents or maybe the end clients of TBO are premium or luxury so they are immune to basically changes in the environment. Any reasons you can attribute to the strong performance?

Gaurav Bhatnagar: Yes, thanks Karan. Look, I think it is a mix of both the factors that you are talking about. But primarily, we were anticipating and we have talked about on our previous calls as well that we were anticipating Q4 to be extremely strong in terms of year-on-year growth. The reason was that when we started doing market development investments in January of 2025 onwards and to spend the next 6-9 months onboarding a new sales team and then signing up new travel agents, there is a lag when you start onboarding travel agencies and when they start to become meaningfully productive for you because these are small businesses. That is why our T1, T5, and T10 journey is so important. We were expecting this to happen that by the time we come to Q4, all the effort that has gone into onboarding

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these new customers will start to pay off. Q4 we were also with a little bit of timing that some of our large partners also went live in that one quarter.

Of course March was impacted and even in spite of the March impact you could see the growth that we have delivered. If March was not impacted then the growth would have

been much higher and we are hoping that at some point in the next few quarters as things settle down to pre-war area, we will start to see stronger growth. So, while the numbers look good standalone, from our perspective if the war had not happened the numbers would have been much stronger than what they are. Majority of it is just our gain of market share in the market that we have been investing.

We believe in the resilience of our business model that the demand impact of wars or pandemics or geopolitical events or inflation is relatively less at the premium to luxury end of the spectrum and that also shows through because even in a market like the Middle East we have started to see demand come back fairly quickly. Now that may not be true for the budget or the premium end of the spectrum, but the high value bookings have already started to happen.

Karan Uppal: Thanks, Gaurav, for the explanation. On EBITDA to GTV ratio, if we look at it for last three years, that has been stable at 1%. Now with SG&A growth tapering down shall one expect this ratio to move up starting FY27?

Gaurav Bhatnagar: I think that's a reasonable assumption and it's a function of two things. One yes, absolutely as SG&A growth tapers down margins should expand and secondly the saliency mix will also help as our hotels business, which is higher margin business grows faster than the air GTV.

Karan Uppal: One question to Vikas sir. Cash flow from operations has been negative even though the FCF has been negative this year. You have mentioned in the shareholder records the reasons for the same. Now from go for

ward perspective shall we assume that the cash

flows will return to its normalcy? Let's say in FY24-25 levels we saw, let's say 90% CFO -to-PAT ratio or FCF -to-PAT was also above 100%. Can we expect similar levels in FY27?

Vikas Jain: We are working towards the same thing only. As I explained in detail the reasons for the negative movement in the current year but some of these things are primarily timing in nature be it related to the Brazil anticipation or be it some trade receivables getting delayed collections due to the war and other situations. So, those timing issues are getting resolved as we speak and obviously by the end of the year, we will revert to the original EBITDA -to-cash flow conversion percentages.

Karan Uppal: Just last question on Classic. The take rate at the time of the acquisitions was around 23%. Now we are operating at 25%. Even EBITDA to GTV numbers are higher. Can you explain the reasons for the same and how we shall think about Classic in terms of the growth as well as the take rates and the margins?

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Vikas Jain: Early days to say but the changes are not very material as we speak. At times, it is because of the mixed impact in the business be it between the groups and the FIT business and between Air and Hotel so and so forth. There is no material change we have made from the increasing our margins. So, we think that the margins that we are operating that would operate in these ranges only. Currently we are not looking at optimizing margins per se.

Karan Uppal: How shall we think about the growth in Classic business?

Gaurav Bhatnagar: See, Karan very-very early days. The way we are thinking of growth in the North America business, because we have Classic and TBO North America. Internally we view it as one business. We are absolutely anticipating significant growth in that business. I would hate to quantify into a number right now but on a year-on-year basis absolutely the business will grow. In certain ways those businesses are already optimized in terms of SG&A. So, the flow through of operating leverage on those businesses will be higher. These businesses can add meaningfully to the bottom-line growth need not grow very highly on the top line.

Karan Uppal: Okay cool. Thanks. Thanks a lot.

Vanessa Fernandes: Thank you Karan. We have our next question from the line of Mr. Manish Adukia. I request you to kindly introduce yourself.

Manish Adukia: Good afternoon, this is Manish Adukia from Goldman Sachs. Thank you for taking my questions and commendable disclosures you have made. Quite appreciated.

I have a few questions and most of them follow on to Karan's question and Gaurav what you spoke in the opening remarks. First ly, on growth from a near term perspective you mentioned that the June quarter should be better both YoY and QoQ which is encouraging to know. When I look at the month of March where you had implied GTV being down I think mid-single digit and GP being down about 10% and despite June quarter having like the full quarter impact of travel you are suggesting that on a YoY basis both GTV and GP should be up. You are not quantifying that but it's safe to assume that maybe in the single digit range? Would that be fair to say?

Gaurav Bhatnagar: Yes, we are not quantifying it Manish, but where things are and with always a caveat that things are at status quo right. If things were to change for the worse, in terms of the just geopolitics, then who knows what happens but let's assume that there is no good news and

no bad news beyond what is today. We would expect to see both the YoY growth from Q1 of last year as well as QoQ growth from Q4 of last year.

Manish Adukia: Very clear thank you. My second question

is on the GP growth in Jan and March which was like high 20s or mid -to-high 20s which seemed like a very strong print, and you talked about of course the investments you have made in the business in the last few quarters and the goodness of the sales investments etc.

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Now that let's say, you are coming off that investment cycle and that investment will reap benefit now let's assume that tomorrow if you were to go back to normal completely at least from a foreseeable future standpoint has the growth of the business been reset to like mid -to-high 20s given just the investments you have made and then maybe at some point time you will have to start making investments again. But for now I would have thought that the business may be closer to 20% growth but it looks like it's a higher growth business.

Just want to see if Jan -Feb were there like one -offs that drove the growth higher than the trend line growth is or is the trend line growth closer to that mid -to-high 20s number?

Gaurav Bhatnagar: See, Manish I think the aspiration as we have always talked about is to grow in that range right at least, I will not say mid -to-high 20s but early -to-mid 20s. That remains the aspiration for the business.

Look, the investments have already happened and that is starting to pay off and I will continue to pay off because these are not one -off investments in the sense that the sales people we have hired will continue to add more to the business. What remains to be seen is large markets like Israel and Middle East when they come back and to what level do they come back from where they used to be.

Early signs are still, I would say, look encouraging, but we really can't comment on them until we have gone through at least two quarters of just normal normalcy. It's not very clear what happens because if there has been some outward migration from the Middle East and does it impact outbound travel from the Middle East. Inbound travel is also impacted right now so very hard to say where that lands but yes, the whole business plan was anchored around this growing north of 20%. We do believe that unless some serious downward movement happens in the base of where normalcy sets in, we should continue to grow in that range.

Manish Adukia: Thank you very clear. My other question was on AI and again thanks for all the color in the shareholder letter in terms of let's see your conversations with your suppliers as well as buyers. What they are doing around AI? Is there anything that suppliers are doing differently or buyers want to do differently which may concern you or any trends that you can call out that potentially could actually be beneficial to TBO. So, any thoughts around that would be helpful.

Gaurav Bhatnagar: Manish, I think there is a lot of conversation around AI and that maybe is beyond the travel industry as well. So, there's a lot of conversation around AI. I also feel that there is a fair bit of work everybody is doing around productivity but which is more internal to the organizations to say how can I drive more sales productivity, more CX productivity, more developer productivity but from a change of business model perspective we have not seen anything substantially different like the obvious stuff is happening right people have

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written some MCPs to show their results in Chat GPT or

on Clout but I don't think there is

any evidence as yet that that's meaningfully driving business for anybody.

There are voice or AI chatbots people are introducing in their apps which is all I kind of like expected but I don't think anything materially has moved either on the supply side or on the demand side yet for us to either see it as a massive, big opportunity or a massive threat.

Manish Adukia: Very clear. Thank you. Just last question to Vikas and to follow on to Karan's question and again thanks for all the reasoning in the shareholder letter around the cash flow and the working capital, but when I look at let's not just the full year number but even on a six month basis six month FY26 the disclosures you had made the working capital was like a large drag and that drag has only worsened for the six months ending March.

So, I am just trying to understand that why should that be the case. I understand the explanation for March or the six-month ending March, but why should it have been worse in September and then it's only gotten worse in March. I am not fully clear on that part.

Vikas Jain: Manish, couple of things here. The Brazil anticipation impact started somewhere in Q2 itself and that had impacted our September numbers. From that perspective September numbers were also impacted. The worsening is primarily happening there are two or three things here. When I mentioned the performance-linked bonus incentives, generally these performance-linked bonus incentives are from the financial year especially for the airline separate to March or let's say for the hotels it is with from January to December. Because of the growth in the business the PLB balances have increased. The recovery for these balances starts happening between Q1 and Q2. So, that is kind of dragging the March numbers per se.

Secondly, as I explained related to the trade receivables per se because of one geopolitical tension in Middle East due to the war coupled with the fact that there was Eid holidays in the last fortnight of March, there leads to delays in some collections from our long-standing partners and which leads to a temporary I would say build up during the quarter and that has also kind of impacted.

Third, we didn't have any actual bank deposits which are more than 12 months period in the last year. They also as per accounting, get classified as other financial assets, etc and they are also getting clubbed under the working capital change movement. These things are kind of impacting and leading to some worsening in March.

Manish Adukia: Thank you so much very clear. All the best.

Vanessa Fernandes: Thank you Manish. We have our next question from the line of Manik Taneja. Please go ahead.

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Manik Taneja: Thank you for the opportunity. I had couple of questions. With regards to competitive intensity, given what we have seen from some of your global peers talking about resetting their take rates to a much lower number, would love to get your thoughts as to how do you see that playing out? That's question number one.

Additionally, while you were mentioning that Q1 may be a positive growth quarter both on a sequential and YoY basis, given some of the impacts around pricing and some airlines also reducing their connectivity; how do you see this playing out with regards to the Q2 of your financial year which typically is the best quarter that you enjoy?

Lastly, a clarification question on cash flow. Vikas, basically while you have called out multiple factors impacting your cash flow, would love to understand how does the

dynamics around the changes in Brazil, etc. impact your traditional cash generation capability?

Gaurav Bhatnagar: I think our peers and competitors have talked about some lowering of take rates. Now, you must see it in the context that we have started from traditionally the most competitive and most price sensitive market which is like India and Middle East and then we have progressively moved to higher take rate markets like North America and Europe.

While there is always this pressure around take rates. For us, it's one balances off from our perspective that we are starting from markets where the average take rate is lower than markets where the average take rate is higher. You will see that our growth is largely driven by higher take rate markets.

Secondly, we fundamentally operate our business at a certain margin and a certain EBITDA margin, which allows us to remain competitive at the take rates that we operate at today.

So, we are not anticipating any immediate, right? When I say immediate, I mean short to midterm downward pressure on take rates. We absolutely intend to maintain them at the current levels. We are also not trying to improve our take rate from where they are, because we have always been clear that it's an aggregation business. You must take market share. We should be leaving money on the table for our travel agents. There is no effort to improve our take rates. But there is also no downward pressure on the take rates as it stands today.

Ankush Nijhawan: On the supply side, on the airlines, there are some cuts which are happening. One, I think it is temporary, because as the oil hopefully comes down, if the war settles down these inventories, which the airlines have cancelled, will come back very quickly. The other thing is that the supply might have reduced in domestic, but the fares have gone up, but the passengers are still traveling because this is a peak of summer holidays as well within India.

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Secondly, international routes, which we heard have been cut by Air India, etc.; will obviously pass through a subsidiary to another European airline or somebody traveling to

Asia Pacific, etc. What we have seen is the shift of business happened, especially, hardly anybody traveling into Dubai still, but the business is either into Asia Pacific and, for example, Japan has been the flavor for a lot of HNIs, and obviously, the ultra -HNI still continue to travel to Europe. We are seeing these trends.

Keeping in mind, because of the summer season, which obviously most of us are on, the kids are on leave, I think travel is something which will continue to happen in spite of a little crunch in the inventory on the airline sites.

Vikas Jain: On your question related to the cash flow on the Brazil anticipation , just to refresh again in Brazil, we generally collect payment from customers to credit cards, where the payments are being made in installments, but with no recourse to us.

Earlier, we used to anticipate or discount the payment we used to receive the payments upfront by paying certain charges. However, in Q2 of last year, we tried to do some kind of experiment to see if we don't anticipate any positive impacts in the business sense, whether we are able to drive business up by lowering the margins, which we have increased due to cover this anticipation cost.

We ran that experiment for a couple of months . But we saw that there was not a very measurable increase in our business. So, we reverted to our old position somewhere in mid -December. But what this led to

is basically during that period, the customers '

receivable we had not discounted for, those monies we would be receiving, I believe majority of the payment will recover by Q2 of this current financial year. So, that impact will go down after Q2.

Manik Taneja: Any thoughts on what our CFO -to-EBITDA or FCF -to-EBITDA ratios should be with the way our business mix is progressing?

Vikas Jain: Historically, as well, we have been delivering more than 100% per se and that's what we would strive to do by end of this financial year as well.

Manik Taneja: Great. Thank you and all the best for the future. Thank you, Manik.

Vanessa Fernandes: We have a next question from the line of Mr. Prateek Kumar. Kindly introduce yourself.

Prateek Kumar: Congrats on the great results. This is Prateek from Jefferies. First question is on what quantum of EBITDA is you think you would have lost in Q4 based on the run rate you were thinking for March from Jan -Feb levels versus the Rs. 110 crores EBITDA which you have reported for the quarter?

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Gaurav Bhatnagar: Prateek , it's a very hypothetical question ., which we have talked about and limited about enough internally. I don't want to give a specific number, but I think the one easy way to look at it is that given our costs are what they were, right? So, there was no material change in cost from Feb to March, given that that was just the start of the war.

Historically, March is usually stronger than Feb. So, you could extrapolate yourselves to see that any incremental GTV, especially hotel GTV, would have largely translated to the bottom line. I leave it there. It's an easy calculation and it's a significant loss for us. From a margin expansion perspective, all the operating leverage expansion that would have happened got lost because of it.

Prateek Kumar: Because first two months were running at 50 %-60%, it seems like you have lost like Rs. 30 crores to Rs. 50 crores in that month because the full quarter number has significantly come down, because of like at 5% to 7%.

Vikas Jain: As Gaurav mentioned, we can't give you an exact number, but by doing calculation you can derive it, these are the numbers we have already published.

Prateek Kumar: Okay. On this 16% SG&A growth, how are you looking at this growth? Are there any specific measures to control cost in this environment or how are you looking at SG&A cost for like-for-like basis in FY27?

Gaurav Bhatnagar: Pratik, the SG&A growth will not accelerate from where it is, it will slightly taper down as well. Hopefully, the gap between SG&A growth and GTV growth will increase, which will lead to operating leverage and expanding margins. We just want to be clear, while there is a strong focus on cost control and hiring increases in different parts of the business, we do recognize that our business model essentially works very well with expanding size of the Salesforce and adding salespeople where we didn't have salespeople before. That investment will continue. But that investment is not on the same scale as intensity as last year.

Hence, you will see SG&A will still grow . You will not see that SG&A has come flat compared to last year, because I think that will be a little bit too short -sighted. But the top line at this from here on , should definitely grow faster than the SG&A.

Prateek Kumar: On like-for-like basis, you said that you are growing YoY and QoQ , of course, SG&A growth will be still like a higher number, like let's say 15% growth run rate. So, on like-for-like basis, margins will still be lower right in Q1 ? Is that what we should think about

?

Gaurav Bhatnagar: Given the uncertainties of the situation, it is very hard to say where it lands. But, we are just hopeful that we will show at least in dollar terms, both EBITDA growth from previous year as well as from Q4, but really don't want to comment beyond that.

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Prateek Kumar: Okay, my other question is on impact of war on international travel, because clearly, there is like a lot of noise around high airfares, and amount of capacity which is being taken out.

Indian companies definitely seem to be doing more but global companies are also taking out capacity. When you say that you are seeing normalization generally, is this something which doesn't impact or like more hotels are seeing better recovery, which are I don't know, which is how that is getting driven. But there is a lot of noise around high airfares and capacity withdrawn from the system.

Gaurav Bhatnagar: Prateek, I think corridors have shifted for sure that is one thing that we are seeing. Because Middle East as a destination is a large destination that has seen a big downturn.

Secondly, there is uncertainty around traveling on the Middle East carriers as well as at this point in time, especially from Europe to the East. So, corridors have shifted, I think that there's a bit more interregional business that we are seeing where typically, airfares don't impact so much because for example, if you are traveling within Europe, the airfares are still reasonable in at least in dollar terms, and definitely lower than say, if you were going to do long haul travel. That is one thing that is clearly visible. The corridors have become shorter.

The other thing that has happened is that the booking windows have also shrunk a little bit, which is why overall, the industry remains hopeful that if some resolution happens to the war in the next few days, we can still capture the June, July, August, September summer traffic. So, yes, I think there is there is an impact, we can't say there is no impact, like Ankush said, the consequence of that is that airfares are higher so from GTV perspectives, you probably need to sell less tickets to get the same amount of GTV.

And then the other bit is that the spectrum that we try to operate in, which is more premium and luxury, less sensitive to minor changes in airfares, but yes, more sensitive to the actual geopolitics of not choosing not to fly certain carriers or through certain transit points.

Prateek Kumar: Okay, in your case, because the business is like, accounted by the source of market. Middle East as a source of market, would have still being lower in terms of contribution in Q1, right? Other markets might have been doing much better.

Gaurav Bhatnagar: Yes, that is correct. I think Middle East continues to be below pre-war levels. But it is catching up.

Prateek Kumar: Okay, last question is on competition. Expedia reported 20% growth in B2B higher than their B2C segment. How should we look at their comments on growth? Is this a growing competition or because they are also one of your suppliers. Since they are your large supplier, is this sign of increasing competition or generally is the B2B market growing more now?

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Gaurav Bhatnagar: In general, the B2B market is growing faster than the B2C market. There seems to be some level of saturation in whoever was going to book online and sell book is already there. Just finding new customers to book online is harder. It's hard to really comment on the source of growth for Expedia because they don't lay it out. But their core

business is selling to partners like us or large loyalty banks airlines. So, they are not direct competitors for us from that perspective.

They also have a travel agent retail program. But our understanding is that it is not a very large program. It is strong in pockets, but probably not. We don't directly compete with them in many of the markets that we are growing in. So, I think I guess without knowing the color of their growth, it's hard to comment on where it is coming from. But from our perspective, we don't see Expedia as an immediate direct competitor for the most part, especially on the retail side of things.

Prateek Kumar: Thank you Gaurav, these were my questions.

Vanessa Fernandes: Thank you, Prateek. We have our next question from the line of Moez Chandani, request you to kindly introduce yourself.

Moez Chandani: Yes. Hi. Thank you for taking my question. This is Moez Chandani from Ambit. My first question was on the Middle East. At the first two months of this quarter, how deep is the cuts in demands? Are you maybe 30% to 40% below the expected level that that you might have reached let's say last year in 1Q of FY26 or has the cut in demand been much more severe?

Gaurav Bhatnagar: Yes, Moez, I think there are two ways to look at it. If you were to just look at it from, say, where those numbers were before the beginning of the war, the numbers are actually better than 30%, 40%. They are slightly better than that. But if you were to look at it from a perspective, that is also when the volume starts to increase. This is a high season now for bookings. From that perspective, yes, we are still seeing significant loss of GTV because of the war. If the war had not been there, the numbers would have been significantly higher.

Moez Chandani: Ok, understood. How are hotels in the Middle East and how are governments in the Middle East approaching this based on your interactions with them? As these things ease, is there a plan to maybe be very aggressive in terms of marketing, in terms of incentives to make sure that tourism recoveries happen faster or has there been, let's say, a significant economic impact because of the war and things might take a little longer to recover in terms of tourism there?

Gaurav Bhatnagar: No, Moez, I think there is a very strong resolve to bring things back to normal and more across the region. The Tourism Boards that we have interacted with are absolutely looking to reinvest in building out the market. We are already engaging with them on plans on how and when that happens. So, I think the sentiment on the whole still remains very cautiously optimistic.

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Of course, the region has suffered. There is no doubt about it. But I think there is a strong sense on the ground that once we put this behind, the recovery will be strong. I think especially markets like UAE take a lot of hope from how they delivered through and post the pandemic as well. So, they have playbooks in place. We still remain very confident that eventually the region will come back to where it used to be and probably even show growth on top of that.

Moez Chandani: Understood. Looking at the markets, ex-Middle East, right? Firstly, was there any, did you see, say, slightly better than expected demand because maybe there were travelers who reprioritized or changed plans and decided to go somewhere else or planning to go to the Middle East and decided to go somewhere else.

Also in terms of operating leverage, ex-Middle East, has that played out to your expectations? Are the other margins ex-Middle East at

the levels that what you were

expecting at because of the changes that you have done in your SG&A costs, etc.?

Gaurav Bhatnagar: On the first one, I think demand diversion has happened. What it triggers is that other destinations become more expensive, especially in Europe and Southern Europe, which as a platform, we are fairly agnostic to it in the sense we have a supply available for Europe as well as for Middle East. So, if the demand moved from, say, Middle East to Europe we would still be able to sell and that we have seen in the numbers.

On your second question on what is the operating leverage looking like ex-Middle East our view would be, yes, we are seeing it, but I would caveat that ultimately these analyses are a little bit hypothetical, right? Ultimately, we need to deliver operating leverage as a business, as a full enterprise, which would obviously start to show up only when our GTV growth surpasses our SG&A growth. But yes, if you were to carve out one region out and say that, okay let's look at our cost structures and our growth ex of it, we would see improving margins, absolutely.

Moez Chandani: Okay, got it. That were my questions. Thank you so much.

Vanessa Fernandes: Thank you, Moez. We have a next question from the line of Mr. Swapnil Potdukhe. Please introduce yourself.

Swapnil Potdukhe: Hi, this is Swapnil from JM. Thanks for the opportunity. My first question is with respect to the benefit that we got because of rupee depreciation. It will be great if you can quantify what percentage of GTV at a consol level and possibly at a hotel's level came because of rupee depreciation.

Vikas Jain: Swapnil, basically, while we do not convert our numbers at a constant currency, but we have done some type of calculation, because we are dealing with multiple operating entities, dealing in multiple foreign currencies, etc. But the back of the NF calculation, if we

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see the overall impact would be in the range of on a YoY basis for the full year would be around 4 to 5%.

Swapnil Potdukhe: Okay, this is at a consol level, and it will be slightly higher for hotels. Is that understanding, correct?

Vikas Jain: No, I am talking about the impact in the change in the exchange rate. So, that impact would flow specifically because when the foreign currency thing that is impacting primarily the hotel GTV. This is primarily for the hotel GTV.

Swapnil Potdukhe : Okay, got it. Vikas, will it not be fair to say that you should start reporting constant currency numbers as well, given the nature of our business? I mean, a decent proportion of your profits as well as GTV comes from globally. So, will it not be fair to say that it will be great if we can start reporting those numbers on a QoQ basis as well? Just a Suggestion .

Vikas Jain: Yes, great suggestion. We will discuss this internally and then see how transparently we can share disclosures around it.

Swapnil Potdukhe : Thanks. The second question is with respect to the capitalization which is happening on our some of the tech costs, I am presuming. Can you give some color on the nature of these investments? What is the amortization period of this cost? Also, a related question to that is like, how are you amortizing Classic vacations, the intangibles from that business?

Vikas Jain: Okay, the intangibles as part of the purchase price allocations for the Classic vacations have been recognized now fully in the books. Primarily, the amortizable asset, there is the supplier relationship asset, which is around 50 million in cost, and that would get amortized over a period of 15 years.

On your question relat

ed to tech related capitalizations, primarily, whenever there is any new feature, new product line, anything which would have future economic benefits as per the relevant accounting standards, etc., all those things only get capitaliz ed. We have kind of separate cost located for the maintenance, etc., which goes directly into our operating expense. Only the developments which are happening for which would be able to generate any future be nefits, that cost gets capitalized and t he amortization period for the same varies from 3 to 5 years, depending upon project -to-project.

Swapnil Potdukhe : Got it , Vikas . The other question is with respect to the cash flow. Earlier, there were some comments about some of the reasons why our working capital was negative this time around. My understanding of Classic business was that it is a significantly cash -generating business from that perspective, because the lead times are longer than our normal course of business. So, the consolidation itself should have benefited us from a working capital standpoint is my understanding. Any color as to why that did not play out?

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Vikas Jain: Swapnil , that would play out now onwards, because what happens basically at the time of acquisition, when you consolidate and prepare your cash flows, the opening negative working benefit gets subsumed in the cash flow from investing activities only, in the net imp act which is coming in the investing activities only. We don't get benefit from that negative working capital in our cash flow when we acquired that out. Only in the future when the negative working capital goes more negative, that will benefit us from the consolidation perspective.

Swapnil Potdukhe : Got it. Just the last one regarding the efficiency benefits through Classic vacation itself. My understanding is like the cost that you are reporting for the last two quarters has been around Rs. 110 crores for Classic s specifically . This is the SG&A cost that I am talking about.

Any measures to see this cost going down, going ahead, or it will be more of an uplift story on the Classic side, so that the margins improve that business specifically?

Gaurav Bhatnagar: Swapnil, early days to comment on it for several reasons. One, we are doing a full platform migration exercise right now. Only when the platforms are successfully migrated, will we truly start to see where does productivity sit.

Second ly, like I said earlier, we are looking at it as consolidated as a TBO North America business. So, some of the cost s may be relevant for the growth of the overall business in North America as well. If you were to look at it, if you were to club together the TBO North America and Classic as one entity per se, at that level, we will start to see operating efficiencies. Now, will the dollar value cost come down or not? We don't want to comment on it as yet.

Swapnil Potdukhe : Understood. Very clear. Thanks a lot for the opportunity and all the best.

Vanessa Fernandes: Thank you, Swapnil. We have our next question from the line of Mr. Samarth Patel. I request you to kindly introduce yourself.

Samarth Patel: Samarth Patel from Equirus Securities . Thanks for providing me with the opportunity. My first question is, if you can help me break down Q4 growth for Europe into, let's say, deeper penetration of existing source market versus new geographical expansion.

A follow up to that question is, what's the typical maturity curve for a new European source market in terms of penetration?

Gaurav Bhatnagar: See, Samarth, it is very the way we look at the business is from the unit economics of the key account manager that we put on the ground. So, bifurcating this into w

hat's coming

from a new source market and what's coming from existing source markets is a little bit tricky, because in large countries, you may add more people within the same country and

which will be like just in a way, from our perspective, that will be fresh growth. But from our perspective, did we open a new country or not? It's hard for us to think of business from that perspective.

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Secondly, on the maturity curve of an average market or an average key account manager starting to deliver meaningful productivity, it remains like we have talked about in the past, right remains about a six to nine month window where they start to become meaningfully productive and meaningful productive in the sense that it is starting to almost break even on cost and then there is profitability after that.

Samarth Patel: Understood. That's really helpful. My second question is about Brazil anticipation discontinued in Q3 and then IOF tax plus currency headwinds there. How should we think about FY27 and FY28 LATAM growth in particular?

Gaurav Bhatnagar: LATAM will see moderate growth compared to the overall enterprise because of the fact that there are significant headwinds which go beyond just our own business over there and you articulated them already.

As there is more volatility across the world, those currencies also face those structural challenges and then it impacts travel very, very sharply. Our own view remains that we will see moderate growth in those markets for this year. Having said that, from a saliency perspective, it is important for us, but it is not amongst our top three large source markets.

Samarth Patel: Understood. Now my third question is on the Classic vacation side. What percentage of Classic buyers have already started consuming, let's say, TBO inventory and what proportion of TBO's hotel inventory is now accessible to a Classic ecosystem? If you can, just help me with those numbers.

Gaurav Bhatnagar: Samarth, the way we operate is that we create connectivity between platforms so that TBO supply can be consumed by Classic. The connectivity is already established. However, we are not opening the entire TBO supply into the Classic ecosystem as yet. Part of it is because Classic sits in a different area. The brand promise of Classic is very different, and it is largely focused around high-curation and high-value luxury hotel. So, we are only opening that part of the supply right now on Classic. It is starting to become a meaningful share of Classic's overall business and all the travel advisors who use the Classic platform get access to the supply.

There is no separate channel that needs to be created for travel advisors to consume. So, everybody who's on the Classic platform gets access to that supply and it is starting to become a fair share of Classic's overall business.

Samarth Patel: Understood. That was really helpful. Last question is just a bookkeeping question. At the peak of disruption for ME, what was the booking-to-cancellation ratio for directly affected EMEA agents? in particular for March.

Gaurav Bhatnagar: I don't have the numbers offhand, but I do recall that at one point for certain source markets, there were more cancellations than bookings.

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Ankush Nijhawan: But overall, we never had a negative day.

Gaurav Bhatnagar: As an enterprise, we did not have negative sales. Yes, I think Israel we did. There we

re

certain pockets where the sale and the cancellations completely in a way netted-off. But as we have shared in our commentary also, now it has started to improve. The drag that was coming because of all the prior bookings getting cancelled is slowly starting to taper off.

Samarth Patel: Understood. That is helpful. Thanks for providing me with the opportunity and best of luck. Thank you so much.

Vanessa Fernandes: Thanks so much. We have our next question from the line of Pranaya Jain.

Pranaya Jain: Thank you for the opportunity. I have a few questions. May I start with. Could you give us some sense of what percentage of the new agents that you onboarded in, FY25, who did more than 10 transactions, did 10 transactions this year as well? Just to understand what kind of stickiness are we having?

Gaurav Bhatnagar: Pranaya, it's a good question, but I don't have the data handy, but it's a fair question. On the whole, what does happen is that travel agents signed up in one year, the cohort that is signed up in a specific year, will roughly double its business in the subsequent year. So, that that math normally works out. But at this specific question, I don't have the exact numbers.

Pranaya Jain: Okay, got it. My second question is, is there any seasonality in the number of transacting agents in North America? The number has grown from 4,800 last quarter to 6,000 this quarter, which is a pretty good growth. Is there any bit of seasonality or is it just naturally like the business is gaining traction over there?

Gaurav Bhatnagar: Jan, Feb, March is the very, very heavy booking period for North America because their booking windows are long. Typically, North America would book in Jan and Feb for their summer bookings. So, yes, there is an element of seasonality as well.

Pranaya Jain: Understood. Now, my third question is on this data that you provide on GTV driven by new and old agents. Over there, when we look at the growth, overall, there is like 22% growth and 15% or thereabouts is being contributed by new agents that got added in FY26, which means roughly 7 % to 8% of growth was from the agents that were on boarded up until FY25. Is this the growth rate for agents that have been added previously? Will this growth rate sustain or are we anticipating this number to improve?

Gaurav Bhatnagar: This specific year, this number got depressed a little bit because our Middle East is our oldest market. The old cohorts are heavily dominated by the Middle East travel agencies and they saw a very massive hit in their business in March. So, that has depressed the numbers somewhat, we would expect this to be a little bit higher from where it was this year.

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Pranaya Jain: Understood. My last question is on the debt that we have on our books, by when do we plan to bring it down?

Vikas Jain: We have a debt for a period of five years. So, we have a moratorium on repayment for one year. A repayment would start from Q3 of this year and would be, would remain there for another four years. Unless in future we decide to repay, but that's the current agreement that we have signed.

Pranaya Jain: Got it, got it. Those were my questions. Thank you so much for the opportunity and all the best to the team.

Vanessa Fernandes: Thank you, Pranaya. We have a follow-up question from the line of Mr. Karan Uppal. Karan, kindly proceed.

Karan Uppal: Yes, thanks for the follow-up. Gaurav, can you give the data on our business mix of retail versus API at the moment?

Vikas Jain: At an enterprise level for the hotel business, would roughly sit around, 50 :50.

Gaurav Bhatnagar: So, about 50 :50 on GTV and probably higher for retail on GP

Karan Uppal: Okay, got it. Another question was o

n APAC. So, for last five to six quarters, APAC has done

really well, and I believe that it is all organic. Could you provide some color in terms of which countries are contributing the most and how's the outlook in APAC geography?

Gaurav Bhatnagar: So Karan, I think we started Australia and did some serious investments in that market and that has started to deliver well for us. We also have some large API partners who are based out of APAC, though they may be selling globally. That also contributes to growth. On the Whole, we do believe this market is obviously a promising market. It's a large, growing travel market. But we are also starting on a small base over here. Having said that, it is a very price competitive market compared to Europe and North America. So, that is a factor to play in. But yes, we remain quite optimistic about this market overall.

Karan Uppal: Okay, thanks. Another question was on air. So, the air GTV is now back to Rs. 3,400 crore level on an organic basis. So, with domestic and international capacity being cut though on a short-term basis, but how should we think about the air GTV growth from here on?

Ankush Nijhawan: I can't give qualitative guidance, but what I can say that the trajectory for Q1 is definitely a shade better than Q4. And hopefully, we will continue the momentum as we move into this financial year.

Karan Uppal: Last is on ETR, how much should we expect the ETR for the FY27?

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Vikas Jain: The expected tax rate for ETR would be similar in the range of in the Q 4, which would be around 18 % to 18.5%.

Karan Uppal: Okay, got it. Thanks and all the best.

Vanessa Fernandes: Thank you, Karan. That was the last question for today. Thank you everyone for participating in the call. I now hand over the call to Mr. Ankush Nijhawan for his closing remarks.

Ankush Nijhawan: Thank you everyone for joining our Earnings Call. I think some very nice, interesting questions. We are glad that we could answer everyone. If anybody has any follow-up questions, feel free to reach anyone from TBO and more than happy to answer any query you might have any follow-up questions as well. Thank you so much and see you next quarter.

Vanessa Fernandes: Thank you, Ankush. On behalf of TBO Tek Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Note: This Transcript has been slightly edited at few places for clarity and accuracy and may contain transcription errors. The Com pany or the sender takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.